



100 Pine Street • PO Box 1166 • Harrisburg, PA 17108-1166
Tel: 717.232.8000 • Fax: 717.237.5300

Charis Mincavage
Direct Dial: 717.237.5437
cmincavage@mcneeslaw.com

August 12, 2021

Rosemary Chiavetta, Secretary
Pennsylvania Public Utility Commission
Commonwealth Keystone Building
400 North Street, 2nd Floor
Harrisburg, PA 17120

VIA ELECTRONIC FILING

RE: Pennsylvania Public Utility Commission v. PECO Energy Company – Electric Division; Docket No. R-2021-3024601

Dear Secretary Chiavetta:

Attached please find for filing with the Pennsylvania Public Utility Commission the electronic versions of the Philadelphia Area Industrial Energy Users Group ("PAIEUG") Pre-Served Testimony in the above-referenced proceeding (as such Testimony has been accepted into the evidentiary record). The Testimony is as follows:

- Verification of Billie LaConte
- Verification of Jeffry Pollock
- PAIEUG Statement No. 1: Direct Testimony and Exhibits of Billie LaConte
- PAIEUG Statement No. 1S: Surrebuttal Testimony of Billie LaConte
- PAIEUG Statement No. 2: Direct Testimony and Exhibits of Jeffry Pollock
- PAIEUG Statement No. 2R: Rebuttal Testimony and Exhibits of Jeffry Pollock
- PAIEUG Statement No. 2S: Surrebuttal Testimony and Exhibits of Jeffry Pollock

As shown by the attached Certificate of Service, all parties to this proceeding agreed to receive service via email from PAIEUG.

Sincerely,

McNEES WALLACE & NURICK LLC

By 

Charis Mincavage

Counsel to the Philadelphia Area Industrial Energy Users Group

Enclosures

c: Administrative Law Judge Marta Guhl (via E-mail)
Certificate of Service

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CERTIFICATE OF SERVICE

I hereby certify that I am this day serving a true copy of the foregoing document upon the participants listed below in accordance with the requirements of 52 Pa. Code Section 1.54 (relating to service by a participant).

VIA E-MAIL

Kenneth M. Kulak, Esq.
Catherine G. Vasudevan, Esq.
Brooke E. McGlinn, Esq.
Mark A. Lazaroff, Esq.
Morgan, Lewis & Bockius LLP
1701 Market Street
Philadelphia, PA 19103-2921
ken.kulak@morganlewis.com
cvasudevan@morganlewis.com
brooke.mcglinn@morganlewis.com
mark.lazaroff@morganlewis.com
Counsel to PECO Energy Company

Jack Garfinkle, Esq.
Jennedy Johnson, Esq.
Anthony Gay, Esq.
PECO Energy Company
2301 Market St., Suite 15
Philadelphia, PA 19103
jack.garfinkle@exeloncorp.com
Jennedy.johnson@exeloncorp.com
anthony.gay@exeloncorp.com
Counsel to PECO Energy Company

Teresa Reed Wagner, Executive Director
Erin Fure, Esq.
Office of Small Business Advocate
Forum Place
555 Walnut St., 1st Floor
Harrisburg, PA 17101
tereswagne@pa.gov
efure@pa.gov

Carrie B. Wright, Esq.
Pennsylvania Public Utility Commission
Bureau of Investigation and Enforcement
400 North Street
Harrisburg, PA 17120
carwright@pa.gov

Phillip D. Demanchick, Esq.
Christy M. Appleby, Esq.
Laura J. Antinucci, Esq.
Barrett C. Sheridan, Esq.
Aron J. Beatty, Esq.
Office of Consumer Advocate
555 Walnut Street, 5th Floor
Harrisburg, PA 17101
pdemanchick@paoca.org
cappleby@paoca.org
lantinucci@paoca.org
bsheridan@paoca.org
abeatty@paoca.org
OCAPECOElectric2021@paoca.org

Kinteshia A. Scott, Esq.
Joline Price, Esq.
Robert W. Ballenger, Esq.
Josie B.H. Pickens, Esq.
Community Legal Services
1424 Chestnut Street
Philadelphia, PA 19102
kscott@clsphila.org
jprice@clsphila.org
rballenger@clsphila.org
jpickens@clsphila.org
Counsel to TURN

John Sweet, Esq.
Elizabeth R. Marx, Esq.
Ria Pereira, Esq.
Pennsylvania Utility Law Project
118 Locust Street
Harrisburg, PA 17101
jsweetpulp@palegalaid.net
emarx@pautilitylawproject.org
rpereirapulp@palegalaid.net
Counsel to CAUSE-PA

Devin McDougall, Esq.
Rebecca Barker, Esq.
Earthjustice
1617 John F. Kennedy Blvd, Suite 1130
Philadelphia, PA 19103
dmcdougall@earthjustice.org
rbarker@earthjustice.org
df Franz@earthjustice.org
Counsel to the Clean Energy Advocates

Deanne M. O'Dell, Esq.
Sarah C. Stoner, Esq.
Karen O. Moury, Esq.
Eckert Seamans Cherin & Mellott, LLC
213 Market Street, 8th Floor
Harrisburg, PA 17101
dodell@eckertseamans.com
sstoner@eckertseamans.com
kmoury@eckertseamans.com
Counsel to RESA and NRG

Cody T. Murphey, Esq.
Eckert Seamans Cherin & Mellott, LLC
919 E Main St., Suite 1300
Richmond, VA 23219
cmurphey@eckertseamans.com
Counsel to RESA and NRG

John F. Lushis, Jr., Esq.
James Laskey, Esq.
NORRIS McLAUGHLIN, P.A.
515 W. Hamilton Street, Suite 502
Allentown, PA 1810
jlushis@norris-law.com
jaskey@norris-law.com
Counsel to Calpine Retail Holdings, LLC

Robert A. Weishaar, Jr., Esq.
Jo-Anne Thompson, Esq.
McNees Wallace & Nurick LLC
1200 G Street, NW, Suite 800
Washington, D.C. 20005
bweishaar@mcneeslaw.com
jthompson@mcneeslaw.com
Counsel to the National Railroad Passenger Corporation

James M. Van Nostrand, Esq.
Keyes & Fox LLP
320 Fort Duquesne Blvd., #15K
Pittsburgh, PA 15222
jvannostrand@keyesfox.com
Counsel to ChargePoint, Inc.

Melissa E. Birchard, Esq.
Keyes & Fox LLP
1580 Lincoln St., Suite 1105
Denver, CO 80203
mbirchard@keyesfox.com
Counsel to ChargePoint, Inc.

Barry A. Naum, Esq.
Derrick Price Williamson, Esq.
Spilman Thomas & Batle, PLLC
1100 Bent Creek Boulevard, Suite 101
Mechanicsburg, PA 17050
bnaum@spilmanlaw.com
dwilliamson@spilmanlaw.com
Counsel to Walmart, Inc.



Charis Mincavage

Counsel to the Philadelphia Area Industrial Energy
Users Group

Dated this 12th day of August, 2021, at Harrisburg, Pennsylvania

VERIFICATION

I, Billie LaConte, Energy Advisor and Associate Consultant at J. Pollock, Incorporated, hereby state that the facts contained in the Direct Testimony and Exhibits of Billie LaConte (PAIEUG Statement No. 1) and Surrebuttal Testimony of Billie LaConte (PAIEUG Statement No. 1S) are true and correct to the best of my knowledge, information, and belief and that I expect to be able to prove the same at a hearing held in this matter. I understand that the statements herein are made subject to the penalties of 18 Pa. C.S. § 4904, relating to unsworn falsification to authorities.

Aug. 9, 2021

Date


Billie LaConte

VERIFICATION

I, Jeffry Pollock, President of J. Pollock, Incorporated, hereby state that the facts contained in the Direct Testimony and Exhibits of Jeffry Pollock (PAIEUG Statement No. 2), Rebuttal Testimony and Exhibits of Jeffry Pollock (PAIEUG Statement No. 2R), and Surrebuttal Testimony and Exhibits of Jeffry Pollock (PAIEUG Statement No. 2S) are true and correct to the best of my knowledge, information, and belief and that I expect to be able to prove the same at a hearing held in this matter. I understand that the statements herein are made subject to the penalties of 18 Pa. C.S. § 4904, relating to unsworn falsification to authorities.

Aug. 9, 2021

Date


Jeffry Pollock

**BEFORE THE
PENNSYLVANIA PUBLIC UTILITY COMMISSION**

Pennsylvania Public Utility Commission

v.

Docket No. R-2021-3024601, et al.

PECO Energy Company – Electric Division

Direct Testimony and Exhibits

of

BILLIE LACONTE

On Behalf of

Philadelphia Area Industrial Energy Users Group

June 28, 2021



BEFORE THE
PENNSYLVANIA PUBLIC UTILITY COMMISSION

Pennsylvania Public Utility Commission

v.

Docket No. R-2021-3024601, et al.

PECO Energy Company – Electric Division

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GLOSSARY OF ACRONYMS

Term	Definition
CAPM	Capital Asset Pricing Model
Commission	Pennsylvania Public Utility Commission
DCF	Discounted Cash Flow
Duke Energy	Duke Energy Corporation
EE&C	Energy Efficiency and Conservation
FPFTY	Fully Projected Future Test Year
HT	High Tension
MRP	Market Risk Premium
NextEra	NextEra Energy, Inc.
PAIEUG	Philadelphia Area Industrial Energy Users Group
PECO or Company	PECO Energy Company – Electric Division
ROE	Return on Equity

DIRECT TESTIMONY OF BILLIE S. LACONTE

1. INTRODUCTION, QUALIFICATIONS AND SUMMARY

1 **Q PLEASE STATE YOUR NAME AND BUSINESS ADDRESS.**

2 A My name is Billie LaConte. My business address is 12647 Olive Blvd., Suite 585, St.
3 Louis, Missouri 63141.

4 **Q WHAT IS YOUR OCCUPATION AND BY WHOM ARE YOU EMPLOYED?**

5 A I am an energy advisor and Associate Consultant at J. Pollock, Incorporated.

6 **Q PLEASE STATE YOUR EDUCATIONAL BACKGROUND AND EXPERIENCE.**

7 A I have a Bachelor of Arts degree in Mathematics from Boston University and a Master's
8 degree in Business Administration from Washington University. Since graduating in
9 1995, I have been engaged in a variety of consulting assignments, including energy
10 procurement and regulatory matters in both the United States and several Canadian
11 provinces. More details are provided in **Exhibit ____ (BSL-1)**. A list of my appearances
12 is provided in **Exhibit ____ (BSL-2)**.

13 **Q ON WHOSE BEHALF ARE YOU TESTIFYING IN THIS PROCEEDING?**

14 A I am testifying on behalf of Philadelphia Area Industrial Energy Users Group
15 (PAIEUG). PAIEUG is an ad hoc group of energy-intensive customers receiving
16 electric service from PECO Energy Company – Electric Division (PECO), primarily
17 under the High Tension (HT) Rate. PAIEUG members require substantial volumes of
18 electricity in their manufacturing and operational processes, and these electric costs
19 are a significant element of their respective costs of operation, and the proposed rate
20 modifications may impact PAIEUG members' cost of operations.

**1. Introduction, Qualification
and Summary**

1 **Q WHAT ISSUES ARE YOU ADDRESSING IN YOUR TESTIMONY?**

2 A I am addressing the following issues:

- 3 • Return on equity (ROE); and
4 • Post-test year revenue adjustment.

5 **Q ARE YOU SPONSORING ANY EXHIBITS WITH YOUR TESTIMONY?**

6 A Yes. I am sponsoring **Exhibit ____ (BSL-1)** through **Exhibit ____ (BSL-6)**. These
7 exhibits were prepared by me or under my supervision and direction.

8 **Q YOU USE PECO'S PROPOSED REVENUE REQUIREMENT IN YOUR TESTIMONY.**
9 **SHOULD THAT BE INTERPRETED AS AN ENDORSEMENT OF PECO'S**
10 **PROPOSALS?**

11 A No. Throughout my testimony I use PECO's proposed revenue requirement to
12 illustrate various concepts. This should not be interpreted as an endorsement of
13 PECO's proposed revenue requirement. The findings and recommendations in my
14 testimony also apply if the Commission approves a lower revenue requirement.

15 **Q ARE YOU ENDORSING PECO'S PROPOSALS ON THE ISSUES NOT**
16 **ADDRESSED IN YOUR TESTIMONY?**

17 A No. The fact that I am not addressing every issue should not be interpreted as an
18 endorsement of PECO's proposals in this proceeding.

1 **Summary**

2 **Q PLEASE SUMMARIZE YOUR FINDINGS AND RECOMMENDATIONS.**

3 **A** My findings and recommendations are as follows:

4 **Return on Equity**

- 5 • PECO's proposed 10.95% cost of equity is excessive relative to the returns
6 authorized by other state regulatory commissions nationwide in rate case
7 decisions since 2019 for distribution only electric investor-owned utilities.
- 8 • The 10.95% ROE recommended by PECO's witness, Mr. Moul, is based on an
9 improper application of widely used and accepted analytical methodologies –
10 the Discounted Cash Flow (DCF) method, the Capital Asset Pricing Model
11 (CAPM) and the Risk Premium method. Additionally, Mr. Moul relied on
12 methods that are not widely used and accepted, such as the Comparable
13 Earnings method, a leverage adjustment and the Hamada Adjustment.
- 14 • Mr. Moul also ignores PECO's low risk as a wires only company, the risk-free
15 cost of capital, and the national average authorized ROEs for distribution only
16 electric utilities.

17 **Post-Test Year Revenue Adjustment**

- 18 • PECO is proposing a post-test year revenue adjustment that increases its test-
19 year revenue requirement by \$13.2 million. That is, despite using a fully
20 projected future test year (FPFTY) ending December 31, 2022, to set rates in
21 this case, PECO also wants to recognize lost revenues that are assumed to
22 occur in the years 2023 and 2024 under its Energy Efficiency and Conservation
23 (EE&C) plan. This post-test year sales adjustment is speculative and
24 overreaching.
- 25 • The post-test year adjustment also violates the Matching Principle because it
26 results in rates that are based on inconsistent assumptions; that is, the
27 projected revenues do not reflect the same assumptions as the corresponding
28 expenses.
- 29 • Recognizing lost revenues in years beyond the test year would all but
30 guarantee that PECO over-recovers test-year costs and earns more than the
31 return authorized by the Commission. This would violate the regulatory
32 compact, which is to provide a reasonable *opportunity* (and not a guarantee)
33 for PECO to earn a reasonable return on its used and useful investments and
34 to recover its reasonable and necessary operating expenses.
- 35 • Accordingly, the Commission should reject PECO's post-test year revenue
36 adjustment.

2. RETURN ON EQUITY

1 **Q WHAT RETURN ON EQUITY IS PECO REQUESTING?**

2 A PECO's ROE witness, Mr. Moul, recommends a 10.95% ROE, which includes a 0.25%
3 performance adjustment "in recognition of the exemplary performance of the
4 Company's management."¹

5 **Analysis of PECO's Recommended ROE**

6 **Q HOW DID MR. MOUL DETERMINE THAT A 10.95% ROE IS APPROPRIATE FOR**
7 **PECO?**

8 A Mr. Moul used four methodologies to estimate PECO's ROE, including the DCF
9 methodology, the CAPM, the Risk Premium model, and the Comparable Earnings
10 methodology. A detailed description of the DCF, CAPM, and Risk Premium methods
11 is provided in **Exhibit ____ (BSL-3)**. The Comparable Earnings methodology and its
12 flaws are discussed later in testimony. The results of Mr. Moul's application of these
13 methods are summarized in Table 1.

Table 1 ² PECO Estimated ROE	
Methodology	ROE
DCF	10.66%
Risk Premium	10.00%
CAPM	11.65%
Comparable Earnings	12.60%

¹ PECO Energy Company Statement No. 5, Direct Testimony of Paul R. Moul at 2.

² *Id.* at 6

1 **Q ARE EACH OF THE METHODS USED BY MR. MOUL WIDELY ACCEPTED IN**
2 **DETERMINING THE PROPER RETURN ON EQUITY?**

3 A The DCF, CAPM and Risk Premium are widely accepted methodologies that are used
4 to estimate a utility's ROE. The Comparable Earnings methodology is not widely
5 accepted or used to determine the estimated ROE.

6 **Q IN ADDITION TO USING METHODS THAT ARE NOT WIDELY ACCEPTED, ARE**
7 **THERE OTHER PROBLEMS WITH HIS ROE ANALYSIS?**

8 A Yes. Mr. Moul's estimated ROE is too high for several reasons. First, two companies
9 that Mr. Moul included in his proxy group are not comparable to PECO. Second, his
10 DCF analysis includes a leverage adjustment that serves to inflate his estimated ROE.
11 Third, his Risk Premium analysis uses selective data to estimate the equity risk
12 premium. Fourth, his CAPM analysis also uses selective data to estimate the market
13 risk premium (MRP) and includes a beta adjustment that also increases his ROE
14 estimate.

15 **Improper Proxy Group**

16 **Q WHAT COMPANIES DID MR. MOUL INCLUDE IN HIS PROXY GROUP?**

17 A Mr. Moul used a proxy group comprised of nine electric utilities. Of the nine
18 companies, two operate vertically integrated electric utilities, Duke Energy Corporation
19 (Duke Energy) and NextEra Energy, Inc. (NextEra). PECO is a distribution company
20 and does not own generation assets. A utility that operates generation assets is
21 considered riskier than a utility that provides distribution service only. Therefore, a
22 higher return is required. Duke Energy and NextEra Energy are not comparable to
23 PECO and should be excluded from the proxy group.

2. Return on Equity

1 **Improper Application of the DCF Method**

2 **Q WHAT IS THE DCF METHOD?**

3 A The DCF method estimates the ROE using projected earnings growth rates and
4 dividend rates for companies in the proxy group. The expected ROE equals the
5 dividend rate plus the expected growth dividends, which is based on the expected
6 growth in earnings.

7 **Q DID MR. MOUL PROPERLY APPLY THE DCF METHOD?**

8 A No. Mr. Moul estimated the average DCF using a projected earnings growth rate of
9 5.15% for the companies in his electric proxy group, which was derived using data
10 from I/B/E/S, Zacks, and Value Line.³ The dividend yield, 4.08%, is based on the six
11 month historical dividend yield for the companies in his electric proxy group, adjusted
12 for expected growth.⁴ Based on this data, the estimated DCF ROE is 9.23%.
13 However, Mr. Moul employs a “leverage adjustment” that inflates the estimate by 143
14 basis points, thereby increasing the DCF ROE to 10.66%.⁵

15 **Q WHAT IS THE CLAIMED PURPOSE OF A LEVERAGE ADJUSTMENT?**

16 A Mr. Moul uses a leverage adjustment to adjust the DCF results to account for the
17 variance in the book capital structure for PECO as compared to the average market
18 capital structure for the proxy group. Because PECO’s book equity structure has less
19 common equity than the average of the proxy group’s common equity ratio, the
20 leverage adjustment increases the DCF ROE to account for the additional perceived

³ *Id.* at 30.

⁴ *Id.* at 23-24.

⁵ *Id.* at 34-35.

1 risk due to the higher debt level for PECO. The leverage adjustment artificially inflates
2 PECO's estimated ROE.

3 **Q IS PECO'S BOOK CAPITAL STRUCTURE COMPARABLE TO THE PROXY**
4 **GROUP'S AVERAGE CAPITAL STRUCTURE?**

5 A No. Mr. Moul compares the market capital structure of the companies in his electric
6 proxy group to PECO's book capital structure. Investors are aware that the return on
7 equity for a regulated utility is based on its book equity and not market equity. Further,
8 the average market equity for the proxy group is based on the holding companies'
9 market capital structure and not the regulated capital structure for the regulated utilities
10 that are owned by each company. Therefore, the comparison is not an apples to
11 apples comparison and should be rejected.

12 **Q HAVE YOU REVISED MR. MOUL'S DCF ANALYSIS?**

13 A Yes. I revised Mr. Moul's DCF analysis by removing Duke Energy and NextEra from
14 his proxy group. After removing these companies, I estimated the average earnings
15 growth rate using Mr. Moul's data. The average growth rate is 3.43%. Next, I
16 calculated the average expected dividend yield based on Mr. Moul's data, which is
17 4.32%. The result is an estimated ROE of 7.75%.

18 **Improper Application of the Risk Premium Method**

19 **Q WHAT IS THE RISK PREMIUM METHOD?**

20 A The Risk Premium method estimates the ROE for a utility as the sum of a bond yield
21 plus an equity risk premium yield.

1 **Q HOW DID MR. MOUL MISAPPLY THE RISK PREMIUM METHOD?**

2 A Mr. Moul misapplied the Risk Premium method because he used selective data to
3 estimate the equity risk premium. The equity risk premium is the difference between
4 the market return and long term risk-free interest rates.

5 **Q WHAT ARE THE RESULTS OF MR. MOUL'S RISK PREMIUM ANALYSIS?**

6 A The results of his risk premium analysis are shown in Table 2.

Table 2 PECO's Common Equity Risk Premium ⁶	
Description	Amount
Low Interest Rates	6.70%
Avg. All Interest Rates	5.69%
High Interest Rates	4.69%

7 Mr. Moul estimated the equity risk premium during periods of low interest rates as
8 6.75%, and added that to his forecast long-term interest rate of 3.25% to develop his
9 estimated ROE of 10%.⁷

10 **Q DO YOU AGREE WITH MR. MOUL'S EQUITY RISK PREMIUM ANALYSIS?**

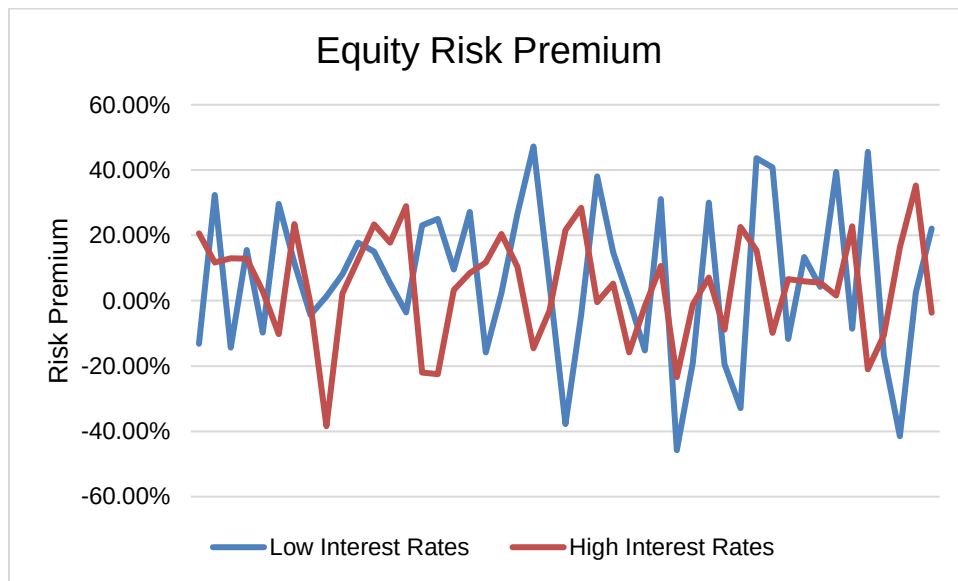
11 A No. Mr. Moul's equity risk premium inflates his estimated ROE because he only
12 considers the equity risk premium during periods of low interest rates. Further, his
13 estimate (6.75%) is higher than the average equity risk premium during periods of low
14 interest rates (6.70%).

⁶ *Id.* at 40.

⁷ *Id.*

1 **Q DOES THE EQUITY RISK PREMIUM VARY SIGNIFICANTLY REGARDLESS OF**
2 **THE LEVEL OF INTEREST RATES?**

3 **A Yes.** The graph below compares the equity risk premium during periods of low interest
4 rates, as defined by Mr. Moul, as 1.94% to 4.15%, and high interest rates, 4.17% to
5 13.34%.



6 As shown above, the equity risk premium varies widely, regardless of the level of
7 interest rate. Therefore, a better way to measure the equity risk premium is to use the
8 average equity risk premium over all years, which is 5.69%.

9 **Q WHAT IS THE ESTIMATED ROE IF THE AVERAGE EQUITY RISK PREMIUM IS**
10 **USED?**

11 **A The estimated ROE using the overall average equity risk premium is the long-term**
12 interest rate of 3.25% plus 5.69%, or 8.94%.

1 **Improper CAPM Analysis**

2 **Q WHAT IS THE CAPM?**

3 A The CAPM is similar to the Risk Premium method because it estimates the ROE using
4 the long-term risk-free rate and the equity risk premium. The equity risk premium is
5 estimated using the MRP times a stock's beta, which represents its risk relative to the
6 market. The equity risk premium plus the long-term risk free rate equals the estimated
7 ROE.

8 **Q DID MR. MOUL CORRECTLY APPLY THE CAPM METHOD?**

9 A No. Mr. Moul's CAPM analysis used an estimated average beta of 0.90 for his proxy
10 group based on data from Value Line,⁸ and he also applied a financial risk adjustment
11 (the Hamada Adjustment) to the beta to recognize the difference in the market value
12 capital structure and PECO's book capital structure. The Hamada Adjustment is not
13 a generally accepted approach and is unreasonable.

14 **Q WHAT IS THE HAMADA ADJUSTMENT?**

15 A The Hamada Adjustment is yet another financial risk adjustment. Specifically, it
16 adjusts the proxy group betas to recognize the difference in their *market* value capital
17 structure and PECO's *book* capital structure. The betas for the proxy companies are
18 "unlevered," or adjusted to reflect their value if the company did not have any debt in
19 its capital structure. These unlevered betas are then re-levered using PECO's book
20 value capital structure to determine the average beta for Mr. Moul's CAPM analyses.
21 The Hamada Adjustment increases the beta, which results in a higher ROE. As stated

⁸ *Id.* at 41.

1 above, investors are aware that the authorized ROE is applied to PECO's book capital
2 structure and not its market capital structure. Therefore, this financial risk adjustment
3 should be rejected.

4 **Q WHAT IS MR. MOUL'S BETA AFTER APPLYING THE HAMADA ADJUSTMENT?**

5 A Mr. Moul's revised beta is 1.10.⁹ This financial adjustment increases the beta, which
6 inflates the CAPM-derived ROE.

7 **Q WHAT LONG-TERM RISK FREE RATE DID MR. MOUL USE?**

8 A Mr. Moul's long-term risk free rate is 2.0%, which is based on his review of forecast
9 risk free rates.¹⁰

10 **Q WHAT MARKET RISK PREMIUM DID MR. MOUL USE IN HIS ANALYSIS?**

11 A Mr. Moul used two MRPs: an historical MRP and a forecast MRP. The historical MRP
12 is based on the difference between the average market return of 11.92% during low-
13 interest rate periods, and the average long-term risk-free rate of 2.88%.¹¹ The
14 historical MRP is 9.04% (11.92%-2.88%). The forecast market risk premium of 10.5%,
15 less the forecast long-term risk-free rate of 2%, produces a forecast MRP of 8.5%.¹²
16 Mr. Moul averaged the historical and forecast MRPs to determine his MRP of 8.77%
17 [(9.04%+8.50%)/2]. Using the 2% risk-free rate, the 1.1 beta and the MRP of 8.77%
18 results in an 11.65% ROE:

19
$$2\% + 1.1 \times 8.77\% = 11.65\%.$$

⁹ *Id.* at 42.

¹⁰ *Id.* at 43.

¹¹ *Id.* at 44.

¹² *Id.*

1 **Q DID MR. MOUL PROPERLY APPLY THE CAPM?**

2 A No. As noted above, the Hamada Adjustment he made to beta is improper. Further,
3 his historical MRP is too high, because he used selective data to determine the MRP.
4 Mr. Moul estimated the MRP using data from low interest rate periods. Similar to the
5 equity risk premium in his Risk Premium analysis, Mr. Moul should estimate the MRP
6 based on the totality of the historical data. **Exhibit ____ (BSL-4)** shows the MRP over
7 all periods, which is 7.1%. The MRP is calculated using interest rates from all historical
8 periods. The MRP based on all historical data is 7.1%. The average of Mr. Moul's
9 projected MRP and the corrected historical MRP is 7.80% $[(8.50\% + 7.1\%)/2]$.
10 Additionally, Mr. Moul's estimated average beta includes Duke Energy and NextEra,
11 which are not comparable to PECO. The revised beta excluding these companies is
12 0.91.

13 **Q WHAT WOULD BE THE CAPM-DERIVED ROE USING THESE REVISED INPUTS?**

14 A Using the projected risk-free rate of 2%, the 0.91 beta and the 7.80% MRP, the revised
15 ROE is 9.1%.¹³

16 **Comparable Earnings Method**

17 **Q WHAT IS THE COMPARABLE EARNINGS METHOD?**

18 A The Comparable Earnings method estimates the ROE by comparing actual returns for
19 non-regulated companies to returns that a regulated utility with similar characteristics
20 would need to attract capital.

¹³ $9.1\% = 2\% + 0.91 \times 7.80\%$.

1 **Q IS THE COMPARABLE EARNINGS METHOD FREQUENTLY USED TO**
2 **DETERMINE A UTILITY'S ROE?**

3 A No. The Comparable Earnings method is not commonly used and produces
4 overstated ROEs. This is because it estimates the ROE using returns realized by non-
5 regulated companies that have similar risk characteristics. Applying this method, Mr.
6 Moul estimated the average historical return for his comparable group at 12.2% and
7 the forecast return at 13%, using data from Value Line.¹⁴ Mr. Moul's analysis used
8 historical and projected returns on book value for non-regulated companies to
9 determine the estimated ROE for PECO. Investor returns for non-regulated
10 companies are not related to expected returns for lower risk, regulated electric
11 distribution companies. Therefore, the Comparable Earnings' results should be
12 rejected.

13 **Corrections to Mr. Moul's ROE Analysis**

14 **Q WOULD CORRECTING THE FLAWS IN MR. MOUL'S ROE ANALYSIS IDENTIFIED**
15 **IN YOUR TESTIMONY MATERIALLY CHANGE THE RESULT?**

16 A Yes. Correcting the flaws in Mr. Moul's ROE analysis would significantly change the
17 required ROE, as shown in Table 3.

Table 3 PECO Corrected ROE	
Methodology	Corrected Result
DCF	7.75%
Risk Premium	8.94%
CAPM	9.10%
Comparable Earnings	N/A

18 Clearly, Mr. Moul's estimated 10.95% ROE is overstated.

¹⁴ *Id.* at 47-48.

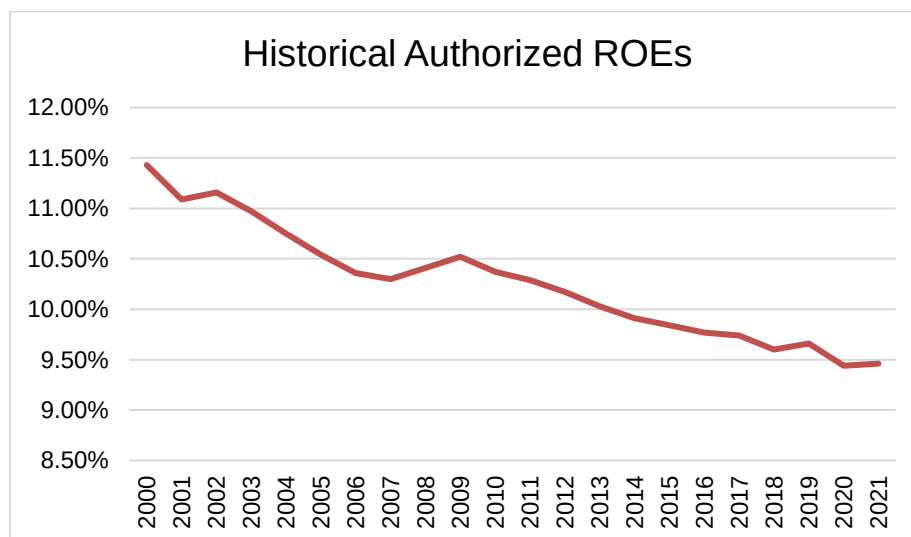
Trends in State Authorized ROEs

Q WHAT IS THE NATIONAL AVERAGE ROE FOR ELECTRIC DISTRIBUTION UTILITIES?

A The national average authorized ROE for electric utilities was 9.37% in 2019, and 9.1% in 2020, as reported by RRA. A copy of the RRA Report is provided in **Exhibit ____ (BSL-5)**. These averages reflect the authorized ROEs from rate cases in Pennsylvania, as well as ROEs authorized by other state regulatory commissions in general rate cases. As discussed later, this is a reasonable basis for assessing the trend in authorized ROEs.

Q WHY SHOULD THE COMMISSION GIVE SIGNIFICANT WEIGHT TO ROE DETERMINATIONS RESULTING FROM EVIDENTIARY RECORDS THAT ARE NOT A PART OF THIS PROCEEDING?

A The trend in utility authorized ROEs indicates that, in general, utilities' current risks are lower than in the past. The graph below shows the average historical authorized ROE for U.S. based electric utilities since 2000 through the first quarter of 2021.



1 The lower authorized returns are due, in part, to the lower risk-free cost of capital and
2 the implementation of various cost recovery mechanisms and other enhancements
3 that have reduced regulatory lag.

4 **Q HOW DOES PECO'S REQUESTED ROE COMPARE TO THE NATIONAL**
5 **AVERAGE ROE FOR ELECTRIC DISTRIBUTION UTILITIES?**

6 A PECO's requested 10.95% ROE is 185 basis points higher than the average
7 authorized ROE for electric distribution utilities (9.1%) in 2020. Clearly, PECO's
8 requested ROE is out of step with declining national average authorized ROEs.

9 **Q HOW WOULD PECO'S PROJECTED REVENUE REQUIREMENT BE AFFECTED**
10 **IF THE COMMISSION SET PECO'S ROE AT THE RRA NATIONAL AVERAGE FOR**
11 **2020?**

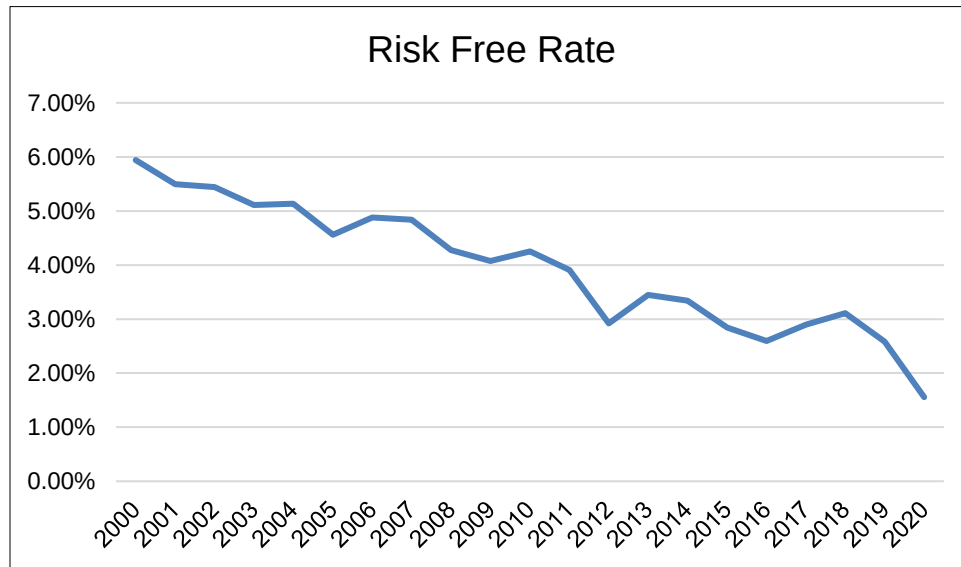
12 A Lowering PECO's estimated ROE to 9.1% reduces PECO's revenue requirement by
13 \$94.8 million. **Exhibit ____ (BSL-6)** provides the detailed calculations.

14 **Risk-Free Cost of Capital**

15 **Q HOW HAS THE RISK-FREE COST OF CAPITAL CHANGED IN THE PAST**
16 **TWENTY YEARS?**

17 A The risk-free cost of capital is represented by the yield on 30-year U.S. Treasury
18 bonds. The 30-year U.S. Treasury bond interest rate is used because the term of the
19 security should closely match the lifetime of the underlying assets. As can be seen in
20 the following graph, the risk-free cost of capital has steadily declined over the last 20
21 years.¹⁵

¹⁵ Calculated using data from U.S. Department of the Treasury, Resource Center.



1 **Q WHAT ARE THE IMPLICATIONS OF THE DECLINE IN THE RISK-FREE COST OF**
2 **CAPITAL IN DETERMINING A FAIR AND REASONABLE ROE?**

3 **A All other things being equal, a declining risk-free cost of capital should translate into a**
4 **correspondingly lower authorized ROE.**

5 **Q WHY DOES A DECLINING RISK-FREE COST OF CAPITAL SUPPORT A LOWER**
6 **AUTHORIZED ROE?**

7 **A A lower risk-free rate, coupled with the risk premium, will produce a lower ROE. The**
8 **risk premium measures the additional risk to a stock above the risk-free rate. This risk**
9 **premium plus the risk-free rate is one methodology used to estimate a utility's ROE.**
10 **A lower risk-free rate will reduce the estimated ROE. As demonstrated by the declining**
11 **risk-free cost of capital, PECO's requested 10.95% ROE is excessive.**

3. POST-TEST YEAR REVENUE ADJUSTMENT

1 **Q WHY IS PECO PROPOSING A POST-TEST YEAR SALES ADJUSTMENT?**

2 **A PECO's proposed post-test year sales adjustment, which increases test-year revenue**
3 requirement by \$13.2 million, would account for projected lost revenues resulting from
4 targeted load reductions in 2023 and 2024.¹⁶ The targeted load reductions are based
5 on energy efficiency and conservation programs that will result in reduced usage.

6 **Q HOW DID PECO RECOGNIZE THE LOST REVENUES IN 2023 AND 2024?**

7 **A The forecast lost revenues for 2023 and 2024 were estimated by rate class. The**
8 forecast lost revenues for all rate classes in 2023 are \$17.5 million and \$26.6 million
9 in 2024.¹⁷ PECO estimated these amounts based on its target revenue impacts above
10 the FPFTY for 2023 and 2024. PECO estimated the incremental revenue impact for
11 each year above the FPFTY revenues, (\$8.7 million in 2023 and \$17.7 million in 2024)
12 and removed the average lost revenues for these two years, \$13.2 million, from its
13 expected revenues in 2022.¹⁸ Therefore, in addition to reflecting the lost revenues in
14 the FPFTY, PECO is proposing to make a further post-test year adjustment to
15 revenues as if PECO had accomplished the target usage reductions it hopes to
16 achieve in 2023 and 2024.

17 **Q IS SUCH A POST-TEST YEAR ADJUSTMENT APPROPRIATE?**

18 **A No. First, post-test year adjustments are not compatible with the use of a FPFTY to**

¹⁶ PECO Energy Company Statement No. 3, Direct Testimony of Michael J. Trzaska at 34.

¹⁷ *Id.*, Exhibit MJT-1, Schedule D-5c.

¹⁸ *Id.*

1 set rates. This is because the purpose of having a FPFTY is to represent the
2 conditions that will exist when the rates authorized in this case are in effect. Setting
3 usage and revenues to levels not anticipated to occur until 2023 and 2024 would not
4 be representative of the FPFTY conditions.

5 Second, PECO's adjustment is tantamount to using three different test years
6 to set rates. The projected revenue requirements reflect calendar year 2022
7 conditions, while the corresponding revenue reductions reflect conditions for 2023 and
8 2024. The use of three different test years to determine costs and revenues violates
9 the Matching Principle of ratemaking.

10 Third, PECO's adjustment is overreaching and speculative because it ignores
11 potentially offsetting reductions in costs and speculates that PECO will fully achieve
12 its EE&C targets.

13 **Q WHAT IS THE MATCHING PRINCIPLE?**

14 **A** The Matching Principle means using a consistent set of assumptions for all ratemaking
15 components (e.g., sales, revenues, invested capital and operating expenses). The
16 fundamental premise behind the Matching Principle is the fact that rates are set as
17 follows:

$$18 \quad \text{Rate} = \frac{\text{Adjusted Test Year Costs}}{\text{Adjusted Test Year Sales}}$$

19 Thus, in order to set rates, costs must be determined for the same test year as the
20 corresponding sales. If rates are to be set using 2022 costs, but sales are based on
21 the average 2023 and 2024 sales, which are projected to be 0.5% lower as a result
22 of meeting EE&C targets two years after the close of the test year, the utility's rates
23 would over-collect costs by 0.5%.

1 **Q IS THE MATCHING PRINCIPLE RECOGNIZED IN SETTING RATES?**

2 A Yes. The Commission is authorized to set rates based on a FPFTY in order to
3 significantly reduce regulatory lag. This does not change the fundamental purpose of
4 a test year, which is to assess a utility's revenue requirements based on the utility's
5 expected sales, revenues and costs during the period in which new rates would be in
6 effect. The only way to provide a representative measure of the utility's revenue
7 requirements is to use the same period to determine a utility's rate base and net
8 operating income (*i.e.*, to apply the Matching Principle). It also precludes post-test
9 year adjustments that would effectively use three different test years to set rates.

10 **Q WHY ELSE IS PECO'S POST-TEST YEAR REVENUE ADJUSTMENT**
11 **INAPPROPRIATE?**

12 A Although PECO is implementing its energy efficiency and conservation programs, it is
13 far from certain that these targets will be achieved. Thus, the impact of the proposed
14 programs is not predictable with reasonable certainty. Further, it would be piecemeal
15 ratemaking because PECO is attempting to set rates that reflect only one factor (*i.e.*,
16 projected usage reductions resulting from its energy efficiency and conservation
17 programs) without also recognizing other factors that would offset lower usage.
18 Potentially offsetting factors would include higher revenues due to future customer
19 additions or lower costs resulting from the depreciation of existing plant and
20 productivity improvements. In addition, lower peak demand means that the existing
21 facilities would remain sufficient for a longer period, thereby lessening the need to
22 make future capital additions. However, PECO made no such offsetting adjustments.

1 **Q WOULD DENYING THIS POST-TEST YEAR ADJUSTMENT MEAN THAT PECO**
2 **WILL NOT HAVE A REASONABLE OPPORTUNITY TO EARN ITS AUTHORIZED**
3 **RETURN AND RECOVER TEST-YEAR EXPENSES?**

4 A No. Allowing a post-test year revenue adjustment would guarantee that PECO earns
5 in excess of its authorized return. As previously explained, if sales are understated,
6 the resulting rates will be overstated. Thus, applying inflated rates to the test-year
7 usage, which is higher than the projected usage at the end of 2022, would allow PECO
8 to over-recover test-year costs. In other words, all other things being equal, PECO
9 will likely earn in excess of its authorized return. This situation is not consistent with
10 the regulatory compact, which should provide a utility with an *opportunity* and not a
11 *guarantee* to earn its Commission-authorized rate of return. However, if PECO finds
12 itself in the position that revenues are not sufficient to recover its reasonable and
13 necessary costs, it retains the right to file a rate case.

14 **Q WHAT DO YOU RECOMMEND?**

15 A The Commission should reject PECO's proposal to adjust its revenues for the FPFTY
16 based on expected average lost revenues for 2023 and 2024. This would result in an
17 increase of \$13.2 million in test-year revenues.

4. CONCLUSION

1 **Q WHAT FINDINGS SHOULD THE COMMISSION MAKE BASED ON YOUR**
2 **RECOMMENDATIONS?**

3 **A The Commission should make the following findings:**

- 4 • Reject PECO's proposed 10.95% ROE and authorize an ROE that is
5 consistent with the trend of lower ROEs nationwide and the decreasing
6 risk-free cost of capital.
- 7 • Reject PECO's \$13.2 million post-test year adjustment.

8 **Q DOES THIS CONCLUDE YOUR DIRECT TESTIMONY?**

9 **A Yes.**

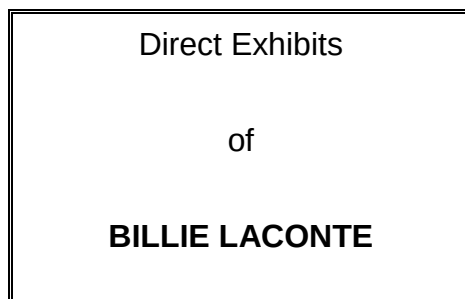
**BEFORE THE
PENNSYLVANIA PUBLIC UTILITY COMMISSION**

Pennsylvania Public Utility Commission

v.

Docket No. R-2021-3024601, et al.

PECO Energy Company – Electric Division



On Behalf of

Philadelphia Area Industrial Energy Users Group

June 28, 2021



QUALIFICATIONS OF BILLIE S. LACONTE

1 **Q PLEASE STATE YOUR NAME AND BUSINESS ADDRESS.**

2 A Billie S. LaConte. My business mailing address is 12647 Olive Blvd., Suite 585, St.
3 Louis, Missouri 63141.

4 **Q WHAT IS YOUR OCCUPATION AND BY WHOM ARE YOU EMPLOYED?**

5 A I am an energy advisor and am currently employed by J. Pollock, Incorporated as
6 Associate Consultant.

7 **Q PLEASE STATE YOUR EDUCATIONAL BACKGROUND AND EXPERIENCE.**

8 A I have a Bachelor of Arts Degree in Mathematics from Boston University and a
9 Master's degree in Business Administration from Washington University.

10 Upon graduation in May 1995, I joined Drazen Consulting Group, Inc. (DCGI).
11 DCGI was incorporated in 1995 assuming the utility rate and economic consulting
12 activities of Drazen Associates, Inc., active since 1937. I joined J.Pollock in May 2015.

13 During my tenure at DCGI and J.Pollock my work has focused on revenue
14 requirement issues, cost of capital (return on equity and capital structure), cost
15 allocation, rate design, sales and price forecasts, power cost forecasting, electric
16 restructuring issues, integrated resource plans, formula rate plans, asset management
17 agreements and contract interpretation.

18 I have been engaged in a wide range of consulting assignments including
19 energy and regulatory matters in both the United States and several Canadian
20 provinces. This has included advising clients on economic and strategic issues
21 concerning the natural gas pipeline, oil pipeline, electric, wastewater and water
22 utilities. I have prepared cost allocation and rate design studies to provide timely

1 support to clients engaged in settlement negotiations in electric and gas utilities,
2 provided power cost forecasting studies to assist clients in project planning and
3 negotiated contracts with electric utilities for standby services and interruptible rates.
4 I have also prepared studies on electric and gas utilities' performance-based rates
5 (PBR) and benchmarking programs to evaluate their success and to provide
6 recommendations on methods to be used. I worked on contract interpretation to
7 resolve contract disputes for several clients. I have provided financial and cost of
8 service analysis for natural gas pipelines certificate approval from the Federal Energy
9 and Regulatory Commission (FERC) and the Canadian National Energy Board (NEB).
10 Additionally, I completed the Corporate Credit Rating Analysis course presented by
11 Moody's Analytics.

12 I have worked on various projects located in many states and several Canadian
13 provinces including Alberta, British Columbia, Saskatchewan, Nova Scotia and
14 Quebec. I have testified before the state regulatory commissions of Arkansas,
15 Georgia, Iowa, Louisiana, Michigan, Minnesota, Missouri, New Mexico, Pennsylvania,
16 Texas and South Carolina, and the provincial regulatory boards of Alberta and Nova
17 Scotia. I similarly have appeared before the St. Louis Metropolitan Sewer District
18 Commission.

19 **Q PLEASE DESCRIBE J. POLLOCK, INCORPORATED.**

20 A J. Pollock assists clients to procure and manage energy in both regulated and
21 competitive markets. The J. Pollock team also advises clients on energy and
22 regulatory issues. Our clients include commercial, industrial and institutional energy
23 consumers. J. Pollock is a registered Class I aggregator in the State of Texas.

**Testimony Filed in Regulatory Proceedings
by Billie S. LaConte**

UTILITY	ON BEHALF OF	DOCKET	TYPE	REGULATORY JURISDICTION	SUBJECT	DATE
FLORIDA LIGHT & POWER COMPANY	Florida Industrial Power Users Group	20210015-EI	Direct	FL	Cost of Capital; Early Plant Retirement; Rate Case Expense Amortization; Income Tax Change Mechanism	6/21/2021
DTE GAS COMPANY	Association of Businesses Advocating Tariff Equity	U-20940	Direct	MI	Return on Equity; Operation and Maintenance Expenses; Incentive Compensation	6/3/2021
SOUTHWESTERN PUBLIC SERVICE COMPANY	Occidental Permian Ltd.	20-00238-UT	Direct	NM	Rate Design, Retired Plant, Expense Amortization	5/17/2021
PHILADELPHIA WATER DEPARTMENT	Philadelphia Large Users Group	Fiscal Years 2022-2023	Rebuttal	PA	Class Cost-of-Service Study; Stormwater Incentive Program	4/7/2021
SOUTHWESTERN ELECTRIC POWER COMPANY	Texas Industrial Energy Consumers	51415	Direct	TX	Early Plant Retirement; Excess Accumulated Deferred Federal Income Taxes; Self-Insurance Reserve; Imputed Capacity	3/31/2021
SHARYLAND UTILITIES, L.L.C.	Texas Industrial Energy Consumers	51611	Direct	TX	Rate-Case Expenses; Operation and Maintenance Expense; Transmission Cost of Service Refund Rider	3/8/2021
PECO ENERGY COMPANY	Philadelphia Area Industrial Energy Users Group	2020-3018929	Surrebuttal	PA	Revenue Allocation; Rate Design	2/9/2021
PECO ENERGY COMPANY	Philadelphia Area Industrial Energy Users Group	2020-3018929	Rebuttal	PA	Allocation of Distribution Mains; Revenue Allocation; Rate Design; Universal Service Fund Charge	1/19/2021
PECO ENERGY COMPANY	Philadelphia Area Industrial Energy Users Group	2020-3018929	Direct	PA	Class Cost-of-Service Study; Class Revenue Allocation	12/22/2020
ENTERGY ARKANSAS, LLC	Arkansas Electric Energy Consumers, Inc.	16-036-FR	Surrebuttal (FRP Extension)	AR	FRP Extension; Return on Equity; Capital Structure; Class Cost-of-Service Study; Industrial Rate Design	11/17/2020
PENNSYLVANIA-AMERICAN WATER COMPANY	Pennsylvania-American Large Water Users Group	2020-3019369 2020-3019371	Surrebuttal	PA	Rate Design; Regionalization and Consolidation Surcharge; Return on Equity	10/20/2020
ENTERGY ARKANSAS, LLC	Arkansas Electric Energy Consumers, Inc.	16-036-FR	Direct (FRP Extension)	AR	FRP Extension; Return on Equity; Capital Structure; Class Cost-of-Service Study; Industrial Rate Design	10/19/2020
ENTERGY ARKANSAS, LLC	Arkansas Electric Energy Consumers, Inc.	16-036-FR	Direct (2020 Eval. Report)	AR	Historical Year Netting Adjustment; :Long-Term Debt Costs	10/5/2020
PENNSYLVANIA-AMERICAN WATER COMPANY	Pennsylvania-American Large Water Users Group	2020-3019369 2020-3019371	Rebuttal	PA	Rate Design	9/29/2020
PENNSYLVANIA-AMERICAN WATER COMPANY	Pennsylvania-American Large Water Users Group	2020-3019369 2020-3019371	Direct	PA	Regionalization and Consolidation Surcharges; Commercial Rate Design	9/8/2020
CONSUMERS ENERGY COMPANY	Association of Businesses Advocating Tariff Equity	U-20697	Rebuttal	MI	Financial Compensation Mechanism; Deferred Capital Spending Recovery Mechanism; Karn 1 & 2 Retention and Separation costs, return on equity, storm restoration deferral; PowerMIFleet Pilot Foundational Infrastructure Program; Conservation Voltage Reduction	7/14/2020
CENTERPOINT ENERGY RESOURCES CORP	Arkansas Gas Consumers, Inc.	17-010-FR	Direct	AR	Projected Year Capital Expenditures; Capitalization Policy; Projected Year Adjustments	7/2/2020
CONSUMERS ENERGY COMPANY	Association of Businesses Advocating Tariff Equity	U-20697	Direct	MI	Return on Equity; Capital Structure; Debt Cost; Additional Surcharges and Deferred Regulatory Accounts	6/24/2020
CONSUMERS ENERGY COMPANY	Association of Businesses Advocating Tariff Equity	U-20650	Rebuttal	MI	Return on Equity; Statistical Analysis of Distribution Mains Allocation	5/5/2020
CONSUMERS ENERGY COMPANY	Association of Businesses Advocating Tariff Equity	U-20650	Direct	MI	Return on Equity; Capital Structure; Long-Term Debt Cost	4/14/2020
DTE GAS COMPANY	Association of Businesses Advocating Tariff Equity	U-20642	Rebuttal	MI	Return on Equity	4/14/2020

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UTILITY	ON BEHALF OF	DOCKET	TYPE	REGULATORY JURISDICTION	SUBJECT	DATE
DTE GAS COMPANY	Association of Businesses Advocating Tariff Equity	U-20642	Direct	MI	Return on Equity; Operation and Maintenance Expenses	3/24/2020
CONSUMERS ENERGY COMPANY	Association of Businesses Advocating Tariff Equity	U-20618	Direct	MI	Certificate of Convenience and Necessity	1/17/2020
ENTERGY ARKANSAS, LLC	Arkansas Electric Energy Consumers, Inc.	16-036-FR	Settlement Support	AR	Support of Settlement	10/30/2019
GEORGIA POWER COMPANY	Georgia Association of Manufacturers and Georgia Industrial Group	42516	Direct	GA	Alternate Rate Plan; Coal Combustion Residual Cost Recovery; Amortization of Retired Plant	10/17/2019
ENTERGY ARKANSAS, LLC	Arkansas Electric Energy Consumers, Inc.	16-036-FR	Direct	AR	Tax Cuts and Jobs Act Impact; Projected Year Revenues; Projected Year BRORB; Grid Modernization; Advanced Metering Infrastructure Expense	10/4/2019
SOUTHWESTERN ELECTRIC POWER COMPANY	Western Arkansas Large Energy Consumers	19-008-U	Surrebuttal	AR	SWEPCO's Formula Rate Review; Energy Cost Recovery Rider; Distribution Reliability Rider	9/24/2019
CENTERPOINT ENERGY RESOURCES CORP	Arkansas Gas Consumers, Inc.	17-010-FR	Settlement Support	AR	Support of Settlement	7/31/2019
SOUTHWESTERN ELECTRIC POWER COMPANY	Western Arkansas Large Energy Consumers	19-008-U	Direct	AR	SWEPCO's Formula Rate Review; Capital Structure; Distribution Reliability Rider; Arkansas Formula Rate Plans	7/16/2019
CENTERPOINT ENERGY RESOURCES CORP	Arkansas Gas Consumers, Inc.	17-010-FR	Direct	AR	Formula Rate Plan, Capital Additions, Operation and Maintenance Expenses	7/2/2019
ENTERGY LOUISIANA, LLC	Occidental Chemical Corporation	U-35130	Cross-Answering	LA	Fuel Tracking Mechanism	7/1/2019
CENTERPOINT ENERGY HOUSTON ELECTRIC, LLC	Texas Industrial Energy Consumers	49421	Direct	TX	Unprotected Excess Deferred Income Tax Rider; Incentive Compensation	6/6/2019
ENTERGY LOUISIANA, LLC	Occidental Chemical Corporation	U-35130	Direct	LA	Fuel Tracking Mechanism	5/10/2019
CONSUMERS ENERGY COMPANY	Association of Businesses Advocating Tariff Equity	U-20322	Rebuttal	MI	Return on Equity	4/29/2019
CENTERPOINT ENERGY RESOURCES CORP	Arkansas Gas Consumers, Inc.	18-057	Supplemental Surrebuttal	AR	Gas Distribution Upstream Services Contracting Process	4/23/2019
CENTERPOINT ENERGY RESOURCES CORP	Arkansas Gas Consumers, Inc.	18-057	Surrebuttal	AR	Gas Distribution Upstream Services Contracting Process	4/12/2019
CONSUMERS ENERGY COMPANY	Association of Businesses Advocating Tariff Equity	U-20322	Direct	MI	Return on Equity; Capital Structure; Project vs. Historical Test Year; Earnings Sharing Mechanism	4/5/2019
DUKE ENERGY PROGRESS, LLC	Nucor Steel - South Carolina	2018-318-E	Direct	SC	Excess Deferred Income Tax Rider; Post-Test Year Adjustments; Coal Ash Pond Closure Expense; End-of-Life Nuclear Costs; Regulatory Assets; Return on Equity and Equity Ratio	3/4/2019
CENTERPOINT ENERGY RESOURCES CORP	Arkansas Gas Consumers, Inc.	18-057	Direct	AR	Gas Distribution Upstream Services Contracting Process	2/12/2019
ENTERGY ARKANSAS, INC.	Arkansas Electric Energy Consumers, Inc.	16-036-FR	Settlement Support	AR	Support of Settlement	10/30/2018
ENTERGY ARKANSAS, INC.	Arkansas Electric Energy Consumers, Inc.	16-036-FR	Direct	AR	Formula Rate Plan Tariff; Long-Term Debt Cost and Preferred Equity; Projected Year Capital Additions; Historical Year Capital Additions	10/4/2018
CONSUMERS ENERGY COMPANY	Association of Businesses Advocating Tariff Equity	U-20134	Rebuttal	MI	Return on Equity	10/1/2018

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UTILITY	ON BEHALF OF	DOCKET	TYPE	REGULATORY JURISDICTION	SUBJECT	DATE
CONSUMERS ENERGY COMPANY	Association of Businesses Advocating Tariff Equity	U-20134	Direct	MI	Return on Equity, Capital Structure and Long-Term Debt Cost, Investment Recovery Mechanism Excess Sharing Mechanism	9/10/2018
CENTERPOINT ENERGY RESOURCES CORP	Arkansas Gas Consumers, Inc.	17-010-FR	Opposition	AR	Opposition to Settlement Agreement	8/3/2018
CENTERPOINT ENERGY RESOURCES CORP	Arkansas Gas Consumers, Inc.	17-010-FR	Direct	AR	Impact of Tax Cuts and Jobs Act of 2017; Forecast Revenues; Uncollectible Expense; Pipeline Integrity Assessment and Remediation Expense	7/2/2018
ENTERGY ARKANSAS, INC.	Arkansas Electric Energy Consumers, Inc.	17-052	Surrebuttal	AR	Utility Restructuring Costs and Tax Effects	5/31/2018
PUBLIC SERVICE COMPANY OF NEW MEXICO	City of Farmington, New Mexico; Board of County Commissioners for San Juan County	17-00174	Direct	NM	Integrated Resource Plan; Future of San Juan Generation Station	5/4/2018
ENTERGY ARKANSAS, INC. and CENTERPOINT ENERGY ARKANSAS GAS	Arkansas Electric Energy Consumers, Inc. and Arkansas Gas Consumers, Inc.	18-006	Direct	AR	Effect on Revenue Requirement due to 2017 Tax Cuts and Jobs Act	3/29/2018
CONSUMERS ENERGY COMPANY	Association of Businesses Advocating Tariff Equity	U18424	Rebuttal	MI	Rate of Return	3/21/2018
ENTERGY ARKANSAS, INC.	Arkansas Electric Energy Consumers, Inc.	18-014-TF	Direct	AR	Impact of Tax Cuts and Jobs Act of 2017 and Tax Adjustment Rider	3/19/2018
CONSUMERS ENERGY COMPANY	Association of Businesses Advocating Tariff Equity	U-18424	Direct	MI	Rate of Return, Capital Structure	2/28/2018
CENTERPOINT ENERGY ARKANSAS GAS	Arkansas Gas Consumers, Inc.	17-050-U	Surrebuttal	AR	Asset Management Agreement Proposal	1/12/2018
CENTERPOINT ENERGY ARKANSAS GAS	Arkansas Gas Consumers, Inc.	17-050-U	Direct	AR	Asset Management Agreement Proposal	12/8/2017
ENTERGY ARKANSAS, INC.	Arkansas Electric Energy Consumers, Inc.	16-036-FR	Settlement Support	AR	Support of Settlement	10/31/2017
ENTERGY ARKANSAS, INC.	Arkansas Electric Energy Consumers, Inc.	16-036-FR	Direct	AR	Forecast Revenues, Cost of Debt, Revenue Requirement and Capital Additions	10/4/2017
CONSUMERS ENERGY COMPANY	Association of Businesses Advocating Tariff Equity	U-18322	Rebuttal	MI	Return on Equity	9/7/2017
CONSUMERS ENERGY COMPANY	Association of Businesses Advocating Tariff Equity	U-18322	Direct	MI	Return on Equity, Capital Structure	8/10/2017
CENTERPOINT ENERGY RESOURCES CORP	Arkansas Gas Consumers, Inc.	17-010-FR	Settlement Support	AR	Support of Settlement	7/31/2017
CENTERPOINT ENERGY RESOURCES CORP	Arkansas Gas Consumers, Inc.	17-010-FR	Direct	AR	Rate of Return, Capital Structure, Labor Expense	7/3/2017
ENTERGY ARKANSAS, INC.	Arkansas Electric Energy Consumers, Inc.	16-036-FR	Settlement Support	AR	Support of Settlement	10/24/2016
ENTERGY ARKANSAS, INC.	Arkansas Electric Energy Consumers, Inc.	16-036-FR	Direct	AR	Rate of Return, Forecast Revenue, Capitalization	9/30/2016
METROPOLITAN EDISON COMPANY; PENNSYLVANIA ELECTRIC COMPANY AND WEST PENN POWER	MEIUG, PICA and WPPII	2016-2537349, 2016-2537352, 2016-2537359	Surrebuttal	PA	Return on Equity	8/31/2016
METROPOLITAN EDISON COMPANY; PENNSYLVANIA ELECTRIC COMPANY AND WEST PENN POWER	MEIUG, PICA and WPPII	2016-2537349, 2016-2537352, 2016-2537359	Direct	PA	Return on Equity	7/22/2016
NORTHERN STATES POWER	Xcel Large Industrials	15-826	Direct	MN	Return on Equity, Multi-Year Rate Plan	6/14/2016

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UTILITY	ON BEHALF OF	DOCKET	TYPE	REGULATORY JURISDICTION	SUBJECT	DATE
CENTERPOINT ENERGY RESOURCES CORP	Arkansas Electric Energy Consumers, Inc.	15-098-U	Surrebuttal	AR	Return on Equity, Formula Rate Plan, Capital Structure	6/7/2016
CENTERPOINT ENERGY RESOURCES CORP	Arkansas Electric Energy Consumers, Inc.	15-098-U	Direct	AR	Return on Equity, Captial Structure	4/14/2016
MISSOURI-AMERICAN WATER COMPANY	BJC Healthcare	WR-2011-0337	Rebuttal	MO	Return on Equity	1/19/2012
MISSOURI-AMERICAN WATER COMPANY	BJC Healthcare	WR-2011-0337	Direct	MO	Return on Equity	11/17/2011
METROPOLITAN ST. LOUIS SEWER DISTRICT	Barnes-Jewish Hospital	N/A	Supplemental	MO	Rate Model	9/16/2011
METROPOLITAN ST. LOUIS SEWER DISTRICT	Barnes-Jewish Hospital	N/A	Surrebuttal	MO	Rate Increase, CIRP, Consent Decree	8/19/2011
METROPOLITAN ST. LOUIS SEWER DISTRICT	Barnes-Jewish Hospital	N/A	Rebuttal	MO	Rate Increase, CIRP, Consent Decree	7/18/2011
AMEREN UE	Missouri Energy Group	ER-2011-0028	Surrebuttal	MO	Return on Equity, Energy Efficiency Cost Recovery	4/15/2011
AMEREN UE	Missouri Energy Group	ER-2011-0028	Rebuttal	MO	Return on Equity, Energy Efficiency Cost Recovery	3/25/2011
AMEREN UE	Missouri Energy Group	ER-2011-0028	Direct	MO	Return on Equity	2/8/2011
AMEREN UE	Missouri Energy Group	EO-2010-0255	Direct	MO	Prudence Audit of FAC Periods 1 and 2	11/22/2010
ENTERGY ARKANSAS, INC.	Arkansas Electric Energy Consumers, Inc.	09-084-U	Direct - In Support	AR	Supporting the Proposed Settlement Agreement	5/11/2010
ENTERGY ARKANSAS, INC.	Arkansas Electric Energy Consumers, Inc.	09-084-U	Surrebuttal	AR	Return on Equity	4/14/2010
ENTERGY ARKANSAS, INC.	Arkansas Electric Energy Consumers, Inc.	09-084-U	Direct	AR	Return on Equity	2/26/2010
AMEREN UE	Missouri Energy Group	ER-2010-0036	Direct	MO	Energy Efficiency Costs	12/18/2009
AMEREN UE	Missouri Energy Group	ER-2008-0318	Surrebuttal	MO	Return on Equity	11/5/2008
AMEREN UE	Missouri Energy Group	ER-2008-0318	Direct	MO	Return on Equity, Off-System Sales	8/28/2008
METROPOLITAN ST. LOUIS SEWER DISTRICT	Missouri Energy Group	N/A	Rebuttal	MO	Long-Term Financial Plan, Capital Financing	5/2/2007
AMEREN UE	Missouri Energy Group	ER-2007-0002	Surrebuttal	MO	Return on Equity, Interruptible Demand, Response Pilot	2/27/2007
AMEREN UE	Missouri Energy Group	ER-2007-0002	Direct	MO	Interruptible Rate	12/29/2006
AMEREN UE	Missouri Energy Group	ER-2007-0002	Direct	MO	Return on Equity, Off-System Sales, Sharing Mechanism, 10% Cap on Residential	12/15/2006
AMEREN UE	Missouri Energy Group	EA-2005-0180	Rebuttal	MO	Economic Analysis	1/31/2005
NOVA SCOTIA POWER INC.	Avon Valley Greenhouses	NSUARB-P-881	Direct	NS	Cost of Capital	10/12/2004
MISSOURI-AMERICAN WATER COMPANY	Missouri Energy Group	WR-2003-0500	Surrebuttal	MO	Working Capital, Return on Equity, Cost Allocation	12/5/2003

**Testimony Filed in Regulatory Proceedings
by Billie S. LaConte**

UTILITY	ON BEHALF OF	DOCKET	TYPE	REGULATORY JURISDICTION	SUBJECT	DATE
MISSOURI-AMERICAN WATER COMPANY	Missouri Energy Group	WR-2003-0500	Rebuttal	MO	Rate Design	11/10/2003
MISSOURI-AMERICAN WATER COMPANY	Missouri Energy Group	WR-2003-0500	Direct	MO	Return on Equity, Acquisition Adjustment, Cash Working Capital	10/3/2003
METROPOLITAN ST. LOUIS SEWER DISTRICT	Missouri Energy Group	N/A	Direct	MO	Revenue Requirement, Financial Planning	4/22/2003
INTERSTATE POWER AND LIGHT COMPANY	Lee County Energy Users Group- Direct	RPU-02-3	Surrebuttal	IA	Revenue Requirement, Return on Equity	9/19/2002
METROPOLITAN ST. LOUIS SEWER DISTRICT	Missouri Energy Group	N/A	Surrebuttal	MO	Revenue Requirement, Capital Financing	8/13/2002
METROPOLITAN ST. LOUIS SEWER DISTRICT	Missouri Energy Group	N/A	Surrebuttal	MO	Revenue Requirement, Captial Financiaing, Cost Allocation	7/28/2002
INTERSTATE POWER AND LIGHT COMPANY	Lee County Energy Users Group- Direct	RPU-02-3	Direct	IA	Revenue Requirement, Return on Equity	7/26/2002
METROPOLITAN ST. LOUIS SEWER DISTRICT	Missouri Energy Group	N/A	Rebuttal	MO	Revenue Requirement, Capital Financing	7/10/2002

RETURN ON EQUITY METHODOLOGIES

Discounted Cash Flow Method

Single Stage Discounted Cash Flow

1 The discounted cash flow model is used by investors to determine the present value
2 of a stock, based on future cash flows (dividends), which are discounted by the stock's
3 known return and its forecast growth.

4 The formula is:

5
$$P = \frac{D}{r-g}$$

6 Where:

7 P = current stock price

8 D = dividend yield

9 r = rate of return

10 g = growth rate

11 We can re-arrange the formula thus:

12
$$r = \frac{D}{P} + g$$

13 In other words, the expected return equals (1) the current dividend rate, plus (2) the
14 expected growth in dividends. The expected growth in dividends is also measured by
15 the expected growth in earnings.

16 The stock prices are based on the average stock closing prices, typically for
17 the past 30 days. The average is used to ensure that the results reflect stock prices
18 over a period of time that is not overly reliant on any particular events affecting stock
19 prices on a given day and that represent capital market conditions over the past month

1 The growth rates are the forecast earnings per share growth rates for the next
2 five years. The dividends are forecast figures and are adjusted to reflect any quarterly
3 adjustments during the year.

4 Multi-Stage Discounted Cash Flow Methodology

5 A multi-stage DCF analysis uses three separate growth estimates or stages. The first
6 stage measures the near-term growth rate based on the analysts' forecast earnings
7 growth used in my constant growth DCF analysis. The second stage (intermediate-
8 term) growth rates are linear interpolations of the first and third stage growth rates.
9 The third stage (long-term) is the forecast of the long-term growth rate of gross
10 domestic product (GDP). Using these inputs, the model calculates the required
11 internal rate of return to meet these dividend growth rates, or the ROE.

12 The multi-stage method is used because analysts' growth rates for the first
13 stage may not be sustainable over the long-term. The multi-stage model recognizes
14 short-term growth (whether it be higher or lower than the long-term), but also accounts
15 for a more realistic, long-term growth rate. Analysts' growth rates should be viewed in
16 conjunction with other growth estimates to achieve a reasonable forecast of expected
17 earnings.

18 The long-term growth in GDP is used because the underlying assumption is
19 that mature, established companies can grow at a rate that is similar to, or lower than,
20 the GDP growth rate. While some companies in the economy will grow faster than
21 GDP for a while, this cannot happen consistently over a long period.

Capital Asset Pricing Model

The CAPM is a Risk Premium method that is used to estimate the ROE. It states that the expected return of a security equals the risk-free rate plus a risk premium. Simply put, investors require a premium over the risk-free rate if they are going to invest in a riskier security. The formula for the CAPM is:

$$\text{Expected ROE} = \text{Risk-Free Rate} + \beta * \text{Market Risk Premium}$$

The equity risk premium for a particular stock is the MRP times the stock's beta (β). The MRP is the difference between the return on the market on average (*i.e.*, the S&P 500) and the risk-free rate. Thus, it is the premium that reflects the risk on an average stock. Beta is the price volatility of that stock relative to the market as a whole. Thus, the risk premium for a *specific* stock equals the *average MRP* times the beta. Since utility stocks are lower risk than the average stock, the risk premium for a utility stock is lower than the average MRP. Multiplying the beta times the MRP gives the appropriate risk premium for the company (or group of comparable companies) being studied.

The risk-free rate is the projected yield on 30-year U.S. Treasury bonds. This rate is considered to be risk-free because the return is guaranteed by the U.S. government.

Two MRP estimates may be used, including the historical MRP estimate and a projected MRP. The historical MRP is based on historical data dating back to 1996. The projected MRP is based on the forecast annual return on the market. The projected risk-free rate is deducted from the projected annual return to determine the projected MRP.

1 Beta measures the volatility of a security in comparison to the market as a
2 whole. A beta equal to 1.00 means that a stock's price fluctuates exactly as the market
3 as a whole. A beta higher than 1.00 implies that the stock's price is more volatile than
4 the market; a beta less than 1.00 implies the stock's price is less volatile than the
5 market. The standard formula for estimating beta is the covariance between a
6 security's return and the return of the market divided by the variance of the market
7 returns over a specified period.

8 Beta is typically based on the betas provided by Value Line. Value Line's
9 method to estimate beta is based on "a regression analysis of the relationship between
10 weekly percentage changes in the price of a stock and weekly percentage changes in
11 the NYSE Composite Index over a period of five years. Value Line then adjusts these
12 Betas to account for their long-term tendency to converge toward 1.00."

13 **Risk Premium Method**

14 The Risk Premium method estimates the ROE for a utility as the sum of a bond yield
15 plus a risk premium yield. The bond yield is the projected return on the long-term
16 government bond plus the risk premium. The risk premium is a measure of the
17 additional return an investor requires due to the additional risk of the security.

PECO ENERGY COMPANY
Common Equity Risk Premiums
Years 1926-2019

	Large Common Stocks	Long- Term Corp. Bonds	Equity Risk Premium	Long- Term Govt. Bonds Yields	Market Risk Premium
Low Interest Rates	11.92%	5.22%	6.70%	2.88%	9.04%
Average Across All Interest Rates	12.09%	6.40%	5.69%	4.99%	7.10%
High Interest Rates	12.26%	7.57%	4.69%	7.09%	5.17%

Source:
Attachment IE-RR-1-D(s).

Feb 02, 2021

spglobal.com/marketintelligence

RRA Regulatory Focus

Major Rate Case Decisions - January - December 2020

With the U.S. economy challenged in 2020 by the fallout from the COVID-19 pandemic, the equity returns authorized electric and gas utilities nationwide fell to its worst year on record.

Based on data gathered by Regulatory Research Associates, a group within S&P Global Market Intelligence, the average return on equity authorized electric utilities was 9.44% in all rate cases decided in 2020, below the 9.66% average for cases in 2019. There were 55 electric ROE determinations in 2020, versus 47 in 2019.

The average ROE authorized gas utilities was 9.46% in cases decided in 2020 versus 9.71% in 2019. There were 34 gas cases that included an ROE determination in 2020 versus 32 in 2019.

Included in the electric ROE average is a decision by the [Maine Public Utilities Commission](#) in which the commission reduced [Central Maine Power Co.'s](#) ROE by 100 basis points to 8.25% due to imprudence associated with a new billing system. The adjustment is to be lifted when the utility meets all performance benchmarks for all service quality metrics for at least 18 consecutive months after March 1, 2020, and formally demonstrates to the commission that the problems have been resolved.

In addition, the electric ROE average in 2020 was also weighed down by an 8.20% ROE authorized Green Mountain Power, as calculated under the company's multiyear regulation plan which employs a formulaic approach tied to U.S. Treasuries.

This data includes several limited-issue rider cases. Excluding these cases, the average authorized ROE was 9.39% in electric rate cases decided in 2020, versus 9.65% observed in 2019. The difference between the ROE averages including rider cases and those excluding the rider cases is driven by ROE premiums allowed in Virginia for riders that address recovery of specific generation projects.

In 2020, the median ROE authorized in all electric utility rate cases was 9.45%, versus 9.65% in 2019; for gas utilities, the metric was 9.42% in 2020, versus 9.70% in 2019.

Lisa Fontanella, CFA
Research Director

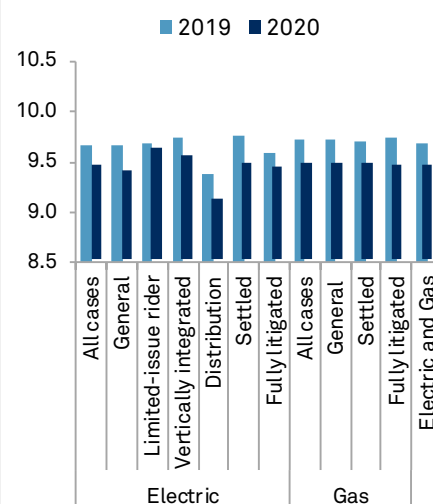
Sales & subscriptions
Sales_NorthAm@spglobal.com

Enquiries
support.mi@spglobal.com

For Detailed Data

Click [here](#) to see supporting data tables.

Average authorized return on equity (%) Dashboard

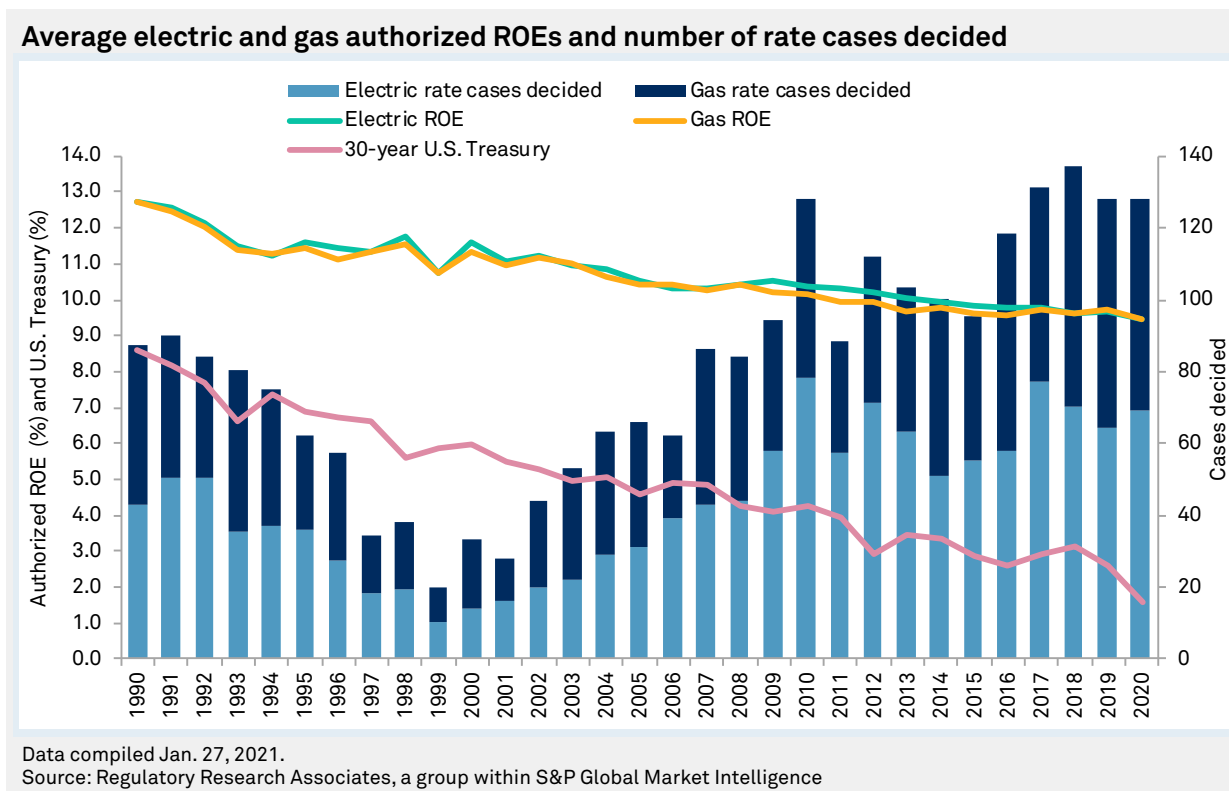


Electric average	2019	2020
All cases	9.66	9.44 ▼
General rate cases	9.65	9.39 ▼
Limited-issue rider cases	9.68	9.62 ▼
Vertically integrated cases	9.74	9.55 ▼
Distribution cases	9.37	9.10 ▼
Settled cases	9.76	9.46 ▼
Fully litigated cases	9.58	9.43 ▼
Gas average	2019	2020
All cases	9.71	9.46 ▼
General rate cases	9.72	9.46 ▼
Settled cases	9.70	9.47 ▼
Fully litigated cases	9.74	9.44 ▼
Composite electric and gas averages	2019	2020
Electric and Gas	9.68	9.45 ▼
U.S. Treasury	2019	2020
30-year bond yield	2.58	1.56 ▼

Data compiled Jan. 27, 2021.
Source: Regulatory Research Associates, a group within S&P Global Market Intelligence

The averages in 2020 are at the lowest levels ever witnessed in the industry, and with the recent interest rate cuts by the U.S. Federal Reserve and current pandemic-induced recession, even lower authorized returns may be on the horizon.

From a longer-term perspective, interest rates, as measured by the 30-year U.S. Treasury bond yield, fell almost steadily from the early 1980s until 2015 or so, placing downward pressure on authorized ROEs. Even though the decline has been less dramatic in the period since 1990, average authorized ROEs fell below 10% for gas utilities in 2011 and for electric utilities in 2014.



Since 2010, rate case activity has been robust, with 100 or more cases adjudicated in nine of the last 11 calendar years. This count includes electric and gas cases where no ROEs have been specified; however, withdrawn cases are not included. After reaching an almost 30-year high in 2018, when almost 140 cases were decided, rate case activity moderated somewhat in both 2019 and 2020, with about 128 electric and gas cases resolved in each year.

Absent the pandemic, increased costs associated with environmental compliance, generation and delivery infrastructure upgrades and expansion, renewable generation mandates, storm and disaster recovery, cybersecurity and employee benefits have contributed to an active rate case agenda over the last decade.

Due to COVID-19 and the challenging economic backdrop, many utilities and state commissions in 2020 found creative ways to limit the immediate impact of rate hikes by pushing rate changes into a future period or agreeing to forgo rate hikes.

Currently, there are about 75 rate cases pending. With the economy still reeling from the pandemic, we expect the pace of rate case activity to be somewhat measured in 2021.

Rising interest rates over the past several years also likely contributed to the increased rate case activity. After holding rates near zero for several years, the Federal Reserve began raising the federal funds rate in 2015. Before the pandemic hit, the Fed, after more than a decade without a cut, lowered rates three times in 2019, due to signs of a slowing

Major Rate Case Decisions

economy. In addition, to stabilize the economy from the fallout from the coronavirus outbreak, the Fed cut rates twice in March 2020, resulting in a target range of 0%-0.25%. To facilitate economic recovery, Fed policymakers have indicated that it will keep rates anchored near zero through 2023.

While changes in the federal funds rate do not move in lockstep with longer-term treasuries and authorized ROEs do not move in lockstep with interest rates, the expectation is that as interest rates change, authorized ROEs would also change in a similar fashion. However, several factors impact the timing and magnitude of such a shift. Normal regulatory lag, i.e., the amount of time it takes for a utility to put together a rate case filing and tender it to the commission and then for the commission to process the case, would without any other influences delay a change in average authorized ROEs relative to interest rates.

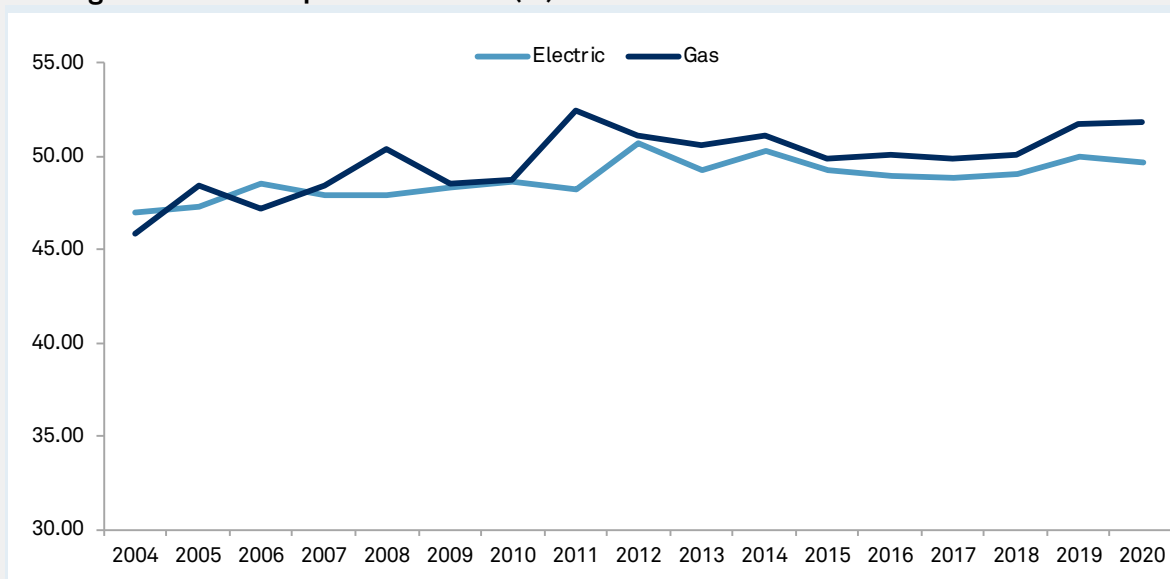
It is also worth noting that while both interest rates and authorized ROEs have generally been declining since 1990, the gap between authorized ROEs and interest rates widened somewhat over this period, largely as a result of an often-unstated understanding by regulators that the drop in interest rates caused by Federal Reserve intervention was unusual.

However, given the focus on customers' ability to pay and the need to maintain universal service as the pandemic drags on, regulators may be more apt to further lower authorized ROEs to mitigate the level of bill increases that result from recovery of pandemic-related costs. These considerations could be further complicated if the Biden administration seeks to roll-back the 2017 corporate tax reform initiatives.

Capital structure trends

To offset the negative cash flow impact of 2017 federal tax reform, many utilities sought higher common equity ratios, and the average authorized equity ratios adopted by utility commissions in 2019 were modestly higher than the levels observed in 2018 and 2017. In cases decided in 2020, the average authorized equity ratio for electric utilities was 49.69%. For 2019, 2018 and 2017, the average equity ratios authorized in electric utility cases were 49.94%, 49.02% and 48.90%, respectively. The average allowed equity ratio for gas utilities nationwide in cases decided in 2020 was 51.86%. For 2019, 2018 and 2017, the average was 51.75%, 50.12% and 49.88%, respectively.

Average authorized capital structures (%)



Data compiled Jan. 27, 2021.

Source: Regulatory Research Associates, a group within S&P Global Market Intelligence

Taking a longer-term view, equity ratios have generally increased over the last several years — the average equity ratio approved in electric rate cases decided during 2004 was 46.96%, while the average for gas utilities was 45.81%. Many commissions began approving more equity-rich capital structures in the wake of the 2008 financial crisis.

A more granular look at ROE trends

The discussion thus far has looked broadly at trends in authorized ROEs; the sections that follow provide a more granular view based upon the types of proceedings/decisions in which these ROEs were established.

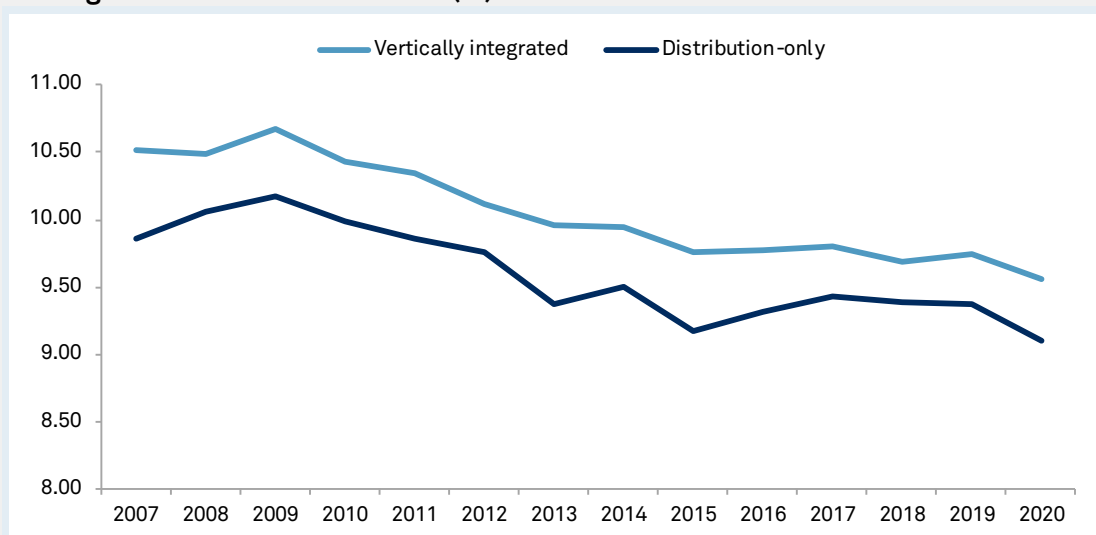
RRA has observed that there can be significant differences between the average ROEs from one subcategory of cases to another.

As a result of electric industry restructuring, certain states unbundled electric rates and implemented retail competition for generation. Commissions in those states now have jurisdiction only over the revenue requirement and return parameters for delivery operations.

Comparing electric vertically integrated cases versus delivery-only proceedings over the past several years, RRA finds that the annual average authorized ROEs in vertically integrated cases typically are about 30 to 65 basis points higher than in delivery-only cases, arguably reflecting the increased risk associated with ownership and operation of generation assets.

The industry average ROE for vertically integrated electric utilities was 9.55% in cases decided in 2020, versus the 9.74% average posted in 2019. By comparison, for electric distribution-only utilities, the industry average ROE authorized in 2020 was 9.10%, versus 9.37% in 2019.

Average authorized electric ROEs (%)

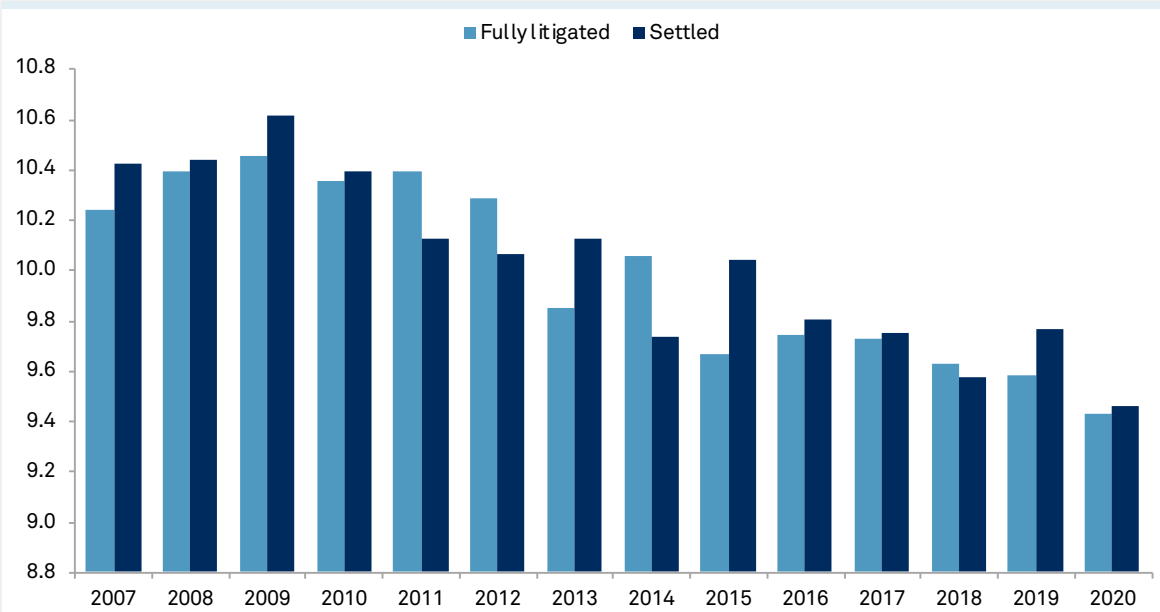


Data compiled Jan. 27, 2021.

Source: Regulatory Research Associates, a group within S&P Global Market Intelligence

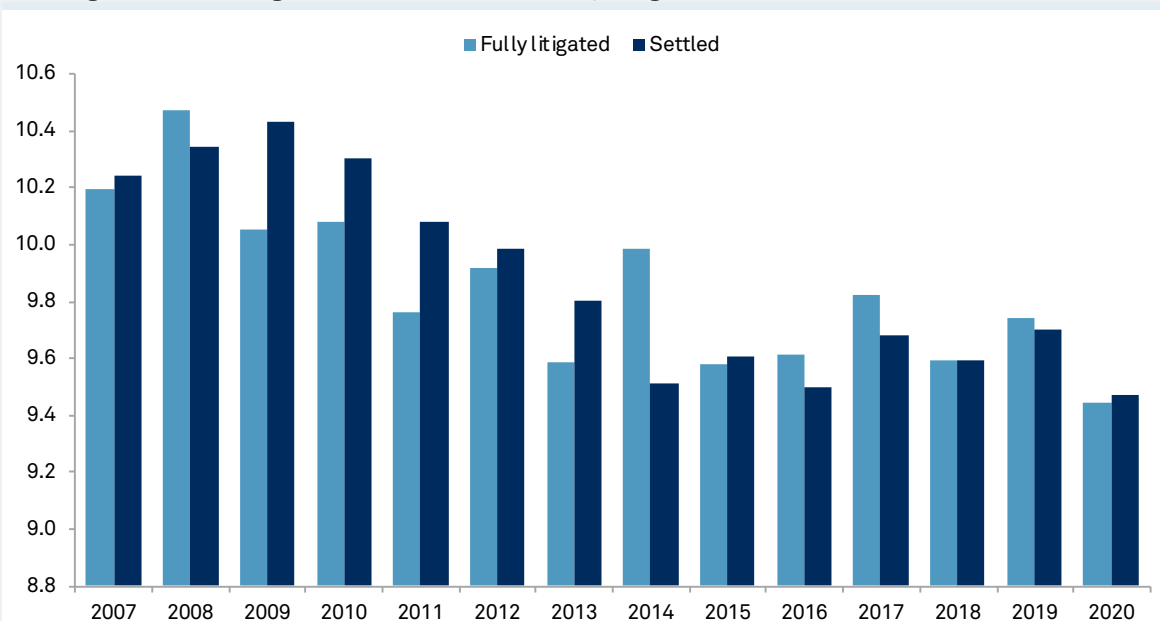
Settlements have frequently been used to resolve rate cases over the last several years, and in many cases, these settlements are “black box” in nature and do not specify the ROE and other typical rate case parameters underlying the stipulated rate change. However, some states preclude this type of treatment, and settlements must specify these values, if not the specific adjustments from which these values were derived.

For both electric and gas cases, RRA has found no discernible pattern in the average authorized ROEs in cases that were settled versus those that were fully litigated. In some years, the average authorized ROE was higher for fully litigated cases, in others, it was higher for settled cases, and in a handful of years, the authorized ROE was similar for both fully litigated and settled cases.

Average authorized electric ROEs, settled vs. fully litigated cases (%)

Data compiled Jan. 27, 2021.

Source: Regulatory Research Associates, a group within S&P Global Market Intelligence

Average authorized gas ROEs, settled vs. fully litigated cases (%)

Data compiled Jan. 27, 2021.

Source: Regulatory Research Associates, a group within S&P Global Market Intelligence

For several years, the annual average authorized ROEs in electric cases that involve limited-issue riders were meaningfully higher than those approved in general rate cases, driven primarily by the ROE premiums authorized in generation-related limited-issue rider proceedings in Virginia. However, these premiums were approved for limited durations and have since begun to expire. As a result, the gap between the average ROE observed in the rider cases and that observed in general rate cases has narrowed. Limited-issue rider cases in which a separate ROE is determined have had limited use in the gas industry, as most of the gas riders rely on ROEs approved in a previous base rate case.

The following discussion focuses on the corresponding tables available [here](#).

Table 1 shows the average ROE authorized in major electric and gas rate decisions annually since 1990 and by quarter since 2016, followed by the number of observations in each period. **Table 2** indicates the composite electric and gas industry data for all major cases, summarized annually since 2004 and by quarter for the past eight quarters.

Tables 3 and 4 provide comparisons since 2007 of average authorized ROEs for settled versus fully litigated cases, general rate cases versus limited-issue rider proceedings and vertically integrated cases versus delivery-only cases for electric and gas utilities, respectively.

The individual electric and gas cases decided in 2020 are listed in **Table 5**, with the decision date shown first, followed by the company name, the abbreviation for the state issuing the decision, the authorized rate of return, the ROE and the percentage of common equity in the adopted capital structure. Next, RRA indicates the month and year in which the adopted test year ended, whether the commission utilized an average or a year-end rate base and the amount of the permanent rate change authorized. The dollar amounts represent the permanent rate change ordered at the time decisions were rendered. Fuel adjustment clause rate changes are not reflected in this study.

The simple mean is utilized for the return averages. In addition, the average equity returns indicated in this report reflect the ROEs approved in cases that were decided during the specified time periods and are not necessarily representative of either the average currently authorized ROEs for utilities industrywide or the returns actually earned by the utilities.

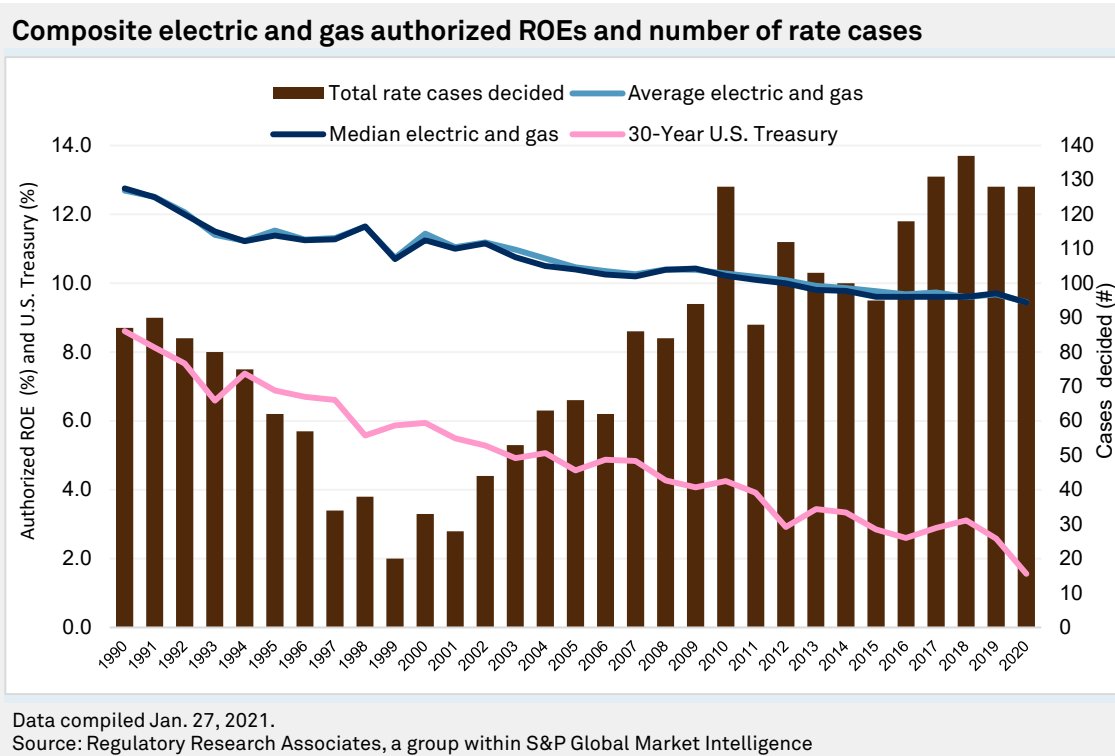


Table 6 and the graph above track the average and median equity return authorized for all electric and gas rate cases combined by year for the last 30 years. As the table indicates, since 1990, authorized ROEs have generally trended downward, reflecting the significant decline in interest rates and capital costs that has occurred over this time frame. The combined average and median equity returns authorized for electric and gas utilities in each of the years 1990 through 2019 and the number of observations for each year are presented in the accompanying chart.

Please note: In an effort to align data presented in this report with data available in S&P Global Market Intelligence's online database, earlier historical data provided in previous reports may not match historical data in this report due to certain differences in presentation, including the treatment of cases that were withdrawn or dismissed, as well as the addition of cases that were previously not part of RRA's coverage.

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PECO ELECTRIC
Reduce Return on Equity to Distribution Utility Average

<u>Line</u>	<u>Description</u>	<u>Ratio</u>	<u>Cost</u>	<u>Wtd. Cost</u>	<u>Before Tax</u>	<u>Description</u>	<u>Ratio</u>	<u>Cost</u>	<u>Wtd. Cost</u>	<u>Before Tax</u>
1	Long-Term Debt	46.59%	3.93%	1.83%	1.83%	Long-Term Debt	46.59%	3.93%	1.83%	1.83%
2	Common Equity	<u>53.41%</u>	10.95%	<u>5.85%</u>	<u>8.79%</u>	Common Equity	<u>53.41%</u>	9.10%	<u>4.86%</u>	<u>7.31%</u>
3	Total	100.00%		7.68%	10.62%	Total	100.00%		6.69%	9.14%
4	Rate Base				\$6,385,897					
5	Tax Factor				1.502995		Change in Revenue Requirement			-\$94,836

SOURCES:

Exhibit MJT-1, Schedule A

Exhibit PRM-1, page 1.

S&P Global Market Intelligence, Regulatory

Research Associates, Major Rate Case

Decisions January - December 2020 Average

Distribution ROE

**BEFORE THE
PENNSYLVANIA PUBLIC UTILITY COMMISSION**

Pennsylvania Public Utility Commission

v.

Docket No. R-2021-3024601, et al.

PECO Energy Company – Electric Division

Surrebuttal Testimony

of

BILLIE LACONTE

On Behalf of

Philadelphia Area Industrial Energy Users Group

August 5, 2021



BEFORE THE
PENNSYLVANIA PUBLIC UTILITY COMMISSION

Pennsylvania Public Utility Commission

v.

Docket No. R-2021-3024601, et al.

PECO Energy Company – Electric Division

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GLOSSARY OF ACRONYMS

Term	Definition
CAPM	Capital Asset Pricing Model
Commission	Pennsylvania Public Utility Commission
DCF	Discounted Cash Flow
EE&C	Energy Efficiency and Conservation
FPFTY	Fully Projected Future Test Year
PAIEUG	Philadelphia Area Industrial Energy Users Group
PECO	PECO Energy Company – Electric Division
ROE	Return on Equity
VIX	Volatility Index

SURREBUTTAL TESTIMONY OF BILLIE S. LACONTE

1 **Introduction and Summary**

2 **Q PLEASE STATE YOUR NAME AND BUSINESS ADDRESS.**

3 A My name is Billie LaConte. My business address is 12647 Olive Blvd., Suite 585, St.
4 Louis, Missouri 63141.

5 **Q ARE YOU THE SAME BILLIE LACONTE WHO PREVIOUSLY SUBMITTED DIRECT**
6 **TESTIMONY IN THIS PROCEEDING ON BEHALF OF PHILADELPHIA AREA**
7 **INDUSTRIAL ENERGY USERS GROUP (PAIEUG)?**

8 A Yes.

9 **Q WHAT IS THE PURPOSE OF YOUR SURREBUTTAL TESTIMONY?**

10 A I will address the return on equity (ROE) proposed by PECO witness, Mr. Paul R. Moul
11 and the recovery of lost revenues as proposed by PECO witness, Mr. Michael J.
12 Trzaska.

13 **Q DOES THE FACT THAT YOU ARE NOT ADDRESSING EVERY ISSUE RAISED BY**
14 **THESE AND OTHER PARTIES CONSTITUTE AN ENDORSEMENT OF THEIR**
15 **RECOMMENDATIONS?**

16 A. No.

17 **Return on Equity**

18 **Q WHAT WILL YOU ADDRESS IN THIS SECTION OF YOUR TESTIMONY?**

19 A I will address Mr. Moul's Rebuttal Testimony regarding certain aspects of my ROE
20 analyses, as well as other issues he addresses.

1 **Q MR. MOUL CLAIMS THAT YOUR RECOMMENDED RETURN ON EQUITY IS TOO**
2 **LOW TO REFLECT THE FINANCIAL RISKS OF PECO. DO YOU AGREE?**

3 **A No.** Mr. Moul's objection merely reiterates his flawed and improper ROE analyses, as
4 discussed in my Direct Testimony. Specifically, Mr. Moul did not properly apply the
5 standard ROE methodologies, used faulty assumptions, and employed methodologies
6 that are not widely used or accepted. As explained further below, a lower cost of equity
7 is appropriate and reflects PECO's financial risk.

8 **Q WILL AN ROE THAT IS LOWER THAN 10.95% AFFECT PECO'S ABILITY TO**
9 **ATTRACT INVESTMENT?**

10 **A No.** As stated in my Direct Testimony, the average authorized ROE for wires only
11 utilities was 9.1% in 2020. Furthermore, as noted in Mr. Moul's Rebuttal Testimony,
12 the Commission has authorized ROEs that are significantly below his proposed
13 10.95% ROE.¹ A lower ROE for PECO that is comparable to authorized ROEs for
14 other wires only utilities will not negatively impact PECO's ability to attract investment.

15 **Q MR. MOUL STATES THAT THE AUTHORIZED RETURNS IN OTHER STATES**
16 **SHOULD NOT BE VIEWED IN ISOLATION AND ASSERTS THAT THOSE**
17 **RETURNS SHOULD BE VIEWED IN REFERENCE TO CHANGES IN INTEREST**
18 **RATES. IS HE CORRECT?**

19 **A Mr.** Moul is correct that as the yield on A-rated utility bonds has decreased, the risk
20 premium has increased. However, despite the fact that the risk premium has
21 increased slightly, as the risk-free cost of capital represented by the yield on 30-year
22 U.S. Treasury bonds has declined (as well as the yield on A-rated utility bonds), the

¹ PECO Statement No. 5-R, Rebuttal Testimony of Paul R. Moul at 6.

1 trend in authorized ROEs is declining. Lower interest rates translate into a
2 correspondingly lower authorized ROE because, although the risk premium may
3 increase slightly, the lower interest rate will reduce the estimated ROE. The risk
4 premium measures the additional risk to a stock above the risk-free rate. This risk
5 premium plus the risk-free rate is one methodology used to estimate the ROE. A lower
6 risk-free rate will reduce the estimated ROE. Therefore, comparing the declining
7 authorized ROE in other jurisdictions in combination with lower interest rates
8 demonstrates that PECO's requested 10.95% ROE is too high.

9 **Q SHOULD THE COMMISSION CONSIDER ROE DETERMINATIONS IN OTHER**
10 **REGULATORY JURISDICTIONS?**

11 A Yes. The Commission should be informed by the determinations made by other state
12 regulatory commissions. This is because the trend in authorized ROEs indicates that,
13 in general, utilities' financial and credit risks are lower than in the past due, in part, to
14 lower interest rates.

15 **Q WHY ELSE DOES MR. MOUL ASSERT THAT PECO REQUIRES A HIGHER**
16 **RETURN ON EQUITY?**

17 A Mr. Moul's assertion is based on a current OBOE Global markets volatility index (VIX).
18 As shown in Mr. Moul's Rebuttal Testimony, the average VIX was 32.21 and 24.37 in
19 2020 and 2021 year-to-date, respectively.² Thus, the VIX has decreased. The lower
20 VIX indicates lower risk associated with common stock. It is worth noting that as
21 previously stated, the average authorized ROE for wires only companies was 9.1% in
22 2020, when the average VIX was 32% higher than the current average VIX. A lower

² *Id.* at 8.

1 VIX for 2021 indicates lower risk for common equity and, therefore, a lower ROE than
2 Mr. Moul's proposed 10.95% ROE.

3 **Q IS MR. MOUL'S OBSERVATION THAT THE YIELD ON 30-YEAR U.S. TREASURY**
4 **BONDS IS AN INDICATOR OF THE APPROPRIATE RETURN ON EQUITY**
5 **CORRECT?**

6 A Yes. As discussed in my Direct Testimony, the risk-free rate, commonly defined as
7 the yield on 30-year U.S. Treasury bonds, coupled with the risk premium, produces a
8 reasonable approximation of a utility's ROE.

9 **Q HAS THE RISK-FREE RATE CHANGED SINCE 2020?**

10 A Yes. The average yield in 2020 was 1.56%. As of July 29, 2021, the yield on a 30-
11 year U.S. Treasury bond was 1.91%. While the slight increase may support a minor
12 upwards adjustment to return on equity, it certainly does not justify a 185 basis point
13 premium above the average authorized ROE of 9.1% in 2020.

14 **Q MR. MOUL ASSERTS THAT THE COMPOSITION OF HIS PROXY GROUP IS**
15 **APPROPRIATE AND IS COMPARABLE IN RISK TO PECO. DO YOU AGREE?**

16 A No. As noted in my Direct Testimony, Mr. Moul included vertically integrated electric
17 utilities in his proxy group, which are not comparable to PECO — a distribution only
18 utility. Vertically integrated utilities include generation assets which carry additional
19 risks, such as operational risk, and, therefore, they have higher authorized ROEs than
20 distribution only utilities. These operational risks include obtaining sufficient fuel,
21 implementing environment controls, meeting environmental standards, as well as
22 meeting demand and capacity requirements. Therefore, Mr. Moul's proxy group
23 includes utilities that are not comparable to PECO and those utilities should be
24 removed from the proxy group.

1 **Q MR. MOUL STATES YOUR DISCOUNTED CASH FLOW (DCF) ANALYSIS DOES**
2 **NOT PROVIDE A REASONABLE REPRESENTATION OF THE COST OF EQUITY**
3 **FOR PECO BECAUSE IT EXCLUDES VERTICALLY INTEGRATED UTILITIES IN**
4 **YOUR PROXY GROUP. IS HE CORRECT?**

5 A No. As stated above, excluding vertically integrated electric utilities from the proxy
6 group provides a proxy group that is similar in risk to PECO. Therefore, the results of
7 my DCF analysis are reasonable and demonstrate that PECO's authorized ROE
8 should be lower than Mr. Moul's proposed 10.95% ROE.

9 **Q IS THE LEVERAGE ADJUSTMENT USED BY MR. MOUL IN HIS DCF AND**
10 **CAPITAL ASSET PRICING MODEL (CAPM) ANALYSIS APPROPRIATE?**

11 A No. As outlined in my Direct Testimony, Mr. Moul's leverage adjustments are incorrect
12 because they artificially inflate the ROE based on the erroneous comparison of
13 PECO's book equity versus the market equity of the holding companies in Mr. Moul's
14 proxy group. Investors are aware that the authorized ROE for a regulated utility is
15 based on its book capital structure. Although investors are aware of a utility's (or its
16 holding company's) market equity, the Commission does not authorize a return on
17 market equity and investors will adjust their expectations accordingly.

18 **Q WHY IS MR. MOUL'S COMPARISON OF MARKET EQUITY AND BOOK EQUITY**
19 **ERRONEOUS?**

20 A The comparison of market equity and book equity is not an apples to apples
21 comparison. Mr. Moul is comparing PECO's book capital structure to the market
22 capital structure of the holding companies in his proxy group, not the regulated capital
23 structure of utilities that are owned by the holding companies. This comparison is inapt
24 and should be rejected.

1 **Q IS MR. MOUL CORRECT THAT THE MARKET RISK PREMIUM SHOULD BE**
2 **MEASURED WITH REGARD TO INTEREST RATES?**

3 A No. Mr. Moul's selective use of the market risk premium during low interest rate
4 periods artificially inflates his ROE. As demonstrated in my Direct Testimony, the
5 equity risk premium varies significantly regardless of the level of interest rates.
6 Therefore, the market risk premium over all years is a better estimate of the expected
7 market risk premium.

8 **Q IN YOUR DIRECT TESTIMONY YOUR CAPM ANALYSES USED THE LONG-TERM**
9 **HISTORICAL MARKET RISK PREMIUM WITH THE FORECAST RISK-FREE RATE**
10 **WHEN A FORECAST MARKET RISK PREMIUM IS AVAILABLE. WHY DID YOU**
11 **DO SO?**

12 A The long-term, historical market risk premium is commonly used and widely accepted,
13 in conjunction with the forecast risk-free rate, to estimate the ROE. Long-term data
14 represents the market risk premium throughout many economic cycles, providing a
15 reasonable expectation of future performance. Using both sets of data (historical
16 market risk premium and forecast market risk premium) provides information from a
17 range of perspectives. Giving equal weight to both the historical and projected market
18 risk premium "represents a compromise between the certainty of the past and its
19 possible irrelevance versus the greater relevance of the forecast and its possible
20 estimation error."³

³ Public Utilities Reports, Inc. *New Regulatory Finance*, Roger Morin, PhD at 163 (Jun. 2006).

1 **Q MR. MOUL SUGGESTS THAT YOUR CAPM USING THE LONG-TERM**
2 **HISTORICAL MARKET RISK PREMIUM SHOULD HAVE USED THE HISTORICAL**
3 **LONG-TERM RISK-FREE RATE, WHICH PRODUCES A 12.09% ROE. IS HE**
4 **CORRECT?**

5 **A No.** Mr. Moul's observation is incorrect. As stated above, estimating the ROE using
6 the long-term historical risk-free rate (7.10%) and the projected risk-free rate (3.25%),
7 is commonly used and widely accepted. Estimating the ROE for a utility should be
8 based on forward-looking estimates, when available. The projected long-term risk-
9 free rate provides a more reliable expectation of interest rates during the test year than
10 the long-term historical risk-free rate.

11 **Q MR. MOUL STATES THAT YOUR RISK PREMIUM ANALYSIS DID NOT**
12 **INCORPORATE HISTORICAL CORPORATE BOND YIELDS. IS HE CORRECT?**

13 **A No.** My risk premium analysis included an average historical equity risk premium
14 based on all years, as well the corporate bond yield that Mr. Moul used in his risk
15 premium analysis. As explained in Mr. Moul's Direct Testimony, his estimated
16 corporate bond yield is based on a combination of historical and forward-looking data.
17 Therefore, my risk premium analysis, similar to Mr. Moul's analysis, uses historical
18 corporate bond yields to estimate PECO's ROE. Estimating the ROE is a forward-
19 looking exercise and relying solely on a historical corporate bond yield of 6.40% (as
20 Mr. Moul suggests) is inappropriate when forward-looking data is available. Therefore,
21 the combination of historical (7.10%) and forecast bond yields (3.25%) is preferable
22 when estimating PECO's ROE.

1 **Q IS MR. MOUL’S COMPARABLE EARNINGS ANALYSIS APPROPRIATE?**

2 A No. Mr. Moul’s Comparable Earnings analysis uses companies that are not regulated.
3 It is difficult to measure the differences in risk between regulated and non-regulated
4 companies. Utilities do not operate in a competitive environment and therefore the
5 Comparable Earnings analysis is not reliable. Therefore, Mr. Moul’s Comparable
6 Earnings analysis should be rejected.

7 **Q SHOULD PECO RECEIVE A MANAGEMENT PERFORMANCE ADJUSTMENT**
8 **THAT INCREASES ITS ROE?**

9 A No. PECO is seeking to reward itself for providing quality and reliable service, meeting
10 energy efficiency requirements and managing and controlling its costs, among other
11 things. As a regulated utility, PECO must provide reliable service at the least cost to
12 its customers. A 25 basis point performance adder for meeting its obligations as a
13 regulated utility does not result in least cost service and would produce higher rates
14 for customers.

15 **Q DID PECO SEEK A MANAGEMENT PERFORMANCE ADJUSTMENT IN ITS**
16 **RECENT GAS CASE?**

17 A Yes and the Commission rejected it. PECO sought a 25 basis point premium for
18 “superior management performance.” In that case, the ALJ rejected the performance
19 adder, agreeing with I&E’s position “that awarding the Company management
20 effectiveness points would cost the customer money for PECO to provide adequate,
21 efficient, safe, and reasonable service that is required by the Code and the
22 Commission’s regulations.”⁴ The Commission concurred, stating “we are in agreement

⁴ *Pennsylvania Public Utility Commission et.al v. PECO Energy Company – Gas Division*, Docket No. R-2020-3018929 at 163-164, (June 17, 2021).

1 with the ALJ's recommendation that an upward adjustment for management
2 performance is not appropriate in this proceeding. We are of the opinion that such an
3 upward adjustment is contrary to the public interest."⁵ PECO's request for a similar
4 performance adder in this proceeding should likewise be rejected.

5 **Recovery of Lost Revenues**

6 **Q WHY DOES PECO WITNESS, MR. TRZASKA, CONTEST YOUR ADJUSTMENT TO**
7 **EXCLUDE LOST REVENUES THAT PECO MAY INCUR IN 2023 AND 2024?**

8 A Mr. Trzaska claims that it is reasonable for PECO to recover lost revenues that may
9 occur in 2023 and 2024 due to PECO's energy efficiency and conservation (EE&C)
10 programs that will be implemented starting June 1, 2021 through May 31, 2026.⁶

11 **Q MR. TRZASKA CLAIMS PECO'S 2023 AND 2024 LOST REVENUES ARE KNOWN**
12 **AND MEASURABLE.⁷ IS HE CORRECT?**

13 A No. It is speculative and far from certain that PECO will accomplish its target usage
14 reductions it hopes to achieve in 2023 and 2024. PECO should not include a post-
15 test year adjustment for speculative lost revenues that may occur after the fully
16 projected future test year (FPFTY).

17 **Q MR. TRZASKA ALSO STATES THAT PECO WOULD BE SUBJECT TO A**
18 **PENALTY OF SUBSTANTIAL REVENUE DECREASES IF IT IS NOT ALLOWED**
19 **TO PRESENTLY RECOVER LOST REVENUES THAT IT MAY INCUR IN 2023 AND**
20 **2024. DO YOU AGREE?**

21 A No. As stated above, it is pure speculation to determine PECO's lost revenues that it
22 may incur after the FPFTY.

⁵ *Id.* at 167.

⁶ PECO Statement No. 3-R, Rebuttal Testimony of Michael J. Trzaska at 19-20.

⁷ *Id.*

1 Q IS IT APPROPRIATE FOR PECO TO INCLUDE A POST-TEST YEAR
2 ADJUSTMENT FOR LOST REVENUES?

3 A No. As stated in my Direct Testimony, post-test year adjustments are not compatible
4 with a FPFTY. The purpose of having a FPFTY is to represent the conditions that will
5 exist when the rates authorized in the current case are in effect. Including lost
6 revenues that are not expected to occur until 2023 and 2024 is not representative of
7 the FPFTY conditions.

8 Q MR. TRAZSKA STATES THAT IT WOULD BE UNFAIR TO DENY RECOVERY OF
9 LOST REVENUES FOR 2023 AND 2024 BECAUSE PECO IS REQUIRED TO
10 IMPLEMENT EE&C PROGRAMS. IS HE CORRECT?

11 A No. If PECO projects it will incur lost revenues after the FPFTY then it make seek
12 recovery in a future rate case. Therefore, PECO will not be denied recovery of lost
13 revenues.

14 Q WHAT DO YOU RECOMMEND?

15 A PECO should not include a post-test year adjustment for lost revenues that it may
16 incur after the FPFTY. The proposed adjustment is speculative because it is far from
17 certain that PECO will meet its target usage reductions in 2023 and 2024.

18 Q DOES THIS CONCLUDE YOUR SURREBUTTAL TESTIMONY?

19 A Yes.

**BEFORE THE
PENNSYLVANIA PUBLIC UTILITY COMMISSION**

Pennsylvania Public Utility Commission

v.

Docket No. R-2021-3024601, et al.

PECO Energy Company – Electric Division

Direct Testimony and Exhibits

of

JEFFRY POLLOCK

On Behalf of

Philadelphia Area Industrial Energy Users Group

June 28, 2021



BEFORE THE
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PECO Energy Company – Electric Division

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GLOSSARY OF ACRONYMS

Term	Definition
A&G	Administrative & General
C&I	Commercial and Industrial
CCOSS	Class Cost-of-Service Study
Commission	Pennsylvania Public Utility Commission
EP	Electric Propulsion
FERC	Federal Energy Regulatory Commission
GS	General Service
HT	High Tension
kV	Kilovolt
kW / kWh	Kilowatt / Kilowatt-Hour
OATT	Open Access Transmission Tariff
PAIEUG	Philadelphia Area Industrial Energy Users Group
PECO	PECO Energy Company – Electric Division
PD	Primary Distribution
Primary HT	Primary Distribution High Tension
RROR	Relative Rate of Return

DIRECT TESTIMONY OF JEFFRY POLLOCK

1. INTRODUCTION, QUALIFICATIONS AND SUMMARY

1 **Q PLEASE STATE YOUR NAME AND BUSINESS ADDRESS.**

2 A Jeffry Pollock; 12647 Olive Blvd., Suite 585, St. Louis, MO 63141.

3 **Q WHAT IS YOUR OCCUPATION AND BY WHOM ARE YOU EMPLOYED?**

4 A I am an energy advisor and President of J. Pollock, Incorporated.

5 **Q PLEASE STATE YOUR EDUCATIONAL BACKGROUND AND EXPERIENCE.**

6 A I have a Bachelor of Science in electrical engineering and a Master of Business
7 Administration from Washington University. Since graduation, I have been engaged
8 in a variety of consulting assignments, including energy procurement and regulatory
9 matters in the United States and in several Canadian provinces. I have previously
10 participated in regulatory proceedings before the Pennsylvania Public Utility
11 Commission (PUC). My qualifications are documented in **Exhibit ____ (JP-1)**. A list
12 of my appearances is provided in **Exhibit ____ (JP-2)** to this testimony.

13 **Q ON WHOSE BEHALF ARE YOU TESTIFYING IN THIS PROCEEDING?**

14 A I am testifying on behalf of Philadelphia Area Industrial Energy Users Group
15 (PAIEUG). PAIEUG is an ad hoc group of energy-intensive customers receiving
16 electric service from PECO Energy Company – Electric Division (PECO), primarily
17 under the High Tension (HT) Rate. PAIEUG members require substantial volumes
18 of electricity in their manufacturing and operational processes, and these electric
19 costs are a significant element of their respective costs of operation, and the
20 proposed rate modifications may impact PAIEUG members' cost of operations.

**1. Introduction, Qualifications
and Summary**

1 **Q WHAT ISSUES ARE YOU ADDRESSING IN YOUR TESTIMONY?**

2 A I am addressing the following issues:

- 3 • Class Cost-of-Service Study (CCOSS).
- 4 • Class revenue allocation.

5 **Q ARE YOU SPONSORING ANY EXHIBITS WITH YOUR TESTIMONY?**

6 A Yes. I am sponsoring **Exhibit ____ (JP-1)** through **Exhibit ____ (JP-4)**. These
7 exhibits were prepared by me or under my supervision and direction.

8 **Q YOU USE PECO'S PROPOSED REVENUE REQUIREMENT IN YOUR**
9 **TESTIMONY. SHOULD THAT BE INTERPRETED AS AN ENDORSEMENT OF**
10 **PECO'S PROPOSALS?**

11 A No. Throughout my testimony I use PECO's proposed revenue requirement to
12 illustrate various concepts. This should not be interpreted as an endorsement of
13 PECO's proposed revenue requirement. The findings and recommendations in my
14 testimony also apply if the Commission approves a lower revenue requirement.

15 **Q ARE YOU ENDORSING PECO'S PROPOSALS ON THE ISSUES NOT**
16 **ADDRESSED IN YOUR TESTIMONY?**

17 A No. The fact that I am not addressing every issue should not be interpreted as an
18 endorsement of PECO's proposals in this proceeding.

19 **Summary**

20 **Q PLEASE SUMMARIZE YOUR FINDINGS AND RECOMMENDATIONS.**

21 A My findings and recommendations are as follows:

**1. Introduction, Qualifications
and Summary**

Class Cost-of-Service Study

- With two exceptions, PECO's CCROSS generally comports with accepted practice. The two exceptions are:
 - Primary Distribution High Tension (Primary HT) costs include facilities that operate at 69 kilovolt (kV) or higher voltages. These costs are allocated to all rate classes. However, the loads served at 69 kV or higher voltages did not cause PECO to invest in the lower voltage facilities. Hence, none of the lower voltage Primary HT costs should be allocated to customers taking service at 69 kV or higher voltages.
 - Commercial and Industrial (C&I) marketing costs were allocated to the General Service (GS), Primary Distribution (PD), and HT classes on the basis of loss-adjusted energy (*i.e.*, an energy allocator). There is no evidence that PECO spends more to market energy efficiency to larger energy users. In fact, larger energy users are typically sophisticated energy managers. They do not require assistance from PECO.
- PECO should conduct a special study to identify the Primary HT facilities and costs that operate at 69 kV or higher voltages and the loads of those customers taking service at 69 kV or higher voltages. The results of this study should be provided prior to PECO's next electric rate case.

Class Revenue Allocation

- PECO's proposed class revenue allocation would move only two classes — Electric Propulsion (EP) and Lighting — closer to cost. All of the other classes would move farther from cost. Thus, PECO's proposal is contrary to the long-standing Commission policy of moving rates to cost, subject to applying the principle of gradualism to avoid rate shock.
- Moving all rates to cost would not cause rate shock for any rate class.
- Accordingly, PECO's class revenue allocation should be revised so that all of the remaining classes are moved to cost.
- If the Commission authorizes a lower delivery rate increase than PECO is proposing, the cost-based revenue requirements should be scaled back proportionally.

**1. Introduction, Qualifications
and Summary**

- 1 • Similarly, the increases proposed for the Rate HT Variable Distribution
2 Service and Night Service Rider charges should also be scaled back
3 proportionally. The proposed High Voltage Distribution credits should
4 be approved to offset the higher distribution costs recovered in the
5 Rate HT Variable Distribution Service charge.

2. CLASS COST-OF-SERVICE STUDY

1 **Q DO YOU HAVE ANY CONCERNS WITH THE CLASS COST-OF-SERVICE STUDY**
2 **FILED BY PECO IN THIS PROCEEDING?**

3 **A Yes.** Although PECO's CCROSS generally comports with accepted cost allocation
4 practices, there are, however, two exceptions as follows:

- 5 • **Transmission-Voltage Service:** Some Rate HT customers take service at a
6 transmission voltage (*i.e.*, 69 kV or higher). These customers do not require
7 PECO to invest in lower voltage HT facilities to provide distribution service.
8 Accordingly, their loads should have been removed in allocating lower
9 voltage Primary HT distribution plant and related expenses.
- 10 • **Customer Assistance — C&I Marketing Expense:** PECO spreads these
11 expenses to the GS, PD, and HT classes based on kilowatt-hour (kWh)
12 usage. There is no evidence that marketing expenses are more heavily
13 weighted to larger energy users. More likely, large energy users are more
14 sophisticated and do not require PECO to market energy efficiency.
15 Accordingly, these expenses should be allocated on a customer basis.

16 As a result of these issues, the Rate HT class's cost to serve is overstated and its
17 rate of return is understated.

18 **Background**

19 **Q WHAT IS A CLASS COST-OF-SERVICE STUDY?**

20 **A A CCROSS is an analysis used to determine each class's responsibility for the utility's**
21 costs. Thus, it determines whether the revenues a class generates cover the class's
22 cost of service. A CCROSS separates the utility's total costs into portions incurred on
23 behalf of the various customer groups. Most of a utility's costs are incurred to jointly
24 serve many customers. For purposes of rate design and revenue allocation,
25 customers are grouped into homogeneous classes according to their usage patterns
26 and service characteristics. The procedures used in a CCROSS are described in
27 more detail in **Exhibit ____ (JP-3).**

2. Class Cost-of-Service Study

1 **Q HOW ARE COSTS ALLOCATED IN A CLASS COST-OF-SERVICE STUDY?**

2 A As discussed in **Exhibit ____ (JP-3)**, the allocation factors should reflect the degree in
3 which each rate class causes the utility to incur the cost. This is consistent with the
4 principle of cost causation.

5 **Q HOW SHOULD COST CAUSATION BE REFLECTED IN A CLASS COST-OF-**
6 **SERVICE STUDY?**

7 A There are three dimensions to cost causation. First, a utility incurs many different
8 types of costs. For purposes of this proceeding, the focus is on the costs incurred by
9 PECO to provide distribution service. As discussed further herein, these costs are
10 broadly separated into three primary functions:

- 11 • Distribution;
- 12 • Customer service and facilities; and
- 13 • Administrative and general (A&G) and related support costs.

14 Different types of costs are incurred within each of these functions. These
15 differences are recognized in a CCOSS by the way costs are classified and allocated
16 among the various service classifications.

17 Second, cost causation recognizes that not all customers are served at the
18 same delivery voltage. For example, some Rate HT customers take service at
19 transmission (*i.e.*, 69 kV and higher) delivery voltages. Some Rate HT customers
20 also own their own distribution substations. Thus, these customers have essentially
21 provided their own distribution investment — they do not require PECO to invest in
22 distribution plant to deliver electricity to their facilities. By contrast, all other
23 customers take some form of distribution service. A properly designed CCOSS
24 recognizes these differences by:

2. Class Cost-of-Service Study

- Excluding transmission-voltage customers from the allocation of lower voltage distribution facilities; and
- Excluding primary voltage customers from the allocation of secondary distribution facilities.

As discussed later, PECO excludes primary voltage customers in allocating the costs of the secondary distribution system, but it includes transmission voltage customers in allocating the costs of lower voltage Primary HT facilities.

Third, cost causation is defined by how electricity is used. Electrical facilities must be sized to meet the expected peak demands. This ensures that both power and energy are delivered reliably to customers. Thus, a customer class's peak demand is an important factor in determining cost causation. Similarly, the utility must attach each customer to the grid, transform power from transmission to distribution voltage, provide a meter and a service drop, and render bills to customers. The latter costs are typically allocated to customer classes using some measure of customer count.

Q WHAT TYPES OF COSTS ARE REFLECTED IN PECO'S CLASS COST-OF-SERVICE STUDY?

A The costs incurred by PECO and reflected in its CCOSS are discussed in the testimony of Tamara Jamison. Ms. Jamison states:

PECO, like most electric utilities, designs its electric distribution system to meet three primary objects:

1. Connect all customers to the grid;
2. Deliver sufficient electricity to meet the aggregate peak demand for electricity of all firm delivery customers whenever those peaks occur; and
3. Assure that electricity is delivered to customers safely and reliably throughout the year.

2. Class Cost-of-Service Study

1 The allocation methods used in a COSS must take into account the
2 objectives that the distribution system is designed to achieve so that the
3 allocation of plant investment and operating expenses properly aligns with
4 cost-causation factors such as the need to connect all customers to the
5 distribution system and to meet class peak demands whenever they
6 occur. Other factors, such as incentives to influence customer behavior
7 (e.g., conservation or demand reduction) or to temper the impact on
8 customers of rate changes, are more appropriately considered in the
9 revenue allocation and rate design phase.¹

10 **Q WHAT IS THE DISTRIBUTION FUNCTION?**

11 A The distribution function encompasses the delivery system that connects the
12 customer to the transmission system. It is normally extensively subdivided in order
13 to recognize that certain customer classes do not utilize certain portions of the
14 distribution system. For example, customers served at primary distribution voltage
15 do not utilize the plant necessary to transform the voltage to the secondary levels.
16 Thus, following the principles of cost causation requires that primary distribution
17 customers not be allocated costs associated with the secondary distribution system.²
18 Similarly, costs associated with the distribution system are not utilized by
19 transmission-voltage customers and, therefore, distribution system costs should not
20 be allocated to transmission-voltage customers.

21 **Q WHAT IS THE CUSTOMER SERVICE AND FACILITIES FUNCTION?**

22 A The customer service and facilities function includes the plant and expenses that are
23 associated with providing the service drop and meter, meter reading, billing and
24 collection, and customer information and services. These investments and expenses

¹ PECO Energy Company Statement No. 6, Direct Testimony of Tamara J. Jamison at 9-10.

² National Association of Regulatory Utility Commissions, *Electric Utility Cost Allocation Manual* at 19-20 (Jan. 1992).

1 are generally considered to be made and incurred on a basis related to the number
2 of customers (by class) and are, therefore, of a fixed overhead nature.³

3 **Q WHAT IS THE ADMINISTRATIVE AND GENERAL FUNCTION?**

4 A The A&G function includes the management costs, administrative buildings, etc., that
5 cannot be directly assigned to the other major cost functions. These costs may be
6 functionalized by relating them to specific groups of costs or other characteristics of
7 the major cost functions, and then allocated on the same basis as the other costs
8 within the function.⁴ In other words, A&G costs are directly related to the distribution
9 and customer service and facilities functions.

10 **Q WHAT ARE THE IMPLICATIONS OF EACH OF THE DISTRIBUTION-RELATED**
11 **FUNCTIONS IN DETERMINING COST CAUSATION?**

12 A Based on the definition of each of the specific functions, a properly conducted
13 CCOSS will reflect each of the following characteristics:

- 14 • Lower voltage Primary HT costs are not allocable to customers that
15 receive service at 69 kV or higher voltages. Similarly, customers
16 receiving primary distribution service should not be allocated costs
17 associated with secondary distribution service;
- 18 • Certain distribution costs should be classified and allocated relative to
19 the number of customers; and
- 20 • A&G and related support costs should be allocated in a manner that
21 reflects the amount of distribution and customer services and facilities
22 provided to each service classification.

³ *Id.* at 20.

⁴ *Id.*

1 **Allocation of Primary HT Costs**

2 **Q DOES PECO'S CLASS COST-OF-SERVICE STUDY RECOGNIZE THE ABOVE-**
3 **STATED PRINCIPLES OF COST CAUSATION?**

4 A No. PECO allocates Primary HT investment to all customers regardless of delivery
5 voltage. This ignores the reality that some HT customers take service at 69 kV and
6 higher voltages. These customers do not require PECO to invest, operate, and
7 maintain lower voltage Primary HT facilities.

8 **Q WHAT IS THE PRIMARY HT FUNCTION?**

9 A Ms. Jamison defines the Primary HT function as follows:

10 ...costs associated with moving power from the transmission system to
11 the Primary Distribution system, including substations that transform
12 power from 69 kV to 34 kV or 13 kV and from 34 kV to 13 kV, conductors
13 operating primarily at voltages between 13 kV and 34 kV, and related
14 assets. ***This includes some facilities operating at voltages of 69 kV***
15 ***and above that are distribution facilities.***⁵ (emphasis added)

16 **Q HOW CAN FACILITIES OPERATING AT 69 KV AND ABOVE BE CONSIDERED**
17 **DISTRIBUTION FACILITIES?**

18 A This is a result of FERC's Seven-Factor Test. Under the Seven-Factor Test, a utility
19 is required to demonstrate which facilities function as transmission facilities. Only
20 qualifying transmission and distribution facilities are eligible for cost recovery under a
21 FERC-approved Open Access Transmission Tariff (OATT). Facilities that fail the
22 Seven-Factor Test are considered to function as distribution facilities. Examples of
23 transmission facilities that function as distribution facilities include radial lines
24 operating at transmission voltages and portions of substations connecting radial
25 lines. The costs of these facilities cannot be recovered in the OATT.

⁵ PECO Energy Company Statement No. 6, Direct Testimony of Tamara J. Jamison at 11.

1 **Q HOW IS THIS RELEVANT TO DETERMINING THE COST TO PROVIDE**
2 **DISTRIBUTION SERVICE?**

3 A The investment in 69 kV and higher facilities are allocable to all rate classes.
4 However, some Rate HT customers take service at 69 kV and higher voltages.
5 PECO's lower voltage Primary HT facilities are not used to serve these high-voltage
6 HT customers. These customers do not require PECO to invest, operate, and
7 maintain its lower voltage Primary HT facilities. Accordingly, they should not be
8 allocated any of the costs associated with the lower voltage Primary HT facilities.
9 These costs should be allocated to customers taking service at the lower voltages.
10 Thus, the loads of those customers served from the high-voltage facilities should be
11 excluded from any further allocation of the distribution network. PECO's CCROSS
12 fails to make this distinction.

13 **Q DOES PECO'S CLASS COST-OF-SERVICE STUDY ALSO IGNORE THE**
14 **DIFFERENCES IN THE VOLTAGE LEVELS AT WHICH OTHER RETAIL**
15 **DISTRIBUTION CUSTOMERS ARE SERVED?**

16 A No. In fact, the CCROSS functionalizes the investments in FERC Account Nos. 364-
17 367 between primary and secondary voltage. Primary voltages include 2.4 kV and 4
18 kV, whereas secondary voltages include 110 volts and 220 volts.⁶ PECO allocates
19 primary distribution costs only to those customers taking either primary or secondary
20 service. Further, secondary distribution costs are allocated only to customers that
21 take secondary service. In other words, no secondary distribution costs are

⁶ *Id.* at 11; PECO Energy Company, Tariff Electric Pa. P.U.C. No. 6, Original Page No. 8 (eff. Jan. 1, 2019).

1 allocated to customers that take either primary or high tension service, and no
2 primary distribution costs are allocated to customers that take high tension service.⁷

3 This treatment recognizes (appropriately) that PECO does not incur certain costs to
4 provide delivery service at higher delivery voltages because the customer (and not
5 PECO) has invested in the lower voltage facilities serving the customer (which are
6 typically owned by the customer). Thus, it is consistent with one of the fundamental
7 principles of cost allocation: not all customers take the same type of delivery service
8 and the differences in the costs to provide different types of delivery service should
9 be explicitly recognized.

10 Yet, despite the appropriate treatment for primary and secondary distribution
11 customers, PECO fails to make the same distinction with respect to the allocation of
12 Primary HT costs.

13 **Q IS THE SEPARATION THAT YOU ARE DESCRIBING ALREADY RECOGNIZED**
14 **IN THE CREDITS PROVIDED TO HIGH-VOLTAGE RATE HT CUSTOMERS?**

15 **A** No. The Rate HT revenue requirement is based on PECO's filed CCROSS, which
16 allocates all distribution plant and related expenses to all customers, including those
17 taking service at a transmission-level voltage. The specific changes that I am
18 recommending would reduce the allocation of distribution plant and related expenses
19 to the Rate HT and Rate EP classes by appropriately recognizing that not all of this
20 investment is required to serve customers that take service at 69 kV and higher
21 voltages.

⁷ PECO Energy Company Statement No. 6, Direct Testimony of Tamara J. Jamison at 14-15.

1 **Q WHAT DO YOU RECOMMEND?**

2 A PECO should conduct a special study to identify the costs associated with its 69 kV
3 and higher voltage facilities and the loads of those customers that take service
4 directly from these facilities. PECO should be directed to utilize this study to reduce
5 the allocation of distribution plant and related expenses to customers that take
6 service at 69 kV and higher voltages in its future electric distribution rate cases. This
7 study should be filed at the Commission and shared with PAIEUG and other
8 interested stakeholders prior to PECO's next electric distribution rate case.

9 **C&I Marketing Expense**

10 **Q WHAT MARKETING EXPENSES WERE INCLUDED IN THE CLASS COST-OF-**
11 **SERVICE STUDY?**

12 A PECO included general marketing expenses. A portion of these expenses were
13 directly assigned to the GS, PD, and HT classes. Ms. Jamison stated that these
14 expenses were allocated on the amount of energy at generation.⁸

15 **Q SHOULD C&I MARKETING EXPENSES BE ALLOCATED ON AN ENERGY**
16 **BASIS?**

17 A No. The C&I marketing expenses are the only marketing expenses that were
18 allocated on an energy basis. Allocating these expenses on an energy basis
19 imposes a disproportionate share of these expenses on large energy users. There is
20 no evidence that marketing expenses are more heavily weighted to larger energy
21 users. More likely, large energy users are more sophisticated and do not require
22 PECO to market energy efficiency or other services.

⁸ *Id.* at 24.

1 **Q HOW SHOULD C&I MARKETING EXPENSES BE ALLOCATED?**

2 A The C&I marketing expenses should be allocated on a customer basis, which
3 appropriately recognizes that large energy users do not require additional marketing
4 from PECO for energy efficiency services. This is the same method that PECO used
5 to allocate all other marketing expenses.

6 **Q HAVE YOU REVISED THE CLASS COST-OF-SERVICE STUDY TO REFLECT**
7 **YOUR RECOMMENDED ALLOCATION OF C&I MARKETING EXPENSE?**

8 A No. First, there is insufficient information in this case to determine the portion of
9 Primary HT costs associated with facilities that operate at 69 kV and higher voltages.
10 Thus, the Commission should order PECO to conduct a study to provide the
11 necessary information. The results of this study should be shared with the parties at
12 least 90 days prior to when PECO files its next rate case.

13 Second, the CCROSS results would not be materially affected by allocating
14 C&I marketing expense on a customer basis. Accordingly, for purposes of this
15 proceeding, I am reasonably comfortable recommending that PECO's CCROSS be
16 used to determine class revenue allocation in this proceeding.

3. CLASS REVENUE ALLOCATION

1 **Q WHAT IS CLASS REVENUE ALLOCATION?**

2 A Class revenue allocation is the process of determining how any base revenue
3 change the Commission approves should be apportioned to each rate class the utility
4 serves.

5 **Q HOW SHOULD ANY CHANGE IN BASE REVENUES APPROVED IN THIS**
6 **DOCKET BE APPORTIONED AMONG THE VARIOUS RATE CLASSES PECO**
7 **SERVES?**

8 A The Commission has a clear and consistent policy of setting rates to cost. The only
9 exception to this longstanding and unequivocal policy is when moving rates
10 immediately to cost would result in rate shock. Under this exception, the
11 Commission has applied the principle of gradualism to limit the immediate movement
12 to cost.

13 **Q WHAT IS THE PRINCIPLE OF GRADUALISM?**

14 A Gradualism is a concept that is applied to avoid rate shock; that is, no class should
15 receive an overly-large or abrupt rate increase. Thus, rates should move gradually
16 to cost rather than all at once because moving rates immediately to cost would result
17 in rate shock to the affected customers.

18 **Q SHOULD THE RESULTS OF THE COST-OF-SERVICE STUDY BE THE PRIMARY**
19 **FACTOR IN DETERMINING HOW ANY BASE REVENUE CHANGE SHOULD BE**
20 **ALLOCATED?**

21 A Yes. Cost-based rates are fair (because each class's rates reflect its cost to serve,

3. Class Revenue Allocation

1 no more and no less); they are efficient (because, when coupled with a cost-based
2 rate design, customers are provided with the proper incentive to minimize their costs,
3 which will, in turn, minimize the costs to the utility); they enhance revenue stability
4 (because changes in revenues due to changes in sales will translate into offsetting
5 changes in costs); and they encourage conservation (because cost-based rates will
6 send the proper price signals to customers, thereby allowing customers to make
7 rational consumption decisions).

8 **Q DOES THE CLASS COST-OF-SERVICE STUDY FILED BY PECO PROVIDE A**
9 **PROPER STARTING POINT FOR DETERMINING COST-BASED RATES IN THIS**
10 **PROCEEDING?**

11 **A** Yes.

12 **Q DOES PECO'S PROPOSED CLASS REVENUE ALLOCATION FOLLOW THESE**
13 **PRINCIPLES?**

14 **A** No. In general, a class that is currently earning a below-system average rate of
15 return should receive an above-average increase, and vice versa. However, PECO's
16 proposed class revenue allocation does not follow this general pattern.

17 **Q WOULD THE ABOVE-COST CLASSES RECEIVE BELOW-AVERAGE**
18 **INCREASES?**

19 **A** No. Table 1 summarizes PECO's proposed distribution rate increases by rate class.
20 These increases are also expressed as a percentage of the retail average base rate
21 increase (*i.e.*, the relative increase). For example, if the class's increase is equal to
22 the retail average base rate increase, the relative increase would be 100%. A class
23 that is receiving an above-system average increase would have a relative increase

3. Class Revenue Allocation

1 above 100, and vice versa for a class that receives a below-system average
2 increase.

Table 1 PECO's Proposed Distribution Increases ⁹		
Customer Class	Percent Increase	Increase as % of System Average
Residential	17.0%	93%
Residential Heating	16.6%	91%
General Service	22.4%	122%
Primary Distribution	21.3%	116%
High Tension	23.9%	131%
Electric Propulsion	0.3%	2%
Lighting	-2.1%	-12%
Total	18.3%	100%

3 As Table 1 demonstrates, the GS, PD, and HT classes would all receive above-
4 average base rate increases.

5 However, these classes are also providing above-average returns under
6 PECO's CCOSS. This is demonstrated in Table 2, which summarizes the relative
7 rate of return (RROR or Index) at present rates. RROR measures the earned rate of
8 return as a percentage of the system average rate of return. A RROR greater than
9 1.0 means that a class is providing a rate of return that is higher than the system
10 average, and vice versa. Thus, a RROR above 1.0 also means that a class is
11 subsidizing the service provided to the below-cost classes. Similarly, a RROR below
12 1.0 means that a class is being subsidized by the rates charged to the above-cost
13 classes.

⁹ PECO's Revised Response to OSBA-II-2(a), Attachment, Corrected PECO Exhibit JAB-1.

3. Class Revenue Allocation

Table 2 Relative Rate of Return a At Present Rates ¹⁰	
Rate Class	RROR
Residential	0.89
Residential Heating	0.98
General Service	1.17
Primary Distribution	1.13
High Tension	1.14
Electric Propulsion	1.48
Lighting	1.71

1 Under PECO's proposed class revenue allocation, the above-cost classes (*i.e.*, GS,
2 PD, and HT) as shown in Table 2 are also being assigned above-average distribution
3 rate increases, as shown in Table 1. Under these circumstances, rates for all
4 classes cannot move closer to cost.

5 **Q WOULD PECO'S CLASS REVENUE ALLOCATION RESULT IN ANY**
6 **SIGNIFICANT MOVEMENT TO COST?**

7 **A** No. Table 3 compares the rate of return differentials at present and proposed rates.
8 The rate of return differential is the difference between each class's rate of return
9 and the system average rate of return. Thus, the rate of return differentials measure
10 the extent that each class is subsidizing (a positive differential) or is being subsidized
11 (a negative differential) by other classes.

¹⁰ *Id.*

Table 3 Relative Rate of Return Differentials At Present and Proposed Rates ¹¹			
Rate Class	Present Rates	Proposed Rates	Closer to (Farther From) Cost
Residential	-0.56%	-0.69%	Farther
Residential Heating	-0.09%	-0.31%	Farther
General Service	0.86%	1.31%	Farther
Primary Distribution	0.67%	1.08%	Farther
High Tension	0.73%	1.31%	Farther
Electric Propulsion	2.43%	-0.15%	Closer
Lighting	3.60%	0.61%	Closer

1 As Table 3 demonstrates, only two classes (Electric Propulsion and Lighting) would
2 move closer to cost under PECO's proposed class revenue allocation. All other
3 classes would move farther from cost. Thus, contrary to Mr. Bisti's statement, there
4 would not be meaningful movement to cost under PECO's class revenue allocation.¹²

5 **Q WHY IS PECO NOT MOVING ALL RATES CLOSER TO COST?**

6 A Mr. Joseph Bisti cites gradualism and other (unspecified) ratemaking principles to
7 support the proposed class revenue allocation. With respect to gradualism, Mr. Bisti
8 states:

9 The ratemaking principles of gradualism, as traditionally applied in
10 Pennsylvania, guides utilities to avoid abruptly increasing rates in favor of
11 slower adjustments that incrementally move rates toward the actual cost
12 of service over time. PECO's proposed revenue allocation in this case
13 attempts to balance gradualism and other ratemaking principles, while
14 limiting the degree to which rates for classes diverge from their indicated
15 cost of service.¹³

¹¹ *Id.*

¹² *Id.* at 4-5.

¹³ *Id.* at 4.

3. Class Revenue Allocation

1 **Q IS PECO’S PROPOSED GRADUALISM ADJUSTMENT NECESSARY?**

2 A No. The results of the CCROSS indicate that moving classes to their cost to serve
3 would not produce significant rate increases for any class. The principle of
4 gradualism means placing reasonable limits on base rate increases to avoid rate
5 shock.

6 **Q WOULD MOVING RATES IMMEDIATELY TO COST RESULT IN RATE SHOCK?**

7 A No. Typically, a rate increase that is 1.5 to 2 times the system average would be
8 considered rate shock. However, the largest base rate increase to move all rates to
9 cost would be less than 1.2 times the system average increase. Thus, moving all
10 rates to cost based on the results of PECO’s CCROSS would not result in rate shock.

Table 4 Delivery Rate Increase To Achieve Cost-Based Rates¹⁴		
Rate Class	Percent	Increase as % of the System Average
Residential	21.7%	119%
Residential Heating	18.8%	103%
General Service	12.9%	70%
Primary Distribution	13.7%	75%
High Tension	14.2%	78%
Electric Propulsion	1.4%	8%
Lighting	-5.8%	-32%
Total	18.3%	100%

11 Thus, the base rate increases required to move each class to cost will not result in
12 rate shock and, therefore, a gradualism adjustment is unnecessary.

¹⁴ PECO Energy Company Statement No. 6, Direct Testimony of Tamara J. Jamison, Exhibit TJJ-1.

3. Class Revenue Allocation

1 Q WHAT DO YOU RECOMMEND?

2 A As previously stated, PECO's proposed class revenue allocation moves both the EP
3 and Lighting classes closer to cost. Accordingly, the remaining revenue deficiency
4 should be allocated to the other classes in a manner that moves them to cost.
5 Exhibit ____ (JP-4) shows how PECO's proposed increase should be allocated to the
6 remaining rate classes based on the results of PECO's CCROSS.

7 Q HOW DID YOU ADJUST THE REVENUE INCREASES TO ACCOUNT FOR THE
8 EXCESS REVENUES FROM THE LIGHTING CLASS?

9 A Under PECO's proposed revenue allocation, the Lighting class would remain
10 approximately \$860,000 above cost. I spread the \$860,000 to the other rate classes
11 (excluding EP) based on their share of the required distribution revenue increase.
12 Table 5 shows my recommended increases by rate class.

Table 5 PAIEUG Recommended Class Revenue Allocation		
Rate Class	Percent Increase	Increase as % of System Average
Residential	21.6%	118%
Residential Heating	18.7%	102%
General Service	12.9%	70%
Primary Distribution	13.7%	75%
High Tension	14.1%	77%
Electric Propulsion	0.3%	2%
Lighting	-2.1%	-11%
Total	18.3%	100%
Source: Exhibit__ (JP-4).		

3. Class Revenue Allocation

1 **Q DOES YOUR RECOMMENDATION AVOID RATE SHOCK?**

2 A Yes. Using the results of the CCOSS, no class would receive an increase that is
3 significantly above the system average increase. The proposed increases are
4 reasonable and avoid rate shock for all classes.

5 **Q IF THE COMMISSION WERE TO APPROVE A LOWER INCREASE FOR PECO,**
6 **HOW WOULD THIS AFFECT YOUR RECOMMENDATION?**

7 A If the Commission approves a lower revenue increase than PECO has proposed, the
8 revenues shown in **Exhibit ____ (JP-4)** should be scaled down proportionally. This
9 may result in rate reductions for the Lighting and possibly other classes.

10 **Q HOW SHOULD ANY SCALE BACK AFFECT THE PROPOSED RATE HT**
11 **CHARGES?**

12 A The Rate HT Variable Distribution Service and Night Service Rider charges should
13 be scaled back. The proposed High Voltage Distribution credits should be approved.
14 As previously discussed, PECO's CCOSS fails to differentiate Primary HT costs at
15 69 kV and higher from the lower voltage Primary HT costs. As a result, the study
16 over-allocates costs to the Rate HT class in general and the HT customers taking
17 service at 69 kV or higher in particular. Retaining the proposed High Voltage
18 Distribution credits would better reflect the lower cost of providing distribution service
19 at the 69 kV or higher voltage levels.

3. Class Revenue Allocation

4. CONCLUSION

1 **Q WHAT FINDINGS SHOULD THE COMMISSION MAKE BASED ON YOUR**
2 **RECOMMENDATIONS?**

3 **A The Commission should make the following findings:**

- 4 • Adopt PECO's class cost-of-service study for use in determining class
5 revenue allocation.
- 6 • Order PECO to conduct a special study to identify the costs of its
7 Primary HT facilities operating at 69 kV or higher voltage and the
8 loads served from these facilities and to provide the results of this
9 study at least 90 days prior to filing its next electric rate case.
- 10 • Reject PECO's proposed allocation of C&I marketing expense on an
11 energy basis and adopt an allocation based on the number of C&I
12 customers.
- 13 • Adopt PECO's proposed class revenue allocation for the EP and
14 Lighting classes only.
- 15 • Move rates for the remaining rate classes to cost.
- 16 • Scale back the revenues under my recommended class revenue
17 allocation methodology shown in **Exhibit __ (JP-4)** proportionally in
18 the event PECO is awarded a lower revenue increase.
- 19 • Scale back the proposed Rate HT Variable Distribution Service and
20 Night Service Rider charges, but retain the Rate HT High Voltage
21 Distribution credits proposed by PECO.

22 **Q DOES THIS CONCLUDE YOUR DIRECT TESTIMONY?**

23 **A Yes.**

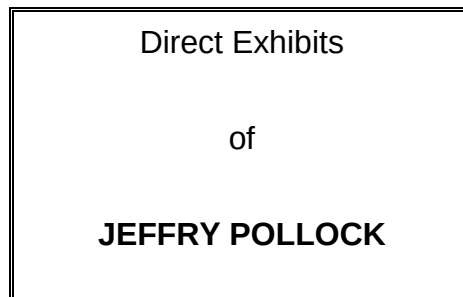
**BEFORE THE
PENNSYLVANIA PUBLIC UTILITY COMMISSION**

Pennsylvania Public Utility Commission

v.

Docket No. R-2021-3024601, et al.

PECO Energy Company – Electric Division



On Behalf of

Philadelphia Area Industrial Energy Users Group

June 28, 2021



Qualifications of Jeffry Pollock

1 **Q PLEASE STATE YOUR NAME AND BUSINESS ADDRESS.**

2 A Jeffry Pollock. My business mailing address is 12647 Olive Blvd., Suite 585, St. Louis,
3 Missouri 63141.

4 **Q WHAT IS YOUR OCCUPATION AND BY WHOM ARE YOU EMPLOYED?**

5 A I am an energy advisor and President of J. Pollock, Incorporated.

6 **Q PLEASE STATE YOUR EDUCATIONAL BACKGROUND AND EXPERIENCE.**

7 A I have a Bachelor of Science Degree in Electrical Engineering and a Master's Degree in
8 Business Administration from Washington University. I have also completed a Utility
9 Finance and Accounting course.

10 Upon graduation in June 1975, I joined Drazen-Brubaker & Associates, Inc. (DBA).
11 DBA was incorporated in 1972 assuming the utility rate and economic consulting activities
12 of Drazen Associates, Inc., active since 1937. From April 1995 to November 2004, I was
13 a managing principal at Brubaker & Associates (BAI).

14 During my career, I have been engaged in a wide range of consulting assignments
15 including energy and regulatory matters in both the United States and several Canadian
16 provinces. This includes preparing financial and economic studies of investor-owned,
17 cooperative and municipal utilities on revenue requirements, cost of service and rate
18 design, tariff review and analysis, conducting site evaluations, advising clients on electric
19 restructuring issues, assisting clients to procure and manage electricity in both competitive
20 and regulated markets, developing and issuing requests for proposals (RFPs), evaluating
21 RFP responses and contract negotiation and developing and presenting seminars on
22 electricity issues.

1 I have worked on various projects in 28 states and several Canadian provinces,
2 and have testified before the Federal Energy Regulatory Commission, the Ontario Energy
3 Board, and the state regulatory commissions of Alabama, Arizona, Arkansas, Colorado,
4 Delaware, Florida, Georgia, Illinois, Indiana, Iowa, Kansas, Kentucky, Louisiana,
5 Michigan, Minnesota, Mississippi, Missouri, Montana, New Jersey, New Mexico, New
6 York, Ohio, Pennsylvania, South Carolina, Texas, Virginia, Washington, and Wyoming. I
7 have also appeared before the City of Austin Electric Utility Commission, the Board of
8 Public Utilities of Kansas City, Kansas, the Board of Directors of the South Carolina Public
9 Service Authority (a.k.a. Santee Cooper), the Bonneville Power Administration, Travis
10 County (Texas) District Court, and the U.S. Federal District Court.

11 **Q PLEASE DESCRIBE J. POLLOCK, INCORPORATED.**

12 A J. Pollock assists clients to procure and manage energy in both regulated and competitive
13 markets. The J. Pollock team also advises clients on energy and regulatory issues. Our
14 clients include commercial, industrial and institutional energy consumers. J. Pollock is a
15 registered broker and Class I aggregator in the State of Texas.

Testimony Filed in Regulatory Proceedings by Jeffrey Pollock

UTILITY	ON BEHALF OF	DOCKET	TYPE	STATE / PROVINCE	SUBJECT	DATE
DTE GAS COMPANY	Association of Businesses Advocating Tariff Equity	U-20940	Rebuttal	MI	Allocation of Uncollectible Expense	6/23/2021
FLORIDA POWER & LIGHT COMPANY	Florida Industrial Power Users Group	20210015-EI	Direct	FL	Four-Year Rate Plan; Reserve Surplus; Solar Base Rate Adjustments; Class Cost-of-Service Study; Class Revenue Allocation; CILC/CDR Credits	6/21/2021
ENTERGY ARKANSAS, LLC	Arkansas Electric Energy Consumers, Inc.	20-067-U	Surrebuttal	AR	Certificate of Environmental Compatibility and Public Need	6/17/2021
SOUTHWESTERN PUBLIC SERVICE COMPANY	Occidental Permian Ltd.	20-00238-UT	Rebuttal	NM	Rate Design	6/9/2021
DTE GAS COMPANY	Association of Businesses Advocating Tariff Equity	U-20940	Direct	MI	Class Cost-of-Service Study; Rate Design	6/3/2021
SOUTHWESTERN ELECTRIC POWER COMPANY	Texas Industrial Energy Consumers	51415	Supplemental Direct	TX	Retail Behind-The-Meter-Generation; Class Cost of Service Study; Class Revenue Allocation; LGS-T Rate Design; Time-of-Use Fuel Rate	5/17/2021
SOUTHWESTERN PUBLIC SERVICE COMPANY	Occidental Permian Ltd.	20-00238-UT	Direct	NM	Class cost-of-service study, class revenue allocation, LGS-T rate design, TOU Fuel Charge	5/17/2021
ENTERGY ARKANSAS, LLC	Arkansas Electric Energy Consumers, Inc.	20-067-U	Direct	AR	Certificate of Environmental Compatibility and Public Need	5/6/2021
SOUTHWESTERN PUBLIC SERVICE COMPANY	Texas Industrial Energy Consumers	51625	Direct	TX	Fuel Factor Formula; Time Differentiated Costs; Time-of-Use Fuel Factor	4/5/2021
SOUTHWESTERN ELECTRIC POWER COMPANY	Texas Industrial Energy Consumers	51415	Direct	TX	ATC Tracker, Behind-The-Meter Generation; Class Cost-of-Service Study; Class Revenue Allocation; Large Lighting and Power Rate Design; Synchronous Self-Generation Load Charge	3/31/2021
ENTERGY TEXAS, INC.	Texas Industrial Energy Consumers	51215	Direct	TX	Certificate of Convenience and Necessity for the Liberty County Solar Facility	3/5/2021
SOUTHWESTERN ELECTRIC POWER COMPANY	Texas Industrial Energy Consumers	50997	Cross Rebuttal	TX	Rate Case Expenses	1/28/2021
PPL ELECTRIC UTILITIES CORPORATION	PPL Industrial Customer Alliance	M-2020-3020824	Supplemental	PA	Energy Efficiency and Conservation Plan	1/27/2021
CENTRAL HUDSON GAS & ELECTRIC	Multiple Intervenors	20-E-0428 / 20-G-0429	Rebuttal	NY	Distribution cost classification; revised Electric Embedded Cost-of-Service Study; revised Distribution Mains Study	1/22/2020
MIDAMERICAN ENERGY COMPANY	Tech Customers	EPB-2020-0156	Reply	IA	Emissions Plan	1/21/2021
SOUTHWESTERN ELECTRIC POWER COMPANY	Texas Industrial Energy Consumers	50997	Direct	TX	Disallowance of Unreasonable Mine Development Costs; Amortization of Mine Closure Costs; Imputed Capacity	1/7/2021
CENTRAL HUDSON GAS & ELECTRIC	Multiple Intervenors	20-E-0428 / 20-G-0429	Direct	NY	Electric and Gas Embedded Cost of Service; Class Revenue Allocation; Rate Design; Revenue Decoupling Mechanism	12/22/2020

Testimony Filed in Regulatory Proceedings by Jeffry Pollock

UTILITY	ON BEHALF OF	DOCKET	TYPE	STATE / PROVINCE	SUBJECT	DATE
NIAGARA MOHAWK POWER CORP.	Multiple Intervenors	20-E-0380 / 20-G-0381	Rebuttal	NY	AMI Cost Allocation Framework	12/16/2020
ENTERGY TEXAS, INC.	Texas Industrial Energy Consumers	51381	Direct	TX	Generation Cost Recovery Rider	12/8/2020
NIAGARA MOHAWK POWER CORP.	Multiple Intervenors	20-E-0380 / 20-G-0381	Direct	NY	Electric and Gas Embedded Cost of Service; Class Revenue Allocation; Rate Design; Earnings Adjustment Mechanism; Advanced Metering Infrastructure Cost Allocation	11/25/2020
LUBBOCK POWER & LIGHT	Texas Industrial Energy Consumers	51100	Direct	TX	Test Year; Wholesale Transmission Cost of Service and Rate Design	11/6/2020
CONSUMERS ENERGY COMPANY	Association of Businesses Advocating Tariff Equity	U-20889	Direct	MI	Scheduled Lives, Cost Allocation and Rate Design of Securitization Bonds	10/30/2020
CHEYENNE LIGHT, FUEL AND POWER COMPANY	HollyFrontier Cheyenne Refining LLC	20003-194-EM-20	Cross-Answer	WY	PCA Tariff	10/16/2020
SOUTHWESTERN PUBLIC SERVICE COMPANY	Occidental Permian Ltd.	20-00143	Direct	NM	RPS Incentives; Reassignment of non-jurisdictional PPAs	9/11/2020
ROCKY MOUNTAIN POWER	Wyoming Industrial Energy Consumers	20000-578-ER-20	Cross	WY	Time-of-Use period definitions; ECAM Tracking of Large Customer Pilot Programs	9/11/2020
ROCKY MOUNTAIN POWER	Wyoming Industrial Energy Consumers	20000-578-ER-20	Direct	WY	Class Cost-of-Service Study; Time-of-Use period definitions; Interruptible Service and Real-Time Day Ahead Pricing pilot programs	8/7/2020
ENTERGY TEXAS, INC.	Texas Industrial Energy Consumers	50790	Direct	TX	Hardin Facility Acquisition	7/27/2020
PHILADELPHIA GAS WORKS	Philadelphia Industrial and Commercial Gas Users Group	2020-3017206	Surrebuttal	PA	Interruptible transportation tariff; Allocation of Distribution Mains; Universal Service and Energy Conservations; Gradualism	7/24/2020
CONSUMERS ENERGY COMPANY	Association of Businesses Advocating Tariff Equity	U-20697	Rebuttal	MI	Energy Weighting, Treatment of Interruptible Load; Allocation of Distribution Capacity Costs; Allocation of CVR Costs	7/14/2020
PHILADELPHIA GAS WORKS	Philadelphia Industrial and Commercial Gas Users Group	2020-3017206	Rebuttal	PA	Distribution Main Allocation; Design Day Demand; Class Revenue Allocation; Balancing Provisions	7/13/2020
PECO ENERGY COMPANY	Philadelphia Area Industrial Energy Users Group	2020-3019290	Rebuttal	PA	Network Integration Transmission Service Costs	7/9/2020
CONSUMERS ENERGY COMPANY	Association of Businesses Advocating Tariff Equity	U-20697	Direct	MI	Class Cost-of-Service Study; Financial Compensation Method; General Interruptible Service Credit	6/24/2020
PHILADELPHIA GAS WORKS	Philadelphia Industrial and Commercial Gas Users Group	2020-3017206	Direct	PA	Class Cost-of-Service Study; Class Revenue Allocation; Rate Design	6/15/2020
CONSUMERS ENERGY COMPANY	Association of Businesses Advocating Tariff Equity	U-20650	Rebuttal	MI	Distribution Mains Classification and Allocation	5/5/2020

Testimony Filed in Regulatory Proceedings by Jeffry Pollock

UTILITY	ON BEHALF OF	DOCKET	TYPE	STATE / PROVINCE	SUBJECT	DATE
GEORGIA POWER COMPANY	Georgia Association of Manufacturers and Georgia Industrial Group	43011	Direct	GA	Fuel Cost Recovery Natural Gas Price Assumptions	5/1/2020
CONSUMERS ENERGY COMPANY	Association of Businesses Advocating Tariff Equity	U-20650	Direct	MI	Class Cost-of-Service Study; Transportation Rate Design; Gas Demand Response Pilot Program; Industry Association Dues	4/14/2020
ROCKY MOUNTAIN POWER	Wyoming Industrial Energy Consumers	90000-144-XI-19	Direct	WY	Coal Retirement Studies and IRP Scenarios	4/1/2020
DTE GAS COMPANY	Association of Businesses Advocating Tariff Equity	U-20642	Direct	MI	Class Cost-of-Service Study; Class Revenue Allocation; Infrastructure Recovery Mechanism; Industry Association Dues	3/24/2020
SOUTHWESTERN PUBLIC SERVICE COMPANY	Texas Industrial Energy Consumers	49831	Cross	TX	Radial Transmission Lines; Allocation of Transmission Costs; SPP Administrative Fees; Load Dispatching Expenses; Uncollectible Expense	3/10/2020
SOUTHWESTERN PUBLIC SERVICE COMPANY	Occidental Permian Ltd.	19-00315-UT	Direct	NM	Time-Differentiated Fuel Factor	3/6/2020
SOUTHERN PIONEER ELECTRIC COMPANY	Western Kansas Industrial Electric Consumers	20-SPEE-169-RTS	Direct	KS	Class Revenue Allocation	3/2/2020
SOUTHWESTERN PUBLIC SERVICE COMPANY	Texas Industrial Energy Consumers	49831	Direct	TX	Schedule 11 Expenses; Depreciation Expense (Rev. Req. Phase Testimony)	2/10/2020
SOUTHWESTERN PUBLIC SERVICE COMPANY	Texas Industrial Energy Consumers	49831	Direct	TX	Class-Cost-of-Service Study; Class Revenue Allocation; Rate Design (Rate Design Phase Testimony)	2/10/2020
SOUTHWESTERN PUBLIC SERVICE COMPANY	Occidental Permian Ltd.	19-00134-UT	Direct	NM	Renewable Portfolio Standard Rider	2/5/2020
SOUTHWESTERN PUBLIC SERVICE COMPANY	Occidental Permian Ltd.	19-00170-UT	Settlement	NM	Settlement Support of Rate Design, Cost Allocation and Revenue Requirement	1/20/2020
SOUTHWESTERN ELECTRIC POWER COMPANY	Texas Industrial Energy Consumers	49737	Direct	TX	Certificate of Convenience and Necessity	1/14/2020
SOUTHWESTERN PUBLIC SERVICE COMPANY	Occidental Permian Ltd.	19-00170-UT	Rebuttal	NM	Class Cost-of-Service Study; Class Revenue Allocation	12/20/2019
ALABAMA POWER COMPANY	Alabama Industrial Energy Consumers	32953	Direct	AL	Certificate of Convenience and Necessity	12/4/2019
SOUTHWESTERN PUBLIC SERVICE COMPANY	Occidental Permian Ltd.	19-00170-UT	Direct	NM	Class Cost-of-Service Study; Class Revenue Allocation; Rate Design	11/22/2019
SOUTHWESTERN PUBLIC SERVICE COMPANY	Texas Industrial Energy Consumers	49616	Cross	TX	Contest proposed changes in the Fuel Factor Formula	10/17/2019
GEORGIA POWER COMPANY	Georgia Association of Manufacturers and Georgia Industrial Group	42516	Direct	GA	Return on Equity; Capital Structure; Coal Combustion Residuals Recovery; Class Revenue Allocation; Rate Design	10/17/2019

Testimony Filed in Regulatory Proceedings by Jeffry Pollock

UTILITY	ON BEHALF OF	DOCKET	TYPE	STATE / PROVINCE	SUBJECT	DATE
NEW YORK STATE ELECTRIC & GAS CORPORATION and ROCHESTER GAS AND ELECTRIC CORPORATION	Multiple Intervenors	19-E-0378 / 19-G-0379 19-E-0380 / 19-G-0381	Rebuttal	NY	Electric and Gas Embedded Cost of Service; Class Revenue Allocation; Rate Design	10/15/2019
NEW YORK STATE ELECTRIC & GAS CORPORATION and ROCHESTER GAS AND ELECTRIC CORPORATION	Multiple Intervenors	19-E-0378 / 19-G-0379 19-E-0380 / 19-G-0381	Direct	NY	Electric and Gas Embedded Cost of Service; Class Revenue Allocation; Rate Design; Amortization of Regulatory Liabilities; AMI Cost Allocation	9/20/2019
AEP TEXAS INC.	Texas Industrial Energy Consumers	49494	Cross-Rebuttal	TX	ERCOT 4CPs; Class Revenue Allocation; Customer Support Costs	8/13/2019
AEP TEXAS INC.	Texas Industrial Energy Consumers	49494	Direct	TX	Class Cost-of-Service Study; Class Revenue Allocation; Rate Design; Transmission Line Extensions	7/25/2019
CENTERPOINT ENERGY HOUSTON ELECTRIC, LLC	Texas Industrial Energy Consumers	49421	Cross-Rebuttal	TX	Class Cost-of-Service Study	6/19/2019
CENTERPOINT ENERGY HOUSTON ELECTRIC, LLC	Texas Industrial Energy Consumers	49421	Direct	TX	Class Cost-of-Service Study; Rate Design; Transmission Service Facilities Extensions	6/6/2019
SOUTHWESTERN PUBLIC SERVICE COMPANY	Texas Industrial Energy Consumers	48973	Direct	TX	Prudence of Solar PPAs, Imputed Capacity, treatment of margins from Off-System Sales	5/21/2019
CONSUMERS ENERGY COMPANY	Association of Businesses Advocating Tariff Equity	U-20322	Rebuttal	MI	Classification of Distribution Mains; Allocation of Working Gas in Storage and Storage	4/29/2019
CONSUMERS ENERGY COMPANY	Association of Businesses Advocating Tariff Equity	U-20322	Direct	MI	Class Cost-of-Service Study; Transportation Rate Design	4/5/2019
SOUTHWESTERN ELECTRIC POWER COMPANY	Texas Industrial Energy Consumers	49042	Cross-Rebuttal	TX	Transmsision Cost Recovery Factor	3/21/2019
ENTERGY TEXAS, INC.	Texas Industrial Energy Consumers	49057	Direct	TX	Transmsision Cost Recovery Factor	3/18/2019
DUKE ENERGY PROGRESS, LLC	Nucor Steel - South Carolina	2018-318-E	Direct	SC	Class Cost-of-Service Study, Class Revenue Allocation, LGS Rate Design, Depreciation Expense	3/4/2019
ENTERGY ARKANSAS, LLC	Arkansas Electric Energy Consumers, Inc.	18-037	Settlement	AR	Testimony in Support of Settlement	3/1/2019
ENERGY+ INC.	Toyota Motor Manufacturing Canada	EB-2018-0028	Updated Evidence	ON	Class Cost-of-Service Study, Distribution and Standby Distribution Rate Design	2/15/2019
ENTERGY ARKANSAS, LLC	Arkansas Electric Energy Consumers, Inc.	18-037	Surrebuttal	AR	Solar Energy Purchase Option Tariff	2/14/2019
SOUTHWESTERN PUBLIC SERVICE COMPANY	Texas Industrial Energy Consumers	48847	Direct	TX	Fuel Factor Formulas	1/11/2019
ENTERGY ARKANSAS, LLC	Arkansas Electric Energy Consumers, Inc.	18-037	Direct	AR	Solar Energy Purchase Option Tariff	1/10/2019
CONSUMERS ENERGY COMPANY	Association of Businesses Advocating Tariff Equity	U-20165	Direct	MI	Integrated Resources Plan; Projected Rate Impact, Risk Assessment; Early Retirement of Coal Units; Financial Compensation Mechanism	10/15/2018

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CONSUMERS ENERGY COMPANY	Association of Businesses Advocating Tariff Equity	U-20134	Rebuttal	MI	Class Cost-of-Service Study; Average Historical Profile; Distribution Cost Classification and Allocation; Rate Design	10/1/2018
ENERGY+ INC.	Toyota Motor Manufacturing Canada	EB-2018-0028	Initial Evidence	ON	Class Cost-of-Service Study, Distribution and Standby Distribution Rate Design	9/27/2018
CONSUMERS ENERGY COMPANY	Association of Businesses Advocating Tariff Equity	U-20134	Direct	MI	Investment Recovery Mechanism, Litigation surcharge, Class Cost-of-Service Study, Class Revenue Allocation, Rate Design	9/10/2018
KANSAS GAS AND ELECTRIC COMPANY	Occidental Chemical Corporation	18-KG&E-303-CON	Rebuttal	KS	Benefits of the Interruptible Load Provided in the Special Contract	8/29/2018
TEXAS-NEW MEXICO POWER COMPANY	Texas Industrial Energy Consumers	48401	Cross-Rebuttal	TX	4CP Moderation Adjustment	8/28/2018
ENTERGY TEXAS, INC.	Texas Industrial Energy Consumers	48371	Cross-Rebuttal	TX	Class Cost-of-Service Study; Schedule FERC	8/16/2018
TEXAS-NEW MEXICO POWER COMPANY	Texas Industrial Energy Consumers	48401	Direct	TX	Tax Cuts and Jobs Act; Rider TCRF; 4CP Moderation Adjustment	8/13/2018
PECO ENERGY COMPANY	Philadelphia Area Industrial Energy Users Group	2018-3000164	Surrebuttal	PA	Post Test-Year Adjustment; Tax Cuts and Jobs Act; Class Cost-of-Service Study; Distribution System Improvement Charge	8/8/2018
ENTERGY TEXAS, INC.	Texas Industrial Energy Consumers	48371	Direct	TX	Revenue Requirements; Tax Cuts and Jobs Act; Riders	8/1/2018
ENTERGY TEXAS, INC.	Texas Industrial Energy Consumers	48371	Direct	TX	Class Cost-of-Service Study; Firm, Interruptible and Standby Rate Design	8/1/2018
PECO ENERGY COMPANY	Philadelphia Area Industrial Energy Users Group	2018-3000164	Rebuttal	PA	Class Cost-of-Service Study; Class Revenue Allocation	7/24/2018
SOUTHWESTERN ELECTRIC POWER COMPANY	Texas Industrial Energy Consumers	48233	Cross-Rebuttal	TX	Allocation of TCJA reduction	7/19/2018
SOUTHWESTERN ELECTRIC POWER COMPANY	Texas Industrial Energy Consumers	48233	Direct	TX	Allocation of TCJA reduction	7/5/2018
PECO ENERGY COMPANY	Philadelphia Area Industrial Energy Users Group	2018-3000164	Direct	PA	Post Test-Year Adjustment; Tax Cuts and Jobs Act; Class Cost-of-Service Study; Class Revenue Allocation	6/26/2018
SOUTHWESTERN PUBLIC SERVICE COMPANY	Texas Industrial Energy Consumers	47527	Cross-Rebuttal	TX	Class Cost-of-Service Study; Revenue Allocation	5/22/2018
SOUTHWESTERN PUBLIC SERVICE COMPANY	Occidental Permian Ltd.	17-00255-UT	Rebuttal	NM	Class Cost-of-Service Study; Revenue Allocation	5/2/2018
ENTERGY ARKANSAS, INC.	Arkansas Electric Energy Consumers, Inc.	17-041	Stipulation	AR	Support of Stipulation	4/27/2018
SOUTHWESTERN PUBLIC SERVICE COMPANY	Texas Industrial Energy Consumers	47527	Direct	TX	Present Base Revenues Class Cost-of-Service Study; Class Revenue Allocation; Rate Design	4/25/2018

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SOUTHWESTERN PUBLIC SERVICE COMPANY	Texas Industrial Energy Consumers	47527	Direct	TX	Tax Cuts and Jobs Act; SPP Transmission and Wheeling Costs; Depreciation Rate; LLPPAs; Imputed Capacity; Off-System Sales Margins	4/25/2018
SOUTHWESTERN PUBLIC SERVICE COMPANY	Occidental Permian Ltd.	17-00255-UT	Direct	NM	Class Cost-of-Service Study; Revenue Requirements; Revenue Allocation	4/13/2018
ENTERGY ARKANSAS, INC.	Arkansas Electric Energy Consumers, Inc.	17-041	Surrebuttal	AR	Certificate of Convenience and Necessity	4/6/2018
METROPOLITAN EDISON COMPANY; PENNSYLVANIA ELECTRIC COMPANY, PENNSYLVANIA POWER COMPANY AND WEST PENN POWER COMPANY	MEIUG, PICA and WPPII	2017-2637855 2017-2637857 2017-2637858 2017-2637866	Rebuttal	PA	Recovery of NITS Charges	3/22/2018
SOUTHWESTERN PUBLIC SERVICE COMPANY	Texas Industrial Energy Consumers	46936	2nd Supplemental Direct	TX	Support of Stipulation	3/2/2018
CONSUMERS ENERGY COMPANY	Association of Businesses Advocating Tariff Equity	U-18424	Direct	MI	Class Cost of Service	2/28/2018
ENTERGY ARKANSAS, INC.	Arkansas Electric Energy Consumers, Inc.	17-041	Direct	AR	Certificate of Convenience and Necessity	2/23/2018
SOUTHWESTERN ELECTRIC POWER COMPANY	Texas Industrial Energy Consumers	47553	Direct	TX	Off-System Sales Margins; Renewable Energy Credits	2/20/2018
SOUTHWESTERN ELECTRIC POWER COMPANY	Texas Industrial Energy Consumers	47461	2nd Supplemental Direct	TX	Certificate of Convenience and Necessity	2/7/2018
SOUTHWESTERN ELECTRIC POWER COMPANY	Texas Industrial Energy Consumers	47461	Supplemental Direct	TX	Certificate of Convenience and Necessity	1/4/2018
CENTRAL HUDSON GAS & ELECTRIC	Multiple Intervenors	17-E-0459/G-0460	Rebuttal	NY	Electric and Gas Embedded Class Cost of Service; Class Revenue Allocation; Gas Rate Design; Revenue Decoupling Mechanism	12/18/2017
SOUTHWESTERN PUBLIC SERVICE COMPANY	Occidental Permian Ltd.	17-00044-UT	Supplemental Direct	NM	Support of Unanimous Comprehensive Stipulation	12/11/2017
SOUTHWESTERN ELECTRIC POWER COMPANY	Texas Industrial Energy Consumers	47461	Direct	TX	Certificate of Convenience and Necessity	12/4/2017
CENTRAL HUDSON GAS & ELECTRIC	Multiple Intervenors	17-E-0459/G-0460	Direct	NY	Electric and Gas Embedded Class Cost of Service; Class Revenue Allocation; Customer Charges; Revenue Decoupling Mechanism; Carbon Program and EAM	11/21/2017
SOUTHWESTERN PUBLIC SERVICE COMPANY	Occidental Permian Ltd.	17-00044-UT	Direct	NM	Certificate of Convenience and Necessity	10/24/2017
SOUTHWESTERN PUBLIC SERVICE COMPANY	Texas Industrial Energy Consumers	46936	Cross-Rebuttal	TX	Certificate of Convenience and Necessity	10/23/2017
SOUTHWESTERN PUBLIC SERVICE COMPANY	Texas Industrial Energy Consumers	46936	Supplemental Direct	TX	Certificate of Convenience and Necessity	10/6/2017
KENTUCKY POWER COMPANY	Kentucky League of Cities	2017-00179	Direct	KY	Class Cost-of-Service Study; Class Revenue Allocation	10/3/2017

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UTILITY	ON BEHALF OF	DOCKET	TYPE	STATE / PROVINCE	SUBJECT	DATE
SOUTHWESTERN PUBLIC SERVICE COMPANY	Texas Industrial Energy Consumers	46936	Direct	TX	Certificate of Convenience and Necessity	10/2/2017
NIAGARA MOHAWK POWER CORP.	Multiple Intervenors	17-E-0238 / 17-G-0239	Rebuttal	NY	Electric/Gas Embedded Class Cost of Service; Class Revenue Allocation; Electric/Gas Rate Design	9/15/2017
CONSUMERS ENERGY COMPANY	Association of Businesses Advocating Tariff Equity	U-18322	Rebuttal	MI	Class Cost-of-Service Study, Rate Design	9/7/2017
PENNSYLVANIA-AMERICAN WATER COMPANY	Pennsylvania-American Water Large Users Group	R-2017-2595853	Rebuttal	PA	Rate Design	8/31/2017
NIAGARA MOHAWK POWER CORP.	Multiple Intervenors	17-E-0238 / 17-G-0239	Direct	NY	Electric/Gas Embedded Class Cost of Service; Class Revenue Allocation; Electric/Gas Rate Design, Electric/Gas Rate Modifiers, AMI Cost Allocation	8/25/2017
CONSUMERS ENERGY COMPANY	Association of Businesses Advocating Tariff Equity	U-18322	Direct	MI	Revenue Requirement, Class Cost-of-Service Study, Rate Design	8/10/2017
FLORIDA POWER & LIGHT COMPANY, DUKE ENERGY FLORIDA, LLC, AND TAMPA ELECTRIC COMPANY	Florida Industrial Power Users Group	170057	Direct	FL	Fuel Hedging Practices	8/10/2017
SOUTHWESTERN ELECTRIC POWER COMPANY	Texas Industrial Energy Consumers	46449	Cross-Rebuttal	TX	Class Revenue Allocation and Rate Design	5/19/2017
SOUTHWESTERN ELECTRIC POWER COMPANY	Texas Industrial Energy Consumers	46449	Direct	TX	Revenue Requirement, Class Cost-of-Service Study, Class Revenue Allocation and Rate Design	4/25/2017
KENTUCKY UTILITIES COMPANY	Kentucky League of Cities	2016-00370	Supplemental Direct	KY	Class Cost-of-Service Study; Class Revenue Allocation	4/14/2017
ENTERGY TEXAS, INC.	Texas Industrial Energy Consumers	46416	Direct	TX	Certificate of Convenience and Necessity - Montgomery County Power Station	3/31/2017
SHARYLAND UTILITIES, L.P.	Texas Industrial Energy Consumers	45414	Cross-Rebuttal	TX	Cost Allocation Issues; Class Revenue Allocation	3/16/2017
ENTERGY LOUISIANA, LLC	Occidental Chemical Corporation	U-34283	Direct*	LA	Approval to Construct Lake Charles Power Station	3/13/2017
LOUISVILLE GAS AND ELECTRIC COMPANY	Louisville/Jefferson Metro Government	2016-00371	Direct	KY	Revenue Requirement Issues; Class Cost-of-Service Study Electric/Gas; Class Revenue Allocation Electric/Gas	3/3/2017
KENTUCKY UTILITIES COMPANY	Kentucky League of Cities	2016-00370	Direct	KY	Revenue Requirement Issues; Class Cost-of-Service Study; Class Revenue Allocation	3/3/2017
SHARYLAND UTILITIES, L.P.	Texas Industrial Energy Consumers	45414	Direct	TX	Class Cost-of-Service Study; Class Revenue Allocation; Rate Design; TCRF Allocation Factors; McAllen Division Deferrals	2/28/2017

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UTILITY	ON BEHALF OF	DOCKET	TYPE	STATE / PROVINCE	SUBJECT	DATE
SOUTHWESTERN PUBLIC SERVICE COMPANY	Texas Industrial Energy Consumers	46025	Direct	TX	Long-Term Purchased Power Agreements	12/12/2016
NORTHERN STATES POWER COMPANY	Xcel Large Industrials	15-826	Surrebuttal	MN	Settlement, Cost-of-Service Study, Class Revenue Allocation, Interruptible Rates, Renew-A-Source	10/18/2016
NORTHERN STATES POWER COMPANY	Xcel Large Industrials	15-826	Rebuttal	MN	Class Cost-of-Service Study, Class Revenue Allocation	9/23/2016
VICTORY ELECTRIC COOPERATION ASSOCIATION, INC.	Western Kansas Industrial Electric Consumers	16-VICE-494-TAR	Surrebuttal	KS	Formula-Based Rate Plan	9/22/2016
NATIONAL FUEL GAS DISTRIBUTION CORPORATION	Multiple Intervenors	16-G-0257	Rebuttal	NY	Embedded Class Cost of Service; Class Revenue Allocation; Rate Design	9/16/2016
SOUTHWESTERN PUBLIC SERVICE COMPANY	Texas Industrial Energy Consumers	45524	Cross-Rebuttal	TX	Class Cost-of-Service Study;	9/7/2016
METROPOLITAN EDISON COMPANY; PENNSYLVANIA ELECTRIC COMPANY AND WEST PENN POWER	MEIUG, PICA and WPPII	2016-2537349 2016-2537352 2016-2537359	Surrebuttal	PA	Post-Test Year Sales Adjustment; Class Cost-of-Service Study; Class Revenue Allocation; Rate Design	8/31/2016
VICTORY ELECTRIC COOPERATION ASSOCIATION, INC.	Western Kansas Industrial Electric Consumers	16-VICE-494-TAR	Direct	KS	Formula-Based Rate Plan	8/30/2016
WESTERN COOPERATIVE ELECTRIC ASSOCIATION, INC.	Western Kansas Industrial Electric Consumers	16-WSTE-496-TAR	Direct	KS	Formula-Based Rate Plan and Debt Service Payments	8/30/2016
NATIONAL FUEL GAS DISTRIBUTION CORPORATION	Multiple Intervenors	16-G-0257	Direct	NY	Embedded Class Cost of Service; Class Revenue Allocation; Rate Design	8/26/2016
METROPOLITAN EDISON COMPANY; PENNSYLVANIA ELECTRIC COMPANY AND WEST PENN POWER	MEIUG, PICA and WPPII	2016-2537349 2016-2537352 2016-2537359	Rebuttal	PA	Class Cost-of-Service; Class Revenue Allocation	8/17/2016
SOUTHWESTERN PUBLIC SERVICE COMPANY	Texas Industrial Energy Consumers	45524	Direct	TX	Revenue Requirement; Class Cost-of-Service; Revenue Allocation; Rate Design	8/16/2016
METROPOLITAN EDISON COMPANY; PENNSYLVANIA ELECTRIC COMPANY AND WEST PENN POWER	MEIUG, PICA and WPPII	2016-2537349 2016-2537352 2016-2537359	Direct	PA	Post-Test Year Sales Adjustment; Class Cost-of-Service Study; Class Revenue Allocation; Rate Design	7/22/2016
FLORIDA POWER & LIGHT COMPANY	Florida Industrial Power Users Group	160021	Direct	FL	Multi-Year Rate Plan, Construction Work in Progress; Cost of Capital; Class Revenue Allocation; Class Cost-of-Service Study; Rate Design	7/7/2016
CENTERPOINT ENERGY ARKANSAS GAS	Arkansas Gas Consumers, Inc.	15-098-U	Supplemental	AR	Support for Settlement Stipulation	7/1/2016
MIDAMERICAN ENERGY COMPANY	Tech Customers	RPU-2016-0001	Direct	IA	Application of Advanced Ratemaking Principles to Wind XI	6/21/2016

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NORTHERN STATES POWER COMPANY	Xcel Large Industrials	15-826	Direct	MN	Class Cost-of-Service Study, Class Revenue Allocation, Multi-Year Rate Plan, Rate Design	6/14/2016
CENTERPOINT ENERGY ARKANSAS GAS	Arkansas Gas Consumers, Inc.	15-098-U	Surrebuttal	AR	Incentive Compensation, Class Cost-of-Service Study, Class Revenue Allocation, LCS-1 Rate Design	6/7/2016
SOUTHWESTERN PUBLIC SERVICE COMPANY	Occidental Permian Ltd.	15-00296-UT	Direct	NM	Support of Stipulation	5/13/2016
CHEYENNE LIGHT, FUEL AND POWER COMPANY	Dyno Nobel, Inc. and HollyFrontier Cheyenne Refining LLC	20003-146-ET-15	Cross	WY	Large Power Contract Service Tariff	4/15/2016
CENTERPOINT ENERGY ARKANSAS GAS	Arkansas Gas Consumers, Inc.	15-098-U	Direct	AR	Incentive Compensation, Class Cost-of-Service Study, Class Revenue Allocation, Act 725, Formula Rate Plan	4/14/2016
CHEYENNE LIGHT, FUEL AND POWER COMPANY	Dyno Nobel, Inc. and HollyFrontier Cheyenne Refining LLC	20003-146-ET-15	Direct	WY	Large Power Contract Service Tariff	3/18/2016
ENTERGY LOUISIANA, LLC, ENTERGY GULF STATES LOUISIANA, L.L.C., AND ENTERGY LOUISIANA POWER, LLC	Occidental Chemical Corporation	U-33770	Cross-Answering	LA	Approval to Construct St. Charles Power Station	2/26/2016
NORTHERN INDIANA PUBLIC SERVICE COMPANY	NLMK-Indiana	44688	Cross-Answering	IN	Cost-of-Service Study, Rider 775	2/16/2016
ENTERGY LOUISIANA, LLC, ENTERGY GULF STATES LOUISIANA, L.L.C., AND ENTERGY LOUISIANA POWER, LLC	Occidental Chemical Corporation	U-33770	Direct	LA	Approval to Construct St. Charles Power Station	1/21/2016
EL PASO ELECTRIC COMPANY	Freeport-McMoRan Copper & Gold, Inc.	44941	Cross-Rebuttal	TX	Class Cost-of-Service Study, Class Revenue Allocation; Rate Design	1/15/2016
ENTERGY ARKANSAS, INC.	Arkansas Electric Energy Consumers, Inc.	15-015	Supplemental	AR	Support for Settlement Stipulation	12/31/2015
EL PASO ELECTRIC COMPANY	Freeport-McMoRan Copper & Gold, Inc.	44941	Direct	TX	Class Cost-of-Service Study, Class Revenue Allocation; Rate Design	12/11/2015
ENTERGY ARKANSAS, INC.	Arkansas Electric Energy Consumers, Inc.	15-015	Surrebuttal	AR	Post-Test-Year Additions; Class Cost-of-Service Study; Class Revenue Allocation; Rate Design; Riders; Formula Rate Plan	11/24/2015
MID-KANSAS ELECTRIC COMPANY, LLC, PRAIRIE LAND ELECTRIC COOPERATIVE, INC., SOUTHERN PIONEER ELECTRIC COMPANY, THE VICTORY ELECTRIC COOPERATIVE ASSOCIATION, INC., AND WESTERN COOPERATIVE ELECTRIC ASSOCIATION, INC.	Western Kansas Industrial Electric Consumers	16-MKEE-023	Direct	KS	Formula Rate Plan for Distribution Utility	11/17/2015
ENTERGY TEXAS, INC.	Texas Industrial Energy Consumers	45084	Direct	TX	Transmission Cost Recovery Factor Revenue Increase.	11/17/2015
GEORGIA POWER COMPANY	Georgia Industrial Group and Georgia Association of Manufacturers	39638	Direct	GA	Natural Gas Price Assumptions, IFR Mechanism, Seasonal FCR-24 Rates, Imputed Capacity	11/4/2015

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NEW YORK STATE ELECTRIC & GAS CORPORATION and ROCHESTER GAS AND ELECTRIC CORPORATION	Multiple Intervenors	15-E-0283 15-G-0284 15-E-0285 15-G-0286	Rebuttal	NY	Electric and Gas Embedded Class Cost-of-Service Studies, Class Revenue Allocation	10/13/2015
ENTERGY ARKANSAS, INC.	Arkansas Electric Energy Consumers, Inc.	15-015	Direct	AR	Post-Test-Year Additions; Class Cost-of-Service Study; Class Revenue Allocation; Rate Design; Riders; Formula Rate Plan	9/29/2015
NEW YORK STATE ELECTRIC & GAS CORPORATION and ROCHESTER GAS AND ELECTRIC CORPORATION	Multiple Intervenors	15-E-0283 15-G-0284 15-E-0285 15-G-0286	Direct	NY	Electric and Gas Embedded Class Cost-of-Service Studies, Class Revenue Allocation, Electric Rate Design	9/15/2015
SHARYLAND UTILITIES	Texas Industrial Energy Consumers	44620	Cross-Rebuttal	TX	Transmission Cost Recovery Factor Class Allocation Factors.	9/8/2015
ENTERGY ARKANSAS, INC.	Arkansas Electric Energy Consumers, Inc.	14-118	Surrebuttal	AR	Proposed Acquisition of Union Power Station Power Block 2 and Cost Recovery	8/21/2015
SHARYLAND UTILITIES	Texas Industrial Energy Consumers	44620	Direct	TX	Transmission Cost Recovery Factor Class Allocation Factors	8/7/2015
PECO ENERGY COMPANY	Philadelphia Area Industrial Energy Users Group	2015-2468981	Surrebuttal	PA	Class Cost-of-Service, Capacity Reservation Rider	8/4/2015
WESTAR ENERGY INC. and KANSAS GAS & ELECTRIC CO.	Occidental Chemical Corporation	15-WSEE-115-RTS	Cross-Answering	KS	Class Cost-of-Service Study, Revenue Allocation	7/22/2015
PECO ENERGY COMPANY	Philadelphia Area Industrial Energy Users Group	2015-2468981	Rebuttal	PA	Class Cost-of-Service, Class Revenue Allocation, Rate Design, Capacity Reservation Rider, Revenue Deoupling	7/21/2015
SOUTHWESTERN PUBLIC SERVICE COMPANY	Occidental Permian Ltd.	15-00083	Direct	NM	Long-Term Purchased Power Agreements	7/10/2015
ENTERGY ARKANSAS, INC.	Arkansas Electric Energy Consumers, Inc.	15-014	Surrebuttal	AR	Solar Power Purchase Agreement	7/10/2015
WESTAR ENERGY INC. and KANSAS GAS & ELECTRIC CO.	Occidental Chemical Corporation	15-WSEE-115-RTS	Direct	KS	Class Cost-of-Service and Electric Distribution Grid Resiliency Program	7/9/2015
ENTERGY TEXAS, INC.	Texas Industrial Energy Consumers	43958	Supplemental Direct	TX	Certificate of Need for Union Power Station Power Block 1	7/7/2015
ENTERGY ARKANSAS, INC.	Arkansas Electric Energy Consumers, Inc.	14-118	Direct	AR	Proposed Acquisition of Union Power Station Power Block 2 and Cost Recovery	7/2/2015
PECO ENERGY COMPANY	Philadelphia Area Industrial Energy Users Group	2015-2468981	Direct	PA	Class Cost-of-Service, Class Revenue Allocation, Rate Design, Capacity Reservation Rider	6/23/2015
ENTERGY ARKANSAS, INC.	Arkansas Electric Energy Consumers, Inc.	15-014-U	Direct	AR	Solar Power Purchase Agreement	6/19/2015
FLORIDA POWER & LIGHT COMPANY	Florida Industrial Power Users Group	150075	Direct	FL	Cedar Bay Power Purchase Agreement	6/8/2015

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SOUTHWESTERN PUBLIC SERVICE COMPANY	Texas Industrial Energy Consumers	43695	Cross-Rebuttal	TX	Class Cost of Service Study; Class Revenue Allocation	6/8/2015
FLORIDA POWER AND LIGHT COMPANY, DUKE ENERGY FLORIDA, GULF POWER COMPANY, TAMPA ELECTRIC COMPANY	Florida Industrial Power Users Group	140226	Surrebuttal	FL	Opt-Out Provision	5/20/2015
SOUTHWESTERN PUBLIC SERVICE COMPANY	Texas Industrial Energy Consumers	43695	Direct	TX	Post-Test Year Adjustments; Weather Normalization	5/15/2015
SOUTHWESTERN PUBLIC SERVICE COMPANY	Texas Industrial Energy Consumers	43695	Direct	TX	Class Cost of Service Study; Class Revenue Allocation	5/15/2015
ENTERGY TEXAS, INC.	Texas Industrial Energy Consumers	43958	Direct	TX	Certificate of Need for Union Power Station Power Block 1	4/29/2015
SOUTHWESTERN ELECTRIC POWER COMPANY	Texas Industrial Energy Consumers	42370	Cross-Rebuttal	TX	Allocation and recovery of Municipal Rate Case Expenses and the proposed Rate-Case-Expense Surcharge Tariff.	1/27/2015
WEST PENN POWER COMPANY	West Penn Power Industrial Intervenors	2014-2428742	Surrebuttal	PA	Class Cost-of-Service Study; Class Revenue Allocation; Large Commercial and Industrial Rate Design; Storm Damage Charge Rider	1/6/2015
PENNSYLVANIA ELECTRIC COMPANY	Penelec Industrial Customer Alliance	2014-2428743	Surrebuttal	PA	Class Cost-of-Service Study; Class Revenue Allocation; Large Commercial and Industrial Rate Design; Storm Damage Charge Rider	1/6/2015
METROPOLITAN EDISON COMPANY	Med-Ed Industrial Users Group	2014-2428745	Surrebuttal	PA	Class Cost-of-Service Study; Class Revenue Allocation; Large Commercial and Industrial Rate Design; Storm Damage Charge Rider	1/6/2015

Procedure for Conducting a Class Cost-of-Service Study

1 **Q WHAT PROCEDURES ARE USED IN A COST-OF-SERVICE STUDY?**

2 A The basic procedure for conducting a CCOSS is fairly simple. First, we identify the
3 different types of costs (functionalization), determine their primary causative factors
4 (classification), and then apportion each item of cost among the various rate classes
5 (allocation). Adding up the individual pieces gives the total cost for each class.

6 Identifying the utility's different levels of operation is a process referred to as
7 functionalization. The utility's investments and expenses are separated into
8 production, transmission, distribution, and other functions. To a large extent, this is
9 done in accordance with the Uniform System of Accounts developed by FERC.

10 Once costs have been functionalized, the next step is to identify the primary
11 causative factor (or factors). This step is referred to as classification. Costs are
12 classified as demand-related, energy-related or customer-related. Demand (or
13 capacity) related costs vary with peak demand, which is measured in kilowatts (kW).
14 This includes production, transmission, and some distribution investment and related
15 fixed Operation and Maintenance (O&M) expenses. As explained later, peak demand
16 determines the amount of capacity needed for reliable service. Energy-related costs
17 vary with the production of energy, which is measured in kilowatt-hours (kWh).
18 Energy-related costs include fuel and variable O&M expense. Customer-related costs
19 vary directly with the number of customers and include expenses such as meters,
20 service drops, billing, and customer service.

21 Each functionalized and classified cost must then be allocated to the various
22 customer classes. This is accomplished by developing allocation factors that reflect
23 the percentage of the total cost that should be paid by each class. The allocation
24 factors should reflect cost-causation; that is, the degree to which each class caused
25 the utility to incur the cost.

1 **Q WHAT KEY PRINCIPLES ARE RECOGNIZED IN A CLASS COST-OF-SERVICE**
2 **STUDY?**

3 A A properly conducted CCOSS recognizes two key cost-causation principles. First,
4 customers are served at different delivery voltages. This affects the amount of
5 investment the utility must make to deliver electricity to the meter. Second, since
6 cost-causation is also related to how electricity is used, both the timing and rate of
7 energy consumption (*i.e.*, demand) are critical. Because electricity cannot be stored
8 for any significant time period, a utility must acquire sufficient generation resources
9 and construct the required transmission facilities to meet the maximum projected
10 demand, including a reserve margin as a contingency against forced and unforced
11 outages, severe weather, and load forecast error. Customers that use electricity
12 during the critical peak hours cause the utility to invest in generation and transmission
13 facilities.

14 **Q WHAT FACTORS CAUSE THE PER-UNIT COSTS TO DIFFER AMONG**
15 **CUSTOMER CLASSES?**

16 A Factors that affect the per-unit cost include whether a customer's usage is constant or
17 fluctuating (load factor), whether the utility must invest in transformers and distribution
18 systems to provide the electricity at lower voltage levels, the amount of electricity that
19 a customer uses, and the quality of service (*e.g.*, firm or non-firm). In general,
20 industrial consumers are less costly to serve on a per-unit basis because they:

- 21 • operate at higher load factors;
- 22 • take service at higher delivery voltages; and
- 23 • use more electricity per customer.

1 Further, non-firm service is a lower quality of service than firm service. Thus, non-firm
2 service is less costly per unit than firm service for customers that otherwise have the
3 same characteristics. This explains why some customers pay lower average rates
4 than others.

5 For example, the difference in the losses incurred to deliver electricity at the
6 various delivery voltages is a reason why the per-unit energy cost to serve is not the
7 same for all customers. More losses occur to deliver electricity at distribution voltage
8 (either primary or secondary) than at transmission voltage, which is generally the level
9 at which industrial customers take service. This means that the cost per kWh is lower
10 for a transmission customer than a distribution customer. The cost to deliver a kWh
11 at primary distribution, though higher than the per-unit cost at transmission, is lower
12 than the delivered cost at secondary distribution.

13 In addition to lower losses, transmission customers do not use the distribution
14 system. Instead, transmission customers construct and own their own distribution
15 systems. Thus, distribution system costs are not allocated to transmission level
16 customers who do not use that system. Distribution customers, by contrast, require
17 substantial investments in these lower voltage facilities to provide service. Secondary
18 distribution customers require more investment than primary distribution customers.
19 This results in a different cost to serve each type of customer.

20 Two other cost drivers are efficiency and size. These drivers are important
21 because most fixed costs are allocated on either a demand or customer basis.

22 Efficiency can be measured in terms of load factor. Load factor is the ratio of
23 average demand (*i.e.*, energy usage divided by the number of hours in the period) to
24 peak demand. A customer that operates at a high load factor is more efficient than a
25 lower load factor customer because it requires less capacity for the same amount of

1 energy. For example, assume that two customers purchase the same amount of
2 energy, but one customer has an 80% load factor and the other has a 40% load factor.
3 The 40% load factor customers would have twice the peak demand of the 80% load
4 factor customers, and the utility would therefore require twice as much capacity to
5 serve the 40% load factor customer as the 80% load factor. Said differently, the fixed
6 costs to serve a high load factor customer are spread over more kWh usage than for
7 a low load factor customer.

PECO ENERGY COMPANY
PAIEUG Recommended Class Revenue Allocation
For the Fully Projected Future Test Year Ended December 31, 2022

Line	Rate Class	Dist. Rate Base	Present Rates			Target Dist. Increase		Gross Revenue Conversion Factor	Proposed Rates		
			Dist. Revenue	Operating Income	Rate of Return	Percent	Amount		Operating Income	Rate of Return	Dist. Revenue
		(1)	(2)	(3)	(4)	(5)	(6)	(7)	(8)	(9)	(10)
1	Residential	\$3,518,641	\$778,131	\$158,013	4.49%	21.6%	\$168,132	1.503	\$270,291	7.68%	\$946,263
2	Residential Heating	706,229	154,042	35,007	4.96%	18.7%	28,813	1.503	54,247	7.68%	182,855
3	General Service	1,178,183	242,879	69,622	5.91%	12.9%	31,257	1.503	90,495	7.68%	274,136
4	Primary Distribution	35,869	7,694	2,052	5.72%	13.7%	1,053	1.503	2,755	7.68%	8,747
5	High Tension	782,132	157,654	45,194	5.78%	14.1%	22,285	1.503	60,076	7.68%	179,939
6	Electric Propulsion	37,024	8,118	2,769	7.48%	0.3%	26	1.503	2,787	7.53%	8,144
7	Lighting	93,698	23,483	8,101	8.65%	-2.1%	(495)	1.503	7,768	8.29%	22,988
8	Total	<u>\$6,351,776</u>	<u>\$1,372,001</u>	<u>\$320,759</u>	5.05%	18.3%	<u>\$251,071</u>		<u>\$488,420</u>	7.69%	<u>\$1,623,072</u>

Sources:

Exhibit JAB-1.
Exhibit TJJ-1, pages 1-3.
Attachment OSBA-III-1(b)



100 Pine Street • PO Box 1166 • Harrisburg, PA 17108-1166
Tel: 717.232.8000 • Fax: 717.237.5300

Teresa Harrold
Direct Dial: 717.237.5246
tharrold@mcneeslaw.com

June 28, 2021

The Honorable Marta Guhl
Pennsylvania Public Utility Commission
801 Market Street, Suite 4063
Philadelphia, PA 19107

VIA E-MAIL
and UPS Next Day

RE: Pennsylvania Public Utility Commission v. PECO Energy Company – Electric Division; Docket No. R-2021-3024601

Dear Judge Guhl:

Attached please find the following Rebuttal Testimony on behalf of the Philadelphia Area Industrial Energy Users Group ("PAIEUG") in the above-referenced proceeding:

PAIEUG Statement No. 2R: Rebuttal Testimony and Exhibits of Jeffry Pollock

As shown by the attached Certificate of Service, all parties to this proceeding agreed to receive service via email from PAIEUG.

Sincerely,

McNEES WALLACE & NURICK LLC

By 

Teresa Harrold

Counsel to the Philadelphia Area Industrial Energy Users Group

Enclosures

c: Rosemary Chiavetta, Secretary (Transmittal Letter and Certificate of Service via Electronic Filing)
Athena DeVillar, Legal Assistant to ALJ Guhl (via e-mail)
Certificate of Service

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CERTIFICATE OF SERVICE

I hereby certify that I am this day serving a true copy of the foregoing document upon the participants listed below in accordance with the requirements of 52 Pa. Code Section 1.54 (relating to service by a participant).

VIA E-MAIL

Kenneth M. Kulak, Esq.
Catherine G. Vasudevan, Esq.
Brooke E. McGlinn, Esq.
Mark A. Lazaroff, Esq.
Morgan, Lewis & Bockius LLP
1701 Market Street
Philadelphia, PA 19103-2921
ken.kulak@morganlewis.com
cvasudevan@morganlewis.com
brooke.mcglinn@morganlewis.com
mark.lazaroff@morganlewis.com
Counsel to PECO Energy Company

Jack Garfinkle, Esq.
Jennedy Johnson, Esq.
Anthony Gay, Esq.
PECO Energy Company
2301 Market St., Suite 15
Philadelphia, PA 19103
jack.garfinkle@exeloncorp.com
Jennedy.johnson@exeloncorp.com
anthony.gay@exeloncorp.com
Counsel to PECO Energy Company

Teresa Reed Wagner, Executive Director
Erin Fure, Esq.
Office of Small Business Advocate
Forum Place
555 Walnut St., 1st Floor
Harrisburg, PA 17101
tereswagne@pa.gov
efure@pa.gov

Carrie B. Wright, Esq.
Pennsylvania Public Utility Commission
Bureau of Investigation and Enforcement
400 North Street
Harrisburg, PA 17120
carwright@pa.gov

Phillip D. Demanchick, Esq.
Christy M. Appleby, Esq.
Laura J. Antinucci, Esq.
Barrett C. Sheridan, Esq.
Aron J. Beatty, Esq.
Office of Consumer Advocate
555 Walnut Street, 5th Floor
Harrisburg, PA 17101
pdemanchick@paoca.org
cappleby@paoca.org
lantinucci@paoca.org
bsheridan@paoca.org
abeatty@paoca.org
OCAPECOElectric2021@paoca.org

Kinteshia A. Scott, Esq.
Joline Price, Esq.
Robert W. Ballenger, Esq.
Josie B.H. Pickens, Esq.
Community Legal Services
1424 Chestnut Street
Philadelphia, PA 19102
kscott@clsphila.org
jprice@clsphila.org
rballenger@clsphila.org
jpickens@clsphila.org
Counsel to TURN

John Sweet, Esq.
Elizabeth R. Marx, Esq.
Ria Pereira, Esq.
Pennsylvania Utility Law Project
118 Locust Street
Harrisburg, PA 17101
jsweetpulp@palegalaid.net
emarx@pautilitylawproject.org
rpereirapulp@palegalaid.net
Counsel to CAUSE-PA

Devin McDougall, Esq.
Rebecca Barker, Esq.
Earthjustice
1617 John F. Kennedy Blvd, Suite 1130
Philadelphia, PA 19103
dmcDougall@earthjustice.org
rbarker@earthjustice.org
dfranz@earthjustice.org
Counsel to the Clean Energy Advocates

Deanne M. O'Dell, Esq.
Sarah C. Stoner, Esq.
Eckert Seamans Cherin & Mellott, LLC
213 Market Street, 8th Floor
Harrisburg, PA 17101
dodell@eckertseamans.com
sstoner@eckertseamans.com
Counsel to RESA and NRG

Cody T. Murphey, Esq.
Eckert Seamans Cherin & Mellott, LLC
919 E Main St., Suite 1300
Richmond, VA 23219
cmurphey@eckertseamans.com
Counsel to RESA and NRG

John F. Lushis, Jr., Esq.
James Laskey, Esq.
NORRIS McLAUGHLIN, P.A.
515 W. Hamilton Street, Suite 502
Allentown, PA 1810
jlushis@norris-law.com
ilaskey@norris-law.com
Counsel to Calpine Retail Holdings, LLC

Robert A. Weishaar, Jr., Esq.
McNees Wallace & Nurick LLC
1200 G Street, NW, Suite 800
Washington, D.C. 20005
bweishaar@mcneeslaw.com
Counsel to the National Railroad Passenger Corporation

James M. Van Nostrand, Esq.
Keyes & Fox LLP
320 Fort Duquesne Blvd., #15K
Pittsburgh, PA 15222
jvannostrand@keyesfox.com
Counsel to ChargePoint, Inc.

Melissa E. Birchard, Esq.
Keyes & Fox LLP
1580 Lincoln St., Suite 1105
Denver, CO 80203
mbirchard@keyesfox.com
Counsel to ChargePoint, Inc.

Barry A. Naum, Esq.
Derrick Price Williamson, Esq.
Spilman Thomas & Batle, PLLC
1100 Bent Creek Boulevard, Suite 101
Mechanicsburg, PA 17050
bnaum@spilmanlaw.com
dwilliamson@spilmanlaw.com
Counsel to Walmart, Inc.



Teresa Harrold

Counsel to the Philadelphia Area Industrial Energy Users Group

Dated this 22nd day of July, 2021, at Harrisburg, Pennsylvania

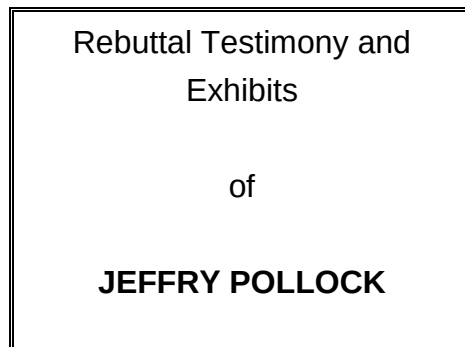
**BEFORE THE
PENNSYLVANIA PUBLIC UTILITY COMMISSION**

Pennsylvania Public Utility Commission

v.

Docket No. R-2021-3024601, et al.

PECO Energy Company – Electric Division



On Behalf of

Philadelphia Area Industrial Energy Users Group

July 22, 2021



BEFORE THE
PENNSYLVANIA PUBLIC UTILITY COMMISSION

Pennsylvania Public Utility Commission

v.

Docket No. R-2021-3024601, et al.

PECO Energy Company – Electric Division

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GLOSSARY OF ACRONYMS

Term	Definition
CCOSS	Class Cost-of-Service Study
Commission	Pennsylvania Public Utility Commission
EP	Electric Propulsion
FERC	Federal Energy Regulatory Commission
GS	General Service
HT	High Tension
I&E	Bureau of Investigation and Enforcement
NCP	Non Coincident Peak
OCA	Office of Consumer Advocate
PAIEUG	Philadelphia Area Industrial Energy Users Group
PECO	PECO Energy Company – Electric Division
PD	Primary Distribution
USC	Universal Service Costs
Walmart	Walmart, Inc.

REBUTTAL TESTIMONY OF JEFFRY POLLOCK

Introduction and Purpose

1 **Q PLEASE STATE YOUR NAME AND BUSINESS ADDRESS.**

2 A Jeffry Pollock; 12647 Olive Blvd., Suite 585, St. Louis, MO 63141.

3 **Q ARE YOU THE SAME JEFFRY POLLOCK WHO PREVIOUSLY SUBMITTED**
4 **DIRECT TESTIMONY IN THIS PROCEEDING ON BEHALF OF PHILADELPHIA**
5 **AREA INDUSTRIAL ENERGY USERS GROUP (PAIEUG)?**

6 A Yes.

7 **Q WHAT IS THE PURPOSE OF YOUR REBUTTAL TESTIMONY?**

8 A I address the proposed changes to PECO's Class Cost-of-Service Study (CCOSS) by
9 Mr. Clarence Johnson on behalf of the Office of Consumer Advocate (OCA); class
10 revenue allocation as proposed by Mr. Johnson, Mr. Joseph Kubas on behalf of the
11 Pennsylvania Public Utility Commission Bureau of Investigation and Enforcement
12 (I&E), and Mr. Alex Kronauer on behalf of Walmart, Inc. (Walmart); and the proposed
13 allocation of universal service costs (USC) by OCA witness, Mr. Roger Colton.

14 **Q ARE YOU SPONSORING ANY EXHIBITS WITH YOUR REBUTTAL TESTIMONY?**

15 A Yes. I am sponsoring **Exhibit ____ (JP-5)** and **Exhibit ____ (JP-6)**. These exhibits
16 were prepared by me or under my supervision and direction.

17 **Q DOES THE FACT THAT YOU ARE NOT ADDRESSING EVERY ISSUE RAISED BY**
18 **THESE AND OTHER PARTIES CONSTITUTE AN ENDORSEMENT OF THEIR**
19 **RECOMMENDATIONS?**

20 A. No.

Class Cost-of-Service Study

1 **Q WHAT CHANGES ARE BEING PROPOSED BY OCA WITNESS JOHNSON TO**
2 **PECO'S CLASS COST-OF-SERVICE STUDY?**

3 A Mr. Johnson is proposing two changes: (1) Classify all secondary distribution network
4 costs to demand, and (2) treat the Residential and Residential Heating classes as a
5 single class.

6 **Q DO YOU AGREE WITH MR. JOHNSON'S PROPOSED CHANGES?**

7 A No.

8 **Q WHAT IS THE DISTRIBUTION NETWORK?**

9 A The distribution network consists of PECO's investment in poles, towers, fixtures,
10 overhead and underground lines and line transformers. These investments are
11 booked to FERC Account Nos. 364, 365, 366, 367 and 368.

12 **Q WHAT FACTORS CAUSE A UTILITY TO INVEST IN A DISTRIBUTION NETWORK?**

13 A Utilities invest in a distribution network to deliver power from the transmission grid to
14 the customer, where it is eventually consumed. Thus, the central roles of the
15 distribution network are to:

- 16 • Provide access to a delivery-ready power grid (*i.e.*, a customer-related
17 cost); and
18 • Meet customers' peak electrical power needs (*i.e.*, a demand-related cost).

19 These prerequisites (*i.e.*, a grid connection with facilities sized to provide voltage
20 support) are clearly related to the existence of the customer. This is why classifying a
21 portion of the distribution network as customer-related is consistent with cost-
22 causation principles. Investments made solely to attach a customer to the system are
23 clearly customer-related.

1 **Q WHY WOULD CLASSIFYING ALL DISTRIBUTION NETWORK COSTS TO**
2 **DEMAND NOT BE CONSISTENT WITH COST CAUSATION?**

3 A Although the distribution network is sized to meet expected peak demand, it must also
4 provide the necessary voltage support to allow power to flow to customers. Absent a
5 distribution network and the voltage support it provides, electricity cannot flow to
6 customers. Thus, this investment is essential and unrelated to the amount of power
7 and energy consumed by customers, which is why classifying these costs entirely to
8 demand is not consistent with cost causation.

9 If PECO were to provide only a minimum amount of electric power to each
10 customer, it would still have to construct nearly the same miles of line because they
11 are required to serve every customer. In other words, there are costs of the distribution
12 network that are entirely unrelated to customer demand. PECO's poles, conductors
13 and transformers would not need to be as large as they are now if every customer
14 were supplied only a minimum level of service, but there is a definite limit to the size
15 to which they could be reduced.

16 **Q IS ALLOCATING SECONDARY DISTRIBUTION NETWORK COSTS ON A**
17 **CUSTOMER BASIS CONSISTENT WITH ACCEPTED REGULATORY PRACTICE?**

18 A Yes. The National Association of Regulatory Commissioners *Electric Utility Cost*
19 *Allocation Manual* states:

20 Distribution plant Accounts 364 through 370 involve demand and customer
21 costs. The customer component of distribution facilities is that portion of
22 costs which varies with the number of customers. Thus, the number of
23 poles, conductors, transformers, services, and meters are directly related
24 to the number of customers on the utility's system.¹

¹ National Association of Regulatory Utility Commissioners, *Electric Utility Cost Allocation Manual*, at 90 (Jan. 1992).

1 The manual further states:

2 Two methods are used to determine the demand and customer
3 components of distribution facilities. They are, the minimum-size-of-
4 facilities method, and the minimum-intercept cost (zero-intercept or
5 positive-intercept cost, as applicable) of facilities.²

6 **Q DO ANY OTHER UTILITIES ALSO CLASSIFY A PORTION OF THEIR**
7 **DISTRIBTUION NETWORK AS CUSTOMER-RELATED?**

8 A Yes. **Exhibit ____ (JP-5)** is a survey of utilities that classify a portion of their distribution
9 network as a customer-related cost. This practice is followed by most of the electric
10 distribution utilities in Pennsylvania, including PECO. As can be seen, the portion of
11 customer-related distribution network costs ranges from 18% (line 21) to 76% (line
12 16). Thus, PECO's proposed distribution cost classification, which classifies only 24%
13 of distribution network costs as customer-related, is among the lowest of the utilities
14 that have employed this practice.

15 **Q WHAT DO YOU RECOMMEND?**

16 A The Commission should reject Mr. Johnson's proposal to classify all secondary
17 distribution network costs to demand.

18 **Q WHAT IS MR. JOHNSON'S PROPOSAL REGARDING THE TREATMENT OF THE**
19 **RESIDENTIAL AND RESIDENTIAL HEATING CLASSES?**

20 A Mr. Johnson recommends the Residential and Residential Heating classes should be
21 consolidated into one rate class in the CCOSS.

² *Id.*

1 **Q WHAT IS THE IMPACT OF COMBINING THE RESIDENTIAL AND RESIDENTIAL**
2 **HEATING CLASSES?**

3 A Combining the Residential and Residential Heating classes reduces their non-
4 coincident peak demand (NCP) by 7.4% and, therefore, reduces the costs that are
5 allocated to these customers.³

6 **Q WHY IS MR. JOHNSON PROPOSING TO COMBINE THE RESIDENTIAL AND**
7 **RESIDENTIAL HEATING CLASSES?**

8 A Mr. Johnson considers Residential Heating to be a “sub-class” of the Residential class.
9 He states:

10 Allocation to a single residential class facilitates allocation of the revenue
11 increase in a manner that recognizes the rate relationship between the two
12 tariffs.⁴

13 **Q IS THIS AN APPROPRIATE RATIONALE FOR COMBINING THESE CLASSES?**

14 A No. Residential and Residential Heating services are provided under separate rate
15 schedules: Rate R and Rate R-H. Yet, Mr. Johnson is not proposing to consolidate
16 the two rate schedules. Although both rate schedules serve residential customers, the
17 load characteristics of Rate R customers differ from Rate R-H customers. For
18 example, Rate R customers peak in the summer months, while Rate R-H customers
19 peak in the winter months. Other key load characteristics are summarized in Table R-
20 1. The amounts shown in Table R-1 are derived in **Exhibit ____ (JP-6)**.

³ OCA Statement No. 3, Direct Testimony of Clarence L. Johnson at 20.

⁴ *Id.*

Table R-1 Comparison of Residential and Residential Heating Load Characteristics		
Characteristic	Rate R	Rate R-H
Average Coincident Peak per Customer	2.96	2.91
Average Class Peak per Customer	2.97	4.65
Coincidence Factor	100%	63%
Load Factor: Coincident Peak	35%	60%
Load Factor: Non-Coincident Peak	35%	38%
Energy Usage per Customer per Month	680	1,166
Source: Exhibit ____ (JP-6).		

1 Rate R-H customers have higher peak demands (except for the average coincident
2 peak) and monthly energy usage, and they operate at a higher load factor than Rate R
3 customers.

4 **Q SHOULD THESE DIFFERENCES BE IGNORED, AS MR. JOHNSON PROPOSES?**

5 A No. The integrity of a CCOSS depends on accurately allocating costs to the various
6 customer classes served by the utility. Further, each customer class should be
7 homogeneous; that is, they should have similar delivery, load, and usage
8 characteristics. Table R-1 clearly demonstrates significant differences in both load
9 and usage characteristics between Rate R and Rate R-H customers. These
10 substantial differences justify not only treating Rate R and Rate R-H as separate
11 customer classes but also retaining separate rates.

12 **Q WHAT DO YOU RECOMMEND?**

13 A I recommend that the Commission reject Mr. Johnson's proposal to combine the
14 Residential and Residential Heating classes into a single class in the CCOSS.

Class Revenue Allocation

1 **Q HOW ARE I&E, OCA, AND WALMART PROPOSING TO ALLOCATE PECO'S**
2 **PROPOSED REVENUE INCREASE?**

3 **A Table R-2 provides the proposed revenue allocations for I&E, OCA, and Walmart.**

Table R-2 Proposed Class Revenue Allocations			
Rate Class	I&E*	OCA	Walmart
R	16.6%	16.2%	18.72%
R-H	16.1%	16.6%	18.72%
GS	22.1%	25.6%	18.72%
PD	21.2%	18.7%	18.72%
HT	23.8%	22.8%	18.72%
EP	0.4%	0.3%	1.4%
Lighting	-2.1%	0%	0%
Total	17.9%	18.3%	18.3%
*The I&E increases are based on PECO's original proposal, which was modified in discovery response Attachment OSBA-III-1(a).			

4 For example, I&E recommends not changing PECO's proposed class revenue
5 allocation if it receives the full revenue increase. Further, both OCA and Walmart
6 propose only minor changes to PECO's proposal. Specifically, the Lighting class
7 would receive no increase. Remarkably, despite advocating for cost-based rates,
8 Walmart's proposal would move only the EP rate class to cost. All of the other rate
9 classes (except Lighting) would receive equal percent increases.

10 **Q DO YOU AGREE WITH THE CLASS REVENUE ALLOCATION PROPOSALS**
11 **SUBMITTED BY THESE PARTIES?**

12 **A No. As stated in my direct testimony, I do not agree with PECO's proposed revenue**

1 allocation because it fails to move all rate classes closer to cost. Both I&E's and
2 OCA's proposals are based on PECO's proposed class revenue allocations.

3 **Q WOULD WALMART'S PROPOSED CLASS REVENUE ALLOCATION ACHIEVE**
4 **THE STATED OBJECTIVES IN MR. KRONAUER'S TESTIMONY?**

5 A No. Mr. Kronauer states:

6 Walmart advocates that rates be set based on the utility's cost of service
7 for each rate class. This produces equitable rates that reflect cost
8 causation, send proper price signals, and minimize price distortions.⁵

9 However, his revenue allocation proposal moves Rate EP to cost, sets the Lighting
10 increase to zero and assigns an average rate increase to the remaining classes. Mr.
11 Kronauer's recommended revenue allocation fails to move the other classes closer to
12 cost. In fact, three classes (Rates GS, PD, and HT) would move away from cost.
13 Therefore, Walmart's proposed revenue allocation should be rejected.

14 **Q WHAT DO YOU RECOMMEND?**

15 A The I&E, OCA, and Walmart revenue allocation proposals should be rejected.

16 **Q MR. KUBAS ALSO SUBMITTED A SCALE-BACK PROPOSAL IN THE EVENT**
17 **THAT THE COMMISSION REDUCES PECO'S PROPOSED INCREASE. HOW**
18 **DOES THIS PROPOSAL COMPARE WITH YOUR SCALE-BACK PROPOSAL?**

19 A Table R-3 compares Mr. Kubas' and my scale-back proposals. As discussed in my
20 direct testimony, I recommend scaling-back the delivery revenues shown in **Exhibit**
21 **___ (JP-4)**, column 10. For example, if PECO's revenue requirement is reduced by
22 \$63 million, it would lower the delivery revenues from \$1,623.1 million to \$1,560.1

⁵ Walmart Statement No. 1, Direct Testimony and Exhibits of Alex J. Kronauer at 13.

1 million, which is a 3.87% reduction. The scaled-back increases are derived by
2 reducing each class's delivery revenues as shown in **Exhibit ____ (JP-4)**, column 10
3 by 3.87%.

Table R-3 Delivery Rate Increases Under I&E and PAIEUG's Scale-Back Proposals				
Rate Class	Reduce by \$63 Million		Reduce by \$179 Million	
	I&E*	PAIEUG	I&E	PAIEUG
R	16.6%	16.9%	7.7%	8.2%
R-H	13.8%	14.1%	4.7%	5.6%
GS	8.4%	8.5%	0%	0.4%
PD	9.3%	9.3%	0%	1.1%
HT	7.9%	9.7%	0%	1.5%
EP	0.4%	-3.6%	0%	-10.8%
Lighting	-2.1%	-5.9%	-2.1%	-13.0%
Total	13.4%	13.7%	4.9%	5.2%
*I&E's proposal is based on PECO's original revenue increase, which was subsequently revised in discovery response OSBA-III-1(a).				

4 **Q DO YOU OBJECT TO MR. KUBAS' PROPOSAL?**

5 A No. As Table R-3 demonstrates, Mr. Kubas' proposal is directionally similar to mine.
6 The only material differences are with the EP and Lighting classes, which would move
7 closer to cost under my proposal. Either proposal would be acceptable.

Universal Service Costs

8 **Q DO YOU AGREE WITH MR. COLTON'S RECOMMENDATION TO ALLOCATE THE**
9 **RESIDENTIAL UNIVERSAL SYSTEM COSTS TO ALL RATE CLASSES?**

10 A No. The residential USC should not be allocated to all rate classes because these
11 charges are used to fund low-income residential customers only. PECO's other

1 customer classes do not receive the benefits of USC, and, therefore, should not
2 subsidize the residential rate class's USC.

3 **Q WHY DOES MR. COLTON SUPPORT ALLOCATING USC TO ALL RATE**
4 **CLASSES?**

5 A Mr. Colton states that because some customers have income at or below 150% of the
6 poverty level but do not participate in customer assistance programs, and others that
7 have income above 150% of the poverty level but below 200% of the poverty rate,
8 allocating USC to all rate classes will improve the affordability of these customers'
9 electric bills.⁶ Mr. Colton also states that low wages are prevalent throughout the
10 PECO Electric service territory; therefore "the inability-to-pay issues" are not caused
11 by the residential class, but are instead broader societal issues that can be attributed
12 to every customer class.⁷ Finally, Mr. Colton avers that USC benefit businesses
13 because any increase in electric costs to a business due to USC would be offset by
14 increases in employee productivity.⁸

15 **Q DOES MR. COLTON RECOMMEND AN ALLOCATION METHOD FOR USC?**

16 A Yes. Mr. Colton recommends allocating the USC to all customer classes based on a
17 percentage of base rate revenue provided by each customer class.⁹

18 **Q WHAT IS THE IMPACT OF ALLOCATING USC TO ALL CUSTOMER CLASSES?**

19 A First, it is contrary to the Commission's cost-of-service philosophy. Under that
20 philosophy, each class bears the costs incurred to serve that class. The USC is a cost

⁶ OCA Statement No. 4, Direct Testimony of Roger D. Colton at 64.

⁷ *Id.* at 68-69.

⁸ *Id.* at 73.

⁹ *Id.* at 85.

1 incurred to serve residential customers. Thus, forcing other classes to pay USC costs
2 would result in unnecessary and inappropriate subsidies.

3 Second, while allocating the USC to all customer classes may benefit a small
4 subset of residential customers with incomes between 150% and 200% of the poverty
5 level, the amount of the benefit would be minimal. Thus, reallocating USC to other
6 classes cannot meaningfully address the needs of this targeted subset. If these
7 customers are experiencing bill payment problems, other social service organizations
8 should be tasked with providing meaningful relief to these customers. For this reason,
9 low-income issues are best addressed by the state legislature who can provide more
10 meaningful assistance.

11 **Q WHAT DO YOU RECOMMEND IF THE COMMISSION DETERMINES THAT USC**
12 **SHOULD BE ALLOCATED TO ALL CLASSES?**

13 **A** If the Commission determines that all rate classes should contribute to USC, I
14 recommend that no customer pay more than \$62.73 per year. This is based on the
15 total customer assistance costs of \$106.5 million, divided by the total number of
16 customers.¹⁰ The allocation based on the number of customers is reasonable because
17 it places a reasonable limit on the amount paid by each customer. Based on cost-
18 causation principles, large commercial and industrial classes should not be
19 responsible for any USC. Accordingly, any USC charge to these customers should be
20 minimized and capped at no higher than the USC charge to residential customers.

¹⁰ PECO Discovery Response to OCA-I-50(a); PECO Statement No. 6, Direct Testimony of Tamara J. Jamison, Exhibit TJJ-7 at 2.

1 **Q WHAT DO YOU RECOMMEND?**

2 A I recommend that the USC apply only to residential customers. If the Commission
3 determines that the USC should be allocated to all customer classes, however, I
4 recommend a USC charge of no higher than \$62.73 per customer per year.

Conclusion

5 **Q WHAT ADDITIONAL FINDINGS SHOULD THE COMMISSION MAKE BASED ON**
6 **YOUR REBUTTAL TESTIMONY?**

7 A The Commission should make the following additional findings:

- 8 • Reject OCA's revised class cost-of-service study;
- 9 • Reject OCA's, I&E's and Walmart's recommended class revenue
10 allocations;
- 11 • Reject OCA's recommended allocation of USC. Alternatively, no
12 customer should pay more than \$62.73 per year if USC costs are
13 spread to all customers.

14 **Q DOES THIS CONCLUDE YOUR REBUTTAL TESTIMONY?**

15 A Yes.

PECO Electric

Utilities that Classify a Portion of their Distribution Network Investment as Customer-Related

Line	Utility	Docket/Case No.	FERC Account No.					Total
			364	365	366	367	368	
			(1)	(2)	(3)	(4)	(5)	(6)
1	Alabama Power Company	18117 & 18416	100%	50%	100%	50%	28%	57%
2	Ameren Missouri	ER-2011-0028	22%	41%	68%	68%	57%	50%
3	Central Hudson Gas & Electric Company	17-E-0459	81%	73%	75%	76%	46%	71%
4	Duquesne Light Company	R-2018-3000124	20%	20%	4%	4%	69%	26%
5	Georgia Power Company	D-42516	48%	56%	10%	8%	90%	47%
6	Gulf Power Company	D-160186-EI	45%	20%	6%	7%	27%	24%
7	Kentucky Utilities	2020-00349	64%	64%	75%	75%	45%	62%
8	Louisville Gas and Electric Company	2020-00350	64%	64%	60%	60%	36%	59%
9	Metropolitan Edison	R-2016-2537349	73%	82%	0%	90%	52%	72%
10	Minnesota Power	D-E-015/GR-19-422	30%	31%	21%	21%	37%	29%
11	Mississippi Power Company	D-2019-UN-0219	69%	43%	73%	82%	42%	56%
12	New York State Electric & Gas Corporation	19-E-0378	50%	50%	50%	50%	50%	50%
13	Niagara Mohawk Power Company	17-E-0238	53%	52%	50%	50%	0%	40%
14	Northern States Power Company	D-E-002/GR-19-564	43%	43%	55%	55%	64%	53%
15	PECO Energy Company: Electric Division	R-2018-3000164	28%	28%	28%	24%	0%	24%
16	Pennsylvania Electric Company	R-2016-2537352	74%	84%	0%	82%	62%	76%
17	Duke Energy Progress, LLC	E-2, Sub 1219	72%	72%	54%	54%	33%	56%
18	Rochester Gas and Electric Corporation	C-19-E-0380	50%	50%	50%	50%	50%	50%
19	South Carolina Electric & Gas Company	D-2012-218-E	40%	40%	0%	0%	32%	39%
20	Tampa Electric Company	D-20170210-EI	67%	11%	9%	N/A	24%	25%
21	Virginia Electric Power Company	C-PUE-2015-00027	41%	16%	17%	17%	9%	18%
22	West Penn Power Company	R-2016-2537359	82%	92%	0%	87%	71%	75%
23	Wisconsin Public Service Corporation	6690-UR-124	75%	65%	0%	63%	52%	64%

PECO ENERGY COMPANY

Comparison of Residential and Residential Heating Load Characteristics

Line	Description	Rate R	Rate R-H	Source
		(1)	(2)	(3)
Average Coincident Peak per Customer				
1	Coincident Peak Demand (kW)	3,936,848	573,449	TJJ-7, Line 4
2	No. of Customers	1,329,973	196,892	TJJ-7, Line 10
3	CP per Customer	2.96	2.91	Line 1 ÷ Line 2
Average Class Peak per Customer				
4	Class Peak Demand (kW)	3,955,972	916,127	TJJ-7, Line 5
5	No. of Customers	1,329,973	196,892	Line 2
6	NCP per Customer	2.97	4.65	Line 4 ÷ Line 5
Coincidence Factor				
7	Coincident Peak Demand (kW)	3,936,848	573,449	Line 1
8	Class Peak Demand (kW)	3,955,972	916,127	Line 4
9	CF	100%	63%	Line 7 ÷ Line 8
Coincident Peak Load Factor				
10	Energy at Generation (kWh)	11,965,464,355	3,039,054,808	TJJ-7, Line 2
11	Coincident Peak Demand (kW)	3,936,848	573,449	Line 1
12	CP LF	35%	60%	Line 10 ÷ Line 11 ÷ 8,760
Class Peak Load Factor				
13	Energy at Generation (kWh)	11,965,464,355	3,039,054,808	Line 10
14	Class Peak Demand (kW)	3,955,972	916,127	Line 4
15	NCP LF	35%	38%	Line 13 ÷ Line 14 ÷ 8,760
Energy Usage Per Customer Per Month				
16	Energy at Meter (kWh)	10,847,125,695	2,755,012,971	TJJ-7, Line 1
17	No. of Customers	1,329,973	196,892	Line 2
18	Average Usage	680	1,166	Line 16 ÷ Line 17 ÷ 12

SOURCE: Exhibit TJJ-7, page 2.

**BEFORE THE
PENNSYLVANIA PUBLIC UTILITY COMMISSION**

Pennsylvania Public Utility Commission

v.

Docket No. R-2021-3024601, et al.

PECO Energy Company – Electric Division

Surrebuttal Testimony and
Exhibits

of

JEFFRY POLLOCK

On Behalf of

Philadelphia Area Industrial Energy Users Group

August 5, 2021



BEFORE THE
PENNSYLVANIA PUBLIC UTILITY COMMISSION

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PECO Energy Company – Electric Division

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GLOSSARY OF ACRONYMS

Term	Definition
CCOSS	Class Cost-of-Service Study
Commission	Pennsylvania Public Utility Commission
CP	Coincident Peak
HT	High Tension
kV	Kilovolt
NCP	Non Coincident Peak
OCA	Office of Consumer Advocate
PAIEUG	Philadelphia Area Industrial Energy Users Group
PECO	PECO Energy Company – Electric Division
RROR	Relative Rate of Return

SURREBUTTAL TESTIMONY OF JEFFRY POLLOCK

Introduction and Purpose

1 **Q PLEASE STATE YOUR NAME AND BUSINESS ADDRESS.**

2 A Jeffry Pollock; 12647 Olive Blvd., Suite 585, St. Louis, MO 63141.

3 **Q ARE YOU THE SAME JEFFRY POLLOCK WHO PREVIOUSLY SUBMITTED**
4 **DIRECT AND REBUTTAL TESTIMONY IN THIS PROCEEDING ON BEHALF OF**
5 **PHILADELPHIA AREA INDUSTRIAL ENERGY USERS GROUP (PAIEUG)?**

6 A Yes.

7 **Q WHAT IS THE PURPOSE OF YOUR SURREBUTTAL TESTIMONY?**

8 A I address the Rebuttal Testimonies of PECO witness, Ms. Tamara J. Jamison, and
9 Office of Consumer Advocate (OCA) witness, Mr. Clarence Johnson, on class cost-of-
10 service (CCOSS) issues and the recommendations of Mr. Johnson and PECO
11 witness, Mr. Joseph A. Bisti, on class revenue allocation issues.

12 **Q ARE YOU SPONSORING ANY EXHIBITS WITH YOUR SURREBUTTAL**
13 **TESTIMONY?**

14 A Yes. I am sponsoring **Exhibit ____ (JP-7) and Exhibit ____ (JP-8)**. These exhibits
15 were prepared by me or under my supervision and direction.

16 **Q DOES THE FACT THAT YOU ARE NOT ADDRESSING EVERY ISSUE RAISED BY**
17 **THESE AND OTHER PARTIES CONSTITUTE AN ENDORSEMENT OF THEIR**
18 **RECOMMENDATIONS?**

19 A. No.

Class Cost-of-Service Study

1 **Q PECO WITNESS JAMISON OPPOSES YOUR RECOMMENDATION THAT**
2 **CUSTOMERS TAKING SERVICE AT 69 KV AND HIGHER VOLTAGE SHOULD**
3 **NOT BE ALLOCATED ANY OF THE COSTS OF THE LOWER VOLTAGE HIGH**
4 **TENSION (HT) COSTS. DO THE REASONS SHE CITES SUPPORT HOW PECO**
5 **HAS ALLOCATED HT COSTS?**

6 **A No. Ms. Jamison's explanation lacks substance. While stating that the majority of**
7 **PECO's higher voltage customers are served by radial lines, she fails to quantify**
8 **whether these customers constitute a majority of the Rate HT loads or demonstrate**
9 **whether any of these higher voltage radial lines serve only higher-voltage Rate HT**
10 **customers and not also other (non-Rate HT) customers.**

11 She further asserts that higher voltage customers also use disconnect
12 switches, circuit breakers and other equipment that lie on the distribution side of the
13 line of demarcation within a substation, thereby supporting a partial allocation of the
14 land on which each substation is located, as well as a portion of the substation's
15 structure.¹ However, she fails to identify the specific facilities that serve only higher
16 voltage customers and quantify the costs of these facilities. The costs of the
17 disconnect switches, circuit breakers and other equipment that lie on the distribution
18 side of a substation are far less than the portion of the lower voltage (less than 69 kV
19 costs) that PECO has allocated to higher voltage customers based on their peak
20 demand.

¹ PECO Statement No. 6-R, Rebuttal Testimony of Tamara J. Jamison at 12.

1 Finally, Ms. Jamison ignores the fact that larger Rate HT customers may own
2 their own distribution substations. These customers do not require PECO to invest in
3 distribution substations to deliver electricity.

4 Thus, her arguments do not support allocating lower voltage all HT costs to
5 customers taking delivery at 69 kV and higher voltages.

6 **Q MS. JAMISON CLAIMS THAT PECO DOES NOT HAVE THE DATA TO IDENTIFY**
7 **HIGH VOLTAGE INVESTMENTS. IS SHE CORRECT?**

8 A No. When PECO implemented its FERC-approved formula transmission rate, it was
9 required to apply FERC's Seven-Factor Test to identify the facilities that were originally
10 booked to FERC transmission accounts that function as distribution facilities.
11 Examples of such facilities include radial lines operating at 69 kV or higher.

12 **Q DID PECO HAVE TO TAKE ANY ACTIONS AS A RESULT OF FERC'S SEVEN-**
13 **FACTOR TEST?**

14 A Yes. Certain PECO transmission facilities, such as radial lines, were determined to
15 be functionally equivalent to distribution facilities. Thus, PECO was required to identify
16 the specific facilities and determine the investment that should be removed from the
17 FERC distribution plant accounts. For example, in its 2015 rate case, PECO identified
18 \$32 million of 69 kV and higher plant investment that was included in FERC distribution
19 Account Nos. 364 through 367.² Accordingly, PECO should be able to identify the
20 current investment in 69 kV or higher radial lines and other similar high voltage
21 distribution investments.

² *Pennsylvania Public Utility Commission v. PECO Energy Company – Electric Division*, Docket No. R-2015-2468981, Response of PECO Energy Company to the Interrogatories of PAIEUG V-1 (Aug. 6, 2015), a copy of which is provided in **Exhibit ____ (JP-7)**.

1 **Q WHY DOES MR. JOHNSON DISAGREE WITH YOUR RECOMMENDATION TO**
2 **REMOVE 69 KV AND HIGHER LOADS FROM THE ALLOCATION OF HIGH**
3 **TENSION DISTRIBUTION COSTS?**

4 A First, Mr. Johnson asserts that my recommendation is contrary to “average cost rate
5 making principles” which require allocating distribution facilities to all customers within
6 a specific customer class even though not all customers require the utility to invest in
7 certain distribution facilities.³

8 Second, Mr. Johnson also claims that my recommendation is inconsistent
9 because I am not proposing to exclude the loads of lower voltage Rate HT and other
10 distribution customers so that they are not allocated any of the costs of higher voltage
11 facilities.⁴

12 **Q IS MR. JOHNSON’S CHARACTERIZATION OF AVERAGE COST RATEMAKING**
13 **PRINCIPLES ACCURATE?**

14 A No. First, as discussed in **Exhibit ____ (JP-3)** of my Direct Testimony, customers that
15 take delivery at transmission voltages do not require the utility to invest in distribution
16 facilities. Thus, it is appropriate to exclude these customers from the allocation of
17 distribution costs. This is a fundamental concept underlying all class cost-of-service
18 studies. Because transmission-level customers have already invested in their own
19 distribution facilities, allocating a portion of the utility’s distribution facilities would
20 constitute double-counting.

³ OCA Statement No. 3-R, Rebuttal Testimony of Clarence L. Johnson at 12.

⁴ *Id.* at 12-13.

1 Further, Mr. Johnson ignores the existence of high voltage credits. For
2 example, PECO's Rate HT customers that take service at 33 kV and higher voltages
3 pay a lower Demand charge. This facet of the Rate HT design has been in effect for
4 decades. It is a common attribute of rates that provide service at multiple delivery
5 voltages. Contrary to Mr. Johnson's assertion, high voltage credits are entirely
6 consistent and compatible with average cost ratemaking principles. In other words, if
7 Mr. Johnson's assertion were correct, high voltage credits, which have been approved
8 and applicable for numerous years, would not have been approved.

9 **Q UNDER WHAT CIRCUMSTANCE WOULD IT BE APPROPRIATE TO EXCLUDE**
10 **DISTRIBUTION-LEVEL CUSTOMERS FROM THE COSTS OF 69 KV OR HIGHER**
11 **FACILITIES, AS MR. JOHNSON ASSERTS?**

12 A If the 69 kV or higher radial lines are dedicated to and used exclusively to serve higher
13 voltage Rate HT customers, all of the costs of these facilities should be directly
14 assigned. In that event, none of these costs would be allocated to any other
15 customers.

16 **Q IS THERE ANY EVIDENCE SUPPORTING A DIRECT ASSIGNMENT OF ANY OF**
17 **THE COSTS OF 69 KV OR HIGHER VOLTAGE FACILITIES TO HIGHER VOLTAGE**
18 **CUSTOMERS?**

19 A No. There is no factual basis to support a direct assignment at this time. Further, it is
20 possible, perhaps likely, that the 69 kV or higher radial lines serve numerous
21 customers and are not dedicated to serving specific high-voltage Rate HT customers.
22 The issue deserves further study.

1 **Q DO THE ARGUMENTS PRESENTED BY MS. JAMISON AND MR. JOHNSON**
2 **JUSTIFY THEIR OBJECTIONS TO REQUIRING PECO TO IDENTIFY THE HIGHER**
3 **VOLTAGE HT COSTS IN PECO'S NEXT RATE CASE?**

4 A No. The Commission should require PECO to conduct a special study to identify the
5 investment in HT facilities that operate at 69 kV and higher voltages and the
6 corresponding loads of Rate HT customers taking service at these voltages. This is
7 no different in concept from the special studies PECO conducts to identify HT, Primary,
8 and Secondary investment. Further, based on Ms. Jamison's and Mr. Johnson's
9 Rebuttal Testimonies, the study should be expanded to identify the customers and
10 loads that own their own substations as well as any other PECO-owned distribution
11 facilities that may be dedicated to serving specific higher voltage customers.

Class Revenue Allocation

12 **Q DID PECO REVISE ITS PROPOSED REVENUE ALLOCATION?**

13 A Yes. In his Rebuttal Testimony, Mr. Bisti presented PECO's revised revenue
14 allocation.

15 **Q DOES THE REVISED REVENUE ALLOCATION MOVE ALL CUSTOMERS TO**
16 **COST?**

17 A No. Although Mr. Bisti's revised revenue allocation is directionally correct, it fails to
18 move all customers to cost.

19 **Q WHAT DO YOU MEAN BY DIRECTIONALLY CORRECT?**

20 A The revenue allocation is directionally correct because it would move all rate classes
21 closer to cost, but it would not set all rates to cost. Table S-1 compares the rate of
22 return variances for each rate class under present rates and under PECO's revised

1 revenue allocation. The rate of return variance is the difference between each rate
2 class's rate of return and the system average rate of return.

Table S-1 Rate of Return Variance from the System Average Rate of Return		
Rate Class	Present Rates	Revised Rates
Residential	-0.56%	-0.31%
Residential Heating	-0.09%	0.00%
General Service	0.86%	0.54%
Primary Distribution	0.67%	0.46%
High Tension	0.73%	0.46%
Electric Propulsion	2.43%	0.00%
Lighting	3.60%	0.77%
Source: PECO Revised Exhibit JAB-1.		

3 As Table S-1 demonstrates, the rate of return variances would decrease for all rate
4 classes. In some cases (*i.e.*, Residential Heating and EP), there would be no variance,
5 meaning that the rate class would be moved to cost.

6 **Q WHAT IS MR. BISTI'S REVISED REVENUE ALLOCATION?**

7 A Table S-2 shows PECO's original (as corrected in discovery) revenue allocation, its
8 revised revenue allocation, and the revenue allocation if the rates are based on the
9 results of PECO's CCOSS.

Table 2 PECO Revenue Allocation			
Rate Class	Original Proposal	Revised Proposal	CCOSS Results
Residential	17.0%	19.6%	21.7%
Residential Heating	16.6%	18.8%	18.8%
General Service	22.4%	16.8%	12.9%
Primary Distribution	21.3%	17.0%	13.7%
High Tension	23.9%	17.6%	14.2%
Electric Propulsion	0.3%	1.4%	1.4%
Lighting	-2.1%	-1.2%	-5.8%
Sources: Corrected Exhibit JAB-1 as provided in PECO Response to OSBA II-2, Exhibit JAB-1 Revised; and Exhibit TJJ-1.			

1 **Q DO YOU CONTINUE TO SUPPORT THE CLASS REVENUE ALLOCATION AS**
2 **RECOMMENDED IN YOUR DIRECT TESTIMONY?**

3 **A Yes.** Although PECO's revised class revenue allocation is a definite improvement over
4 its original proposal, there is no policy reason not to adopt my class revenue allocation
5 consistent with **Exhibit ____ (JP-4)** and my recommended scale-back as discussed in
6 my Direct Testimony.

7 **Q WHY DOES OCA WITNESS MR. JOHNSON DISAGREE WITH YOUR PROPOSED**
8 **REVENUE ALLOCATION?**

9 **A Mr. Johnson rejects my revenue allocation proposal for several reasons. First, it is**
10 **based on PECO's CCOSS study results, rather than Mr. Johnson's revised CCOSS,**
11 **However, as explained in my Rebuttal Testimony, Mr. Johnson's CCOSS suffers from**
12 **two serious flaws:**

- It incorrectly classifies the secondary distribution network as entirely demand related.

- Combining the Residential and Residential Heating classes is not justified given that significant differences in their respective load characteristics unreasonably shifts costs to the non-residential customer classes.

Second, he disagrees with my definition of gradualism and asserts that there is still a need for moderation to prevent rate shock. Additionally, he recommends that Residential (Regular and Heating) classes should receive a lower increase due to adverse economic conditions and unemployment.

Q WOULD YOUR APPLICATION OF GRADUALISM RESULT IN RATE SHOCK?

A No. Contrary to Mr. Johnson's objection, my recommended increase for the Residential class is only 1.18 times the system average. That is well below the range of gradualism constraints adopted by the Commission in other electric and gas rate cases.⁵

Q ARE RESIDENTIAL CUSTOMERS ALONE IN EXPERIENCING ADVERSE ECONOMIC CONDITIONS?

A No. All other rate classes have also experienced adverse economic conditions — lowering the Residential class's increase in order to recover those costs from other rate classes would be burdensome to these classes. Requiring other classes to subsidize residential customers would impose a further unnecessary hardship, especially during a pandemic. For example, as noted in Amtrak witness Faryniarz's Rebuttal Testimony, PECO's commercial and industrial customers will face increased

⁵ *Pa. Pub. Utility Comm'n v. PECO Energy Co. – Gas Division*, Docket No. R-2020-3018929, Opinion and Order at 136 (Jun. 22, 2021); *Pa. Pub. Utility Comm'n v. Columbia Gas Co.*, Docket No. R-2020-3018835, Opinion and Order at 233 (Feb. 19, 2021); *Pa. Pub. Utility Comm'n v. Pa. Power & Light Co.*, Docket Nos. R-00943271C001-C0145, Opinion and Order at 331-332 (Sept. 27, 1995).

1 price pressure for goods and services as a consequence of allocating additional costs
2 to these rate classes, and perhaps reductions in wages or hours, job losses or
3 business shutdowns.⁶

4 **Q DOES MR. JOHNSON TAKE ISSUE WITH YOUR RECOMMENDATION THAT THE**
5 **RATES OF ALL CLASSES SHOULD BE SET AT COST?**

6 A Yes. Mr. Johnson claims that not all customers place the same amount of risk on the
7 utility, which he asserts can “justify” different target rates of return for each class.⁷

8 **Q WHAT IS MR. JOHNSON’S BASIS FOR THIS CLAIM?**

9 A Mr. Johnson claims that more capital investment is required to serve each industrial
10 customer, and therefore the loss of each industrial customer would have a greater
11 revenue impact on the utility.⁸

12 **Q IS MR. JOHNSON CORRECT THAT THE CAPITAL INVESTMENT REQUIRED TO**
13 **SERVE EACH INDUSTRIAL CUSTOMER IS HIGHER THAN FOR OTHER**
14 **CUSTOMERS?**

15 A No. **Exhibit ____ (JP-8)** quantifies the per-unit distribution rate base by rate class.
16 Thus, it measures the amount of capital required to deliver electricity (*i.e.*, capital
17 intensity). Capital intensity is measured by the ratio of distribution rate base allocated
18 to each class and their corresponding coincident peak (CP), non-coincident peak
19 (NCP), and energy sales. The capital intensity index ranges from 1 to 100, with 100
20 signifying the most capital intensive. As shown on line 8, which is the ratio of rate base

⁶ Amtrak Statement No. 1-R, Rebuttal Testimony of Stan C. Faryniarz at 17.

⁷ OCA Statement No. 3-R, Rebuttal Testimony of Clarence L. Johnson at 9.

⁸ *Id.*

1 to CP, the Residential and Residential Heating classes are the most capital intensive,
2 while Rate HT is the least capital intensive. Similarly, based on the ratio of rate base
3 to NCP and energy sales, the Residential and Residential Heating classes are the
4 most capital intensive, with ratios of 100 and 87/79, respectively, shown on lines 9 and
5 10. As can be seen on those same lines, Rate HT's capital intensity using NCP and
6 energy sales is the lowest, at 38 and 17, respectively.

7 Therefore, Mr. Johnson's claim that the Rate HT class rate of return should be
8 set higher than the system average due to their high capital intensity is incorrect and
9 should be rejected.

10 **Q WHAT OTHER CONCERNS DOES MR. JOHNSON HAVE REGARDING YOUR**
11 **PROPOSED REVENUE ALLOCATION?**

12 **A** Mr. Johnson claims that PECO's business risk is higher for industrial customers and
13 therefore their rate of return should be higher than the utility's rate of return. Mr.
14 Johnson states:

15 ...industrial customers represent 21% of sales, and as a result, "the energy
16 needs of just 0.2% of all customers can have a significant impact on the
17 Company's operations."⁹

18 However, as noted in an Order by the Public Utility Commission of Texas:

19 There are a number of characteristics of industrial rates which minimize the
20 risk of revenue losses associated with industrial customers. These include
21 ratchets, which protect the utility from a sudden loss of revenue, and
22 separately-stated demand and energy charges, which also help protect
23 revenue stability. Neither of these elements are present in residential
24 rates... In addition, the high load factor of industrial customers provides the
25 system with a number of benefits such as economies of scale and fuel
26 savings....¹⁰

⁹ *Id.* at 10. Mr. Johnson is quoting PECO witness, Mr. Paul R. Moul.

¹⁰ *Application of Gulf States Utilities Company for Authority to Change Rates*, Docket No. 5560, Revised Examiner's Report (July 13, 1984).

1 Rate HT has many of these same design attributes. Therefore, Mr. Johnson's notion
2 that industrial customers place more risk on the utility is both unsubstantiated and has
3 been previously rejected.

4 **Q DO MR. JOHNSON'S THEORIES ON CAPITAL INTENSITY AND BUSINESS RISK**
5 **HAVE MERIT?**

6 A No. Mr. Johnson's theories are demonstrably wrong and have been rejected in the
7 past. The Commission should not give any weight to these theories in determining an
8 appropriate class revenue allocation.

Conclusion

9 **Q WHAT ADDITIONAL FINDINGS SHOULD THE COMMISSION MAKE BASED ON**
10 **YOUR SURREBUTTAL TESTIMONY?**

11 A The Commission should reject OCA's theories that industrial customers are more
12 capital intensive and higher risk than other customers. It should also reject both
13 PECO's revised and OCA's recommended class revenue allocations for the reasons
14 set forth in my testimony.

15 **Q DOES THIS CONCLUDE YOUR SURREBUTTAL TESTIMONY?**

16 A Yes.

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JEFFRY POLLOCK

On Behalf of

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August 5, 2021



Pennsylvania Public Utility Commission
v.
PECO Energy Company – Electric Division

Docket No. R-2015-2468981

Response of PECO Energy Company
To Interrogatories of the PAIEUG
Set V

PAIEUG-V-1:

Referring to PECO Energy's response to OCA XII-1 and 2:

- a. Please provide a schedule listing each of the assets that were transferred from transmission to distribution in 2009 and again in 2013.
- b. Please explain the reasons prompting the asset transfers.
- c. Please provide a schedule showing the plant investment by FERC account for the transmission assets transferred to distribution at the end of the historical period distribution.
- d. Please provide a schedule showing the accumulated depreciation of the transmission assets transferred to distribution at the end of the historical period.
- e. Please identify the specific assets and the corresponding gross and net plant investment that serve only Rate HT and Rate EP customers taking delivery service at 69 kV or higher voltages.

Response:

- a. Refer to Attachment PAIEUG-V-1(a) for the assets by FERC accounts that were transferred from transmission to distribution in 2009. The Company only has detail on the assets by FERC account.

As noted in the Attachment, the net transfer in 2009 was \$21M, which was comprised of \$54M from transmission to distribution and \$33M from distribution to transmission transfers.

The Company also indicated in its response to OCA-XII-1 that an additional \$11,840,000 was transferred from transmission to distribution in 2013. The 2013 transfer was a transfer/reclassification of equipment from transmission to high voltage distribution within the distribution plant function account. The dollar amounts were included in the 2009 transfers.

- b. The reason for the 2009 asset transfers was to comply with the FERC seven-factor test set forth in FERC Order No. 888;

- c. Refer to the response to PAIEUG-V-1(a);
- d. Refer to the response to PAIEUG-V-1(a);
- e. Such information is not currently available; the Company does not keep details on the plant serving each customer.

Responsible Witness: Alan B. Cohn

PECO Asset Transfers in 2009

Sum of activity_cost	Costs			Accumulated Depreciation
Row Labels	Transfer from Transmission to Distribution	Transfer from Distribution to Transmission	Net Transfer	Total (Net)
360 Land and Land Rights	\$ 535,104	\$ (253,448)	\$ 281,656	\$ -
361 Structures and Improvements	\$ 3,539,003	\$ (170,476)	\$ 3,368,527	\$ (78,977)
362 Station Equipment	\$ 31,879,011	\$ (19,519,597)	\$ 12,359,414	\$ 3,769,728
364 Poles, Towers and Fixtures	\$ 5,283,864	\$ (4,925,128)	\$ 358,736	\$ 242,900
365 Overhead Cndctrs & Devices	\$ 827,085	\$ (5,698,003)	\$ (4,870,917)	\$ 315,544
366 Undergrnd Conduit & Manhole	\$ 1,649,146	\$ (1,062,624)	\$ 586,522	\$ 19,563
367 Undergrnd Cndctrs & Devices	\$ 10,473,080	\$ (1,581,540)	\$ 8,891,540	\$ 38,118
Grand Total	\$ 54,186,293	\$ (33,210,816)	\$ 20,975,478	\$ 4,306,876



PECO ENERGY COMPANY
Capital Intensity

Line	Description	Residential	Residential Heating	General Service	Primary Distribution	High Tension	Electric Propulsion	Lighting
		(1)	(2)	(3)	(4)	(5)	(6)	(7)
1	Distribution Rate Base (\$000)	\$3,518,641	\$706,229	\$1,178,183	\$35,869	\$782,132	\$37,024	\$93,698
2	Class CP (kW)	3,936,848	573,449	1,483,729	61,105	1,997,280	89,696	5,798
3	Class NCP (kW)	3,955,972	916,127	1,749,730	71,520	2,304,905	111,591	51,972
4	Energy Sales (MWh)	10,847,126	2,755,013	7,891,837	338,978	14,308,308	573,028	175,727
Distribution Rate Base per:								
5	Class CP (\$/kW)	\$893.77	\$1,231.55	\$794.07	\$587.01	\$391.60	\$412.77	\$16,159.60
6	Class NCP (\$/kW)	\$889.45	\$770.89	\$673.35	\$501.53	\$339.33	\$331.78	\$1,802.85
7	Energy Sales (\$/MWh)	\$0.32	\$0.26	\$0.15	\$0.11	\$0.05	\$0.06	\$0.53
Capital Intensity Index Excluding Lighting								
8	Class CP	73	100	64	48	32	34	
9	Class NCP	100	87	76	56	38	37	
10	Energy Sales	100	79	46	33	17	20	